

Brainbees Solut. (FIRSTCRY)

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Brainbees Solutions Limited CIN: L51100PN2010PLC136340

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FC/SE/2024 -25/07

September 06, 2024

National Stock Exchange of India Limited

Exchange Plaza, C – 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai -400051

Symbol: FIRSTCRY BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street,

Mumbai -400001

Scrip Code: 544226

Sub: Transcript of the Audio -video recording of Earnings Call | Q1FY25 results

Ref : Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated August 31 , 2024

Dear Sir/Ma' am,

In terms of Regulation 30 and Regulation 46 read with Part A of Schedule III of the Listing Regulations, please find enclosed herewith transcript of Earnings Call with the Analysts/Investors held on Friday, August 30, 2024, post announcement of Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended as on June 30, 2024.

The audio -video recording of the Earnings Call along with the Transcript has been uploaded on the Company's website and the same can be accessed from the link provided below:

<https://www.firstcry.com/investor-relations/analyst-earning-calls>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you,

Yours sincerely,

For Brainbees Solutions Limited

Neelam Jethani

Company Secretary & Compliance Officer

ICSI Membership No.: A35831

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"Brainbees Solutions Limited (FirstCry) - Earnings Call
Q1 FY '25 Results"

August 30, 2024 , 6.00 p.m. IST

Management:

Mr. Supam Maheshwari
Managing Director & CEO

Mr. Gautam Sharma
Group Chief Financial Officer

Ms. Neelam Jethani
Company Secretary & Compliance Officer

Ms. Neelam Jethani Good evening, everyone. Welcome to the Brainbees Solutions Limited Q1 FY25 earnings call. This is Neelam Jethani, Company Secretary and Compliance Officer of the Company. I have with me, Mr. Supam Maheshwari, Managing Director and CEO of the Company, Mr. Sanket Hatimattur, Executive Director and Chief of Staff and Mr. Gautam Sharma, Group Chief Financial Officer of the Company.

Kindly note that this call is meant for analysts and investors of the Company. We wish to highlight that the call is being recorded and by participating in this event, you consent to such recording, distribution and publication.

All participants have been muted as per the default mode and participants will be unmuted once we open the Q&A forum for the members to ask questions after the presentation from management concludes.

We will be covering the presentation in the first 30 minutes of the call and we will open the Q&A forum thereafter.

We would like to point out that some of the statements made in today's call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you.

I request Mr. Supam Maheshwari to take it over.

Mr. Supam Maheshwari Hi, Good evening, everyone. Welcome to our first earnings call. I see some of the names that we met during our past roadshows and happy to see you. Some of you are joining this call for the first time. Since it is a first earnings call and some of you are new members, we would like to just give you a little bit of a brief overview of our journey before we straightaway dive into our Q1 FY25 performance. This is our 14th year of our operation of FirstCry (B

rainbees Solutions) and in our journey,

we have had many milestones as provided in the Prospectus, just to highlight the four business segments that we operate in, which is what we will summarize. The first one is our core 'India multi-channel business' segment, which has been at play for last 13+ years from the beginning and that consists of our online India as well as our 1000+ offline stores and our distribution, the new small sub segment that we started recently. These are the key drivers of our India multi-channel that constitutes to drive our India multi-channel business and this is a core and the first sort of a business segment which drives a large part of our revenues. The second business segment is international, which is a same playbook of India, we took it to UAE and then subsequently to KSA. So UAE and KSA put together constitute our second business segment, which is 'International'. The third business segment is 'GlobalBees', which is an initiative, a company that we incubated 3 years back, May 21, and the fourth one is a smaller business segment that we are operating which is called 'Others' in our RHP and essentially it is the preschool business that is an asset like preschool business. So these are the four business segments that we will talk about during the course

of this presentation to give a brief update about the Q1 FY25 results of the Company.

Although I can see some raised hands, I believe we will have some Q&A after the first, hopefully, 25-30 minutes when we will finish the presentation and then we can take up your questions subsequently, as Neelam talked about, maybe a raise of hands would be helpful to take your questions after that.

So we are very happy to report our first quarter's FY25 performance. Overall, we have been able to deliver growth at scale and significant improvement in our profitability. If you will see, our overall annual unique transacting customers both for India as well as international have grown to 9.5 Million annual unique transacting customer which is a growth of 15%

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year-on-year which was earlier 14% and it has increased from Q1FY24 to Q1 FY25 to 15%, for the fiscal year it was 14%. If you look at our consolidated GMV, that is India multi-channel + international, it has delivered 2,318 crores which is a growth of 17% for the quarter year-on-year and consolidated revenue from operations we have delivered 1,652 crores, which is also a 17% increase over the Q1 FY24. All of this growth has come back with a very positive improvement in the Adjusted EBITDA profitability, if you see our overall consolidated Adjusted EBITDA has increased close to 106% over the last quarter for the last fiscal year to 74.3 crores. We have delivered close to around 4.5% Adjusted EBITDA as a consolidated business which was around close to 2.6% for Q1 FY24 at a consolidated Adjusted EBITDA, adjusted for ESOP costs. If you look at our core business is in India, multi-channel, here the Adjusted EBITDA has grown by 25% again. It is because of 8.3% Adjusted EBITDA which we have been able to deliver for Q1 FY25 compared to 7.7% which was there for Q1 FY24. There has been an incremental EBITDA that we have been able to deliver thereby exceeding the revenue growth and delivering 25% absolute growth of EBITDA from Q1 FY24 to Q1 FY25.

Overall, we have also been able to deliver a Cash Profit After Tax which is 17.7 crores. It's almost a growth of 200% versus Q1 FY24 and the details of these are available in the supplementary slide. This presentation is already uploaded on stock exchanges and I'm sure you would have received a copy or have the access to the same whenever you would like. In case of any questions, we are of course happy to answer these questions. The details of the cash profits are already available in that supplementary slide.

Now, I would like to take you know segment by segment, our performance, our first core business segment of India Multi channel, which we started right from our beginning 2010, which is a journey of 13 to 14 years that we have been at play. Before I walk you through this, I would like to tell you how we should look at this business. Let's first go through the

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performance and I'll probably qualitatively give you some colour and highlight how we should look at this business for some of the folks that who have joined and new to this call and for their benefit as well. Our overall annual unique transacting customer on quarter one has increased by 14% year-on-year growth. So overall we have added 0.4 million on

quarter -on-quarter and overall on year -on-year basis 14% growth, which was there 12% for the last full fiscal year. So there has been an uptick in terms of Annual Unique Transacting Customer for this quarter. Also, we've been able to deliver basis this Annual Unique Transacting Customer growth. We have been able to deliver a strong growth in order volume as well growth of 19%, although there was a very marginal drop in AOV, but still we have been able to deliver a good GMV, robust growth of round close to 18% year -on-year for the Q1 FY25. Now our offline channel, we have added almost close to 147 stores from Q1 FY 24 to Q1 FY 25 and within that 20 COCO stores have been added just in the Q1 FY25 from the last quarter, and for the full year around 139 COCO stores have been added.

The most important highlight for this sort of a good growth in terms of both in GMV as well as the revenue which we will talk about. They've been able to deliver at 25% growth in Adjusted EBITDA for the Q1 FY 25 compared to Q1 FY24 with a 8.3% Adjusted EBITDA, which was there close to 7.7% for Q1 FY 24.

Now I just want to give you a colour of how one should look at our business.

As I said earlier, we operate a very large online network in our mothers, baby and kids catering to young parents. Also, we cater to our offline channel which is 1,000+ stores and as I said earlier as well, we have presence through our retail general trade stores as well. So we are in a multi-channel approach, the historical trend has been that our customers who join our

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journey through our platform; whether they join our journey through the first transaction in online or first transaction through our modern stores, over a period of time they cross pollinate into other channels as well. A customer who joins online goes back to enjoying the convenience of vicinity of the store from their home as well as the other way around when they transact first time offline, they also enjoy the selection and the width that we offer, and once they have built a trust in either of the channels to cross pollinate into online and offline. That has been historically that we have been able to observe and therefore we have continued with that journey of doing omni. Then we added distribution business where we distribute our home brands to general trade retail distribution where this is another demand pocket. India has three demand pockets: Online, Modern stores and then obviously your GT and this also helps us to proliferate our home brands into the GT demand pocket, where young parents can buy our product and essentially over a longer period of time when they want to buy more of our home brand products, we'll come back to our online or our modern stores, essentially helping us to reduce our CAC over a longer period of time. That has been the strategy that we have been following and you will see our financial performance that we will continue to draw benefit from this strategy over a longer period of time and also the key highlight, one of the other highlights I would like to make for this particular quarter is that we have been able to run the

largest Influencer programme for mothers, baby and kids for the young parents digitally, obviously, and this is having to partner with a nano, micro or mega influencers who are able to influence and able to build awareness for young millennial young parents, both mothers and fathers. So that has been a

very great home , deliverable that we have been able to deliver and we will continue to build on it as we go along into building more awareness for our platform for our products and building word of mouth now with that qualitative statement, I would ask Gautam to take you through some of our numbers for the India multi -channel .

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Mr. Gautam Sharma Supam talked about increase in the AUT C that is Annual Unique Transacting Customers , growth in Orders and GMV. So you can see a healthy increase in the AUT C in Q1 over last year Q1 which is 14% as compared to a 12% growth in FY24 over FY23. We have added almost 1.1 million unique transacting customers in last 12 months. AUTC is basically for for Q1 , it trading in 12 months, that is Unique Transacting Customers from 1st of July 2023 to 30th June 2024. Similarly, you can also see a healthy growth in the number of orders , the growth was 15% in FY24 over FY23, which has increased to 19% in Q1FY25 over Q1 FY 24. GMV growth has increased from INR 16,494 Milli on to INR 19,389 M illion which is a 18% year -on-year growth compared to a 19% growth in FY24 over FY23.

This is the revenue performance and the Adjusted EBITDA performance. India Multi Channel revenue growth, while it was 17% in FY24, we reached INR 4,579 Crore of revenue in FY24 . In Q1 FY FY25, we posted a revenue of INR 1,150 C rore, an increase from INR 99 Crores in Q1 FY24. This represents a year -on-year growth of 16%. Similarly, Adjusted EBITDA , you can see we are continuously improving our Adjusted EBITDA. This is adjusted for ESOP cost from 6.2% in FY23 to improve this to 8.8% in FY24. Similarly, if we compare the quarterly performance , in Q1 FY25, we posted Adjusted EBITDA of INR 954 Million which is 8.3%, an improvement of 25% over Q1 FY24, which was 7.7%.

Mr. Supam Maheshwari Now we will move to our second business segment. Before I go into the international segment, would like to just give you a brief background. We st arted our international journey i n 2019, late 2019 , October 19 is when we started our journey in UAE with a c lear view to go to KSA subsequently and due to COVID, we could not go ear ly and August 22 is when we bega n our journey which is less than two years or almost two years in in Saudi Arabia as well. Just a context, b oth of t hese market put together will be close to around \$12 Billion by FY29 and it's a very fairly meaningful

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market and we took our entire playbook of what we have built for the India multi -channel to the international market. I'll just give you some highlights of the quarter.

If you l ook at our international market s egment , our overall Annual Unique Transacting Customer base grew by 39% year on year Q1 FY 24 annualised 12 months from Q1FY24. So a growth of 39%. However, our order volumes were affected due to uns easonal rain that had happened and caused floods in UA E during this quarter, especially around April and also there was an advancement of seasonal spend. So let me explain this. In this particular year, in this Q1 FY 25 , Eid was in early April and all the products that consumers buy typically before the festivities was locked in into the prior quarter, which Q4 of FY24. Whereas if you compare the last quarter of Q1 of FY 24, the Eid was there at the end of April and therefore , the impact of that buying was sustained in April of

FY24 itself. So this had dual effect this this particular year one was we lost our 10 to 12 days of precious time during this unseasonal rains and floods which happened in UAE, which we are all aware of and because

of the advancement of seasonal spend, just wanted to highlight that. Having said this, our July and August, although we are on 30th of the month, but we can say with good confidence both July and August, we are back on track in terms of our performance from a growth perspective for both UAE and KSA. I would like to also highlight that average order value for our international Segment continues to improve. We had a quarter on quarter growth of 13% in average order value, which has reached to close to around INR 8,669 in in Q1 FY 25, which is at 12% GMV growth from the prior period. If you look at the profitability profile, we have significantly improved our you know losses since it is a journey which is relatively new, while India journey India playbook, we have been able to play for you know last 14 years and we have been having Adjusted EBITA profitable journey for last many years. For our international segment, since it is a relatively new segment for us and KSA being just 2

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year old. Despite that, we have been able to improve our Adjusted EBITDA losses which has declined 22% in Q1 FY25 from Q1 FY24 and on a percentage basis, if you look at it, it is improved from 16.6% negative from it was 22.7% in Q1 FY24. With that, I will also like to give you some qualitative sort of a colour of how the business, some of the updates about our international, especially our Saudi Arabia business as some of you will probably recall that. Obviously KSA is a very large market, almost two to three times of UAE, and we had taken around close to INR 80 Crores of capital that we had raised from use of proceeds from IPO. So we will be starting our journey to build our foray into offline into Saudi Arabia and hoping to give you some material update around that in our next earnings call because the IPO just finished. So we just wanted to acknowledge that we'll be starting our multi-channel journey in Saudi Arabia as well as we just go along and we'll give you some more update in our next quarterly sort of a call and also would like to highlight another first that, FirstCry has delivered across markets whether it is India, UAE and KSA, recently we have started you know, first of its own kind, in Saudi Arabia, Assembly service for all our baby gear, nursery and outdoor toys products, which has been well received in the Saudi Arabia market and we believe it will help us continue to build more brand salience with more customers and word of mouth as we go along and build our customer base in the market. So with that, I will ask Gautam to share some financial performance for our International segment.

Mr. Gautam Sharma So as Supam mentioned, AUTC growth is 39% in Q1 FY25 over Q1 FY24. Again this is considering 12 months AUTC while the growth was higher i.e., 67% in FY24 over FY23. One of the reason of a lesser growth in Q1, as Supam mentioned you know business in UAE got impacted because of floods as well as advancement of Eid in April. Orders remain flat, you know, because of the two reasons we talked about. While there was a growth of 30% in number of orders in FY24

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over FY23 and as Supam mentioned in July and August, we are back on track in terms of you know our growth plans. GMV

growth is 12%. Again, the two factors have impacted all the three KPI that is AUTC, Orders and GMV. So the growth in GMV is much lesser, it is 12% compared to a 76 % in FY24 over FY23.

We'll talk about the Revenue and Adjusted EBITDA. Again, this is Adjusted EBITDA is adjusted for ESOP cost. So revenue growth in FY24 is 55%. FY 23 is when we started you know our KSA operations some time you know mid of FY23 and that is the reason we have seen a higher growth in FY 24 because we got the benefit of a full year of operations for KSA business . Growth in Q1FY25 over Q1 FY24 is 7% largely, because of the impact of advancement o

f festivals and the floods . EBITA margins, while it is on a higher side in FY23 i.e., -24.6%. This is the time when we started our KSA business. You know it's since it is a pure online business, most of the costs are front footed and hence you know the EBITDA were higher in FY23 but you can see a subsequent year -on-year and quarter -on-quarter improvement in our EBITDA . We have brought it down to -18.5% in FY24 and if we talk about Q1 FY 25, we have brought it down to 16.6% -, 16.6% from a - 22.7% negative adjusted EBIT DA in Q1 FY24. So this is continuously going down which basically represents that we are started getting a very good operating leverage with the scale of our KSA business.

Mr. Supam Maheshwari So now just before we go to the next business segment, which is Global Bees, just wanna give you some backdrop.

This is our third business segment, which we incubated a company around close to May 21, almost 3 years of the business and here you will see that we have delivered a very strong performance both top line and bottom line. The performance that we have been able to deliver and numbers will speak for itself. So , I would straight away dive and request Gautam to speak on the numbers straight away.

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Mr. Gautam Sharma FY22 was the first year of operations for Global Bees . We started operation sometime in November 21. FY23 revenue was INR 97 Crores and we increased this by 35% in FY24 to reach our revenue of 1,209.3 Crores . Growth in Q1 FY25 year -on-year growth is 26%. So we have posted our revenue of INR 3,245 Million compared to INR 2,565 Million revenue in Q1 FY24 . EBIT DA margins – FY23 was the first full year of operations for Global Bees . We posted a negative EBITDA of -5% in FY23, but you can see a subsequent improvement year -on-year and quarter -on-quarter. We made this business as EBITDA positive business in FY24. While there was a marginal profit which was only 0.2%. However, if you see the Q1 FY25, we have increased our Adjusted EBITDA to 1.4% from 0.2% in FY24 again as compared to the Q1 FY24 performance, it was -0.9% i.e., a negative EBITDA of INR 24 Million compared to a positive EBITDA of INR 46 Million in Q1 FY25.

So the next section talks about the consolidated performance. However, before we jump onto the consolidated performance, I would like to talk about, the fourth business segment. We talked about the three business segments. The fourth one is our Preschool Business. We don't have a separate slide for that , but we have posted our revenue of INR 120 Million in Q1 FY 25 as compared to INR 90 Million revenue in Q1 FY24 that represents a 30% year -on-year growth. Also , talking about the Adjusted EBITDA, Adjusted EBITDA has increased from 12% positive in Q1 FY24 to 25% positive in Q1

FY25.

So this is our consolidated performance which includes the performance of all the four business segments. Our first one is core India multi-channel. Second is International, then Global Bees and the fourth one is Education. So you can see in Q1 FY25, our consolidated net revenue is INR 16,521 Million which is a 17% year-on-year growth. Similarly, in FY24, we posted our revenue growth of 23% from

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INR 52,622 Million we have reached INR 64,809 Million revenue.

You can also see at the top end, the gross margins are also continuously improving from 32.9% in FY23, we improved this to 35.8% in FY24. We can also see a quarter-on-quarter improvement in the Gross Margin from 35.7% gross margin in Q1 FY24, we have increased our gross margin by almost 199 bps to 37.7%. As a result, the improvement in gross margins, a very good improvement in EBITDA in all the four business segments, we have improved our consolidated EBITDA from 2.6% in Q1 FY24 to 4.5% in Q1 FY25. You can see this is going up from 1.5% in FY23 to 4.5% in Q1 FY25.

This is a representation of the p

revious slide in terms of percentage. So we can skip this slide.

Mr. Supam Maheshwari This is what we wanted to sort of share our highlights and brief financial sort of performance. We have shared this presentation. This is our first time as well. So we have shared this presentation. It is already on Stock Exchange sites. I'm sure you have a copy of it already. There are a lot of supplementary sections and financial data points that we have also already uploaded on a Stock Exchange. So if you have any questions that we are happy to take, you know one by one, hopefully.

Mr. Gautam Sharma Neelam, I'm hoping that you want to say anything, Neelam here.

Ms. Neelam Jethani We can open the Q&A forum.

Now the Q&A Forum is open, I request participants to raise hands for asking questions. We will unmute you and you will have access to the Mic. Please introduce yourself and the name of the organisation you represent. The participants are also requested to limit their questions to maximum two questions. For a follow up question, you may join the queue again.

So we have the first question from Mr. Yash Gandhi.

Yash, you have been given the mic access.

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Mr. Yash Gandhi from

Stallion Asset Hi, thank you for the opportunity. I just wanted to understand, so you know our losses have gone down by 30% year-on-year in this quarter, and this one of the management, if you have any guidance in terms of when can we expect first full year of PAT level profitability for the business?

Mr. Supam Maheshwari So Yash, all we could say is that we would be continue to improve both our top line performance and our bottom line performance as we continue, if you look at our cash profits, they are already positive and from a PAT perspective, there are a lot of other variables that play in, but you should be able to see business performance continue to improve both from

a top line and bottom line perspective, you know and that since it is our first call as well. So we are little.

You know what to speak and what not to speak is some of these things we are learning. So please, you know, sort of pardon us on that. But having said this, we can only say that the business performance pure pure business performance will continue to improve. PAT has some functions and we have shared a lot of other information in the supplementary section that will help you to be able to route a plan that you will be able to visualize our PAT profitability in the subsequent periods.

Mr. Gautam Sharma And just to add Yash, you know if you see the channel wise performance, it is only the International business which is right now a loss making business for us. Rest of the segments you know are making good profits and it is in fact improving year-on-year and also for the International business, the losses are going down as a percentage to net revenue.

Mr. Yash Gandhi from

Stallion Asset Sure, got it. Thank you.

Ms. Neelam Jethani Thank you Yash. So the next question is from Videesha. We'll just enable the mic access. Videesha, please introduce yourself and ask your question.

Ms. Videesha, Ambit Hi team, Thank you for the opportunity. I am Videesha from Ambit Capital. My first question was on the gross margin expansion, if you could elaborate on the drivers for the 200

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basis points expansion that we've seen this quarter. Is it largely private label driven or sourcing efficiencies that have come into play?

Mr. Supam Maheshwari Sure. So Videesha, I would request this being going forward, we like to call home brands because lot of our products are built with lot of love and care. So that's what we will request you to call going forward. But to answer your question. You know the gross margin improvement has happened on multiple levels. And if you look at our improvement in our home brand share. Improvement in our home brand,

you

know margins itself, COGS reduction, third party brands, you know sort of margin increase, all of these factors have helped us to continuously improve our gross margins and also our COCO Store expansion where we earn higher sort of gross margins as well.

Ms. Videesha, Ambit Understood. And the second question was so if you could help us with the unit economics of FirstCry COCO Store as well as a Babyhug COCO store.

Mr. Gautam Sharma So Videesha, in terms of the size of the store, you know

FirstCry store which is a multi-brand format are a bit larger store and measuring around 2,800 to 3,000 square foot stores and Babyhug stores, which is single brand retail stores, that's smaller in size around 1,400 to 1,500 square foot stores. In terms of unit economics, I would request you know.

We have shared some details on the GMV bifurcation between online business and the offline business. I would request if you can, you know you have the number of stores, you have the GMV, probably you can very well understand the unit economics of you know all formats.

Mr. Supam Maheshwari Videesha, I would like to just add here and this is a very important point because you should look at our business in a multi-channel way. As I mentioned earlier, a large part of our customers actually transact both online and offline. The customers who join our journey online also goes offline and they join our journey as offline goes online. So, we are able to improve our unit economics as we increase our expanse of our universe of reach to the customers as we build more

stores while our online we have a good presence , I mean , Pan India but there is a journey as of millennial customers building having awareness about us and transacting with us , building trust as they join their journey of parenting.

Having said this, our unit economics is linked as a multi-channel, not just as a store platform or just a pure online platform. It's very hard to segregate since because of the overlap of the customers and the third segment that we have recently added which is distribution which adds to our firepower because as the customer consume , the young parent consumes product bought from our home brand, product bought from a you know demand pocket of channel of GT trade. Let's say they have bought our home brand, let's say Babyhug and then the extension of those brand products will be available only in our online or in our modern stores. Essentially being able to drive down our CAC and being able to build more repeats for us without having to, you know, sort of spend money on the category front. So all of our construct as a strategy has been built to be able to improve our unit economics at a multi-channel way.

Ms. Videesha, Ambit Got it. I was just trying to get at the profitability profile of the offline channel, but point taken, I'll join the queue for further questions.

Ms. Neelam Jethani Thank you, Videesha . So the next speaker is Tejas Shah. Tejas, we have given you the mic access, please introduce yourself and ask your question.

Mr. Tejas Shah Hi, thanks for the opportunity. Hi, this first question Supam , could you provide insights into the quarterly seasonality of margins within India's multi-channel business, specifically, how should we think about margins fluctuation on seasonal basis basically for example, is one Q generally the lowest and does it align more closely with the full year average later on?

Mr. Supam Maheshwari Sure. Tejas, you are partly correct, but I would not like to say that it is materially different from a margin profile. We are still lot of levers that we continue to you know work at therefore you are able to see the improvement across different levers that we have talked about. Few of them we

have talked about few of them are little smaller, so we have not spoken about. We

we will continue to play around building more home brand share to be able to drive more margins. We will be continue to drive more COGS reduction as economies of scale take up in some of the product types or categories or subcategories into our home brands and with the help of our third party brand partners, as we will be able to build a win-win situation for them to be able to grow volumes, you'll be able to drive that. And over a period of time, as we build our international business as well, some of those help us to build volumes. And in some quarters, we're able to build more meaningful. It's a journey. It will continue as a process. There are no, I would say, major seasonality, since we are in a growth phase in that sense. So we will continue improvement. But having said this, we would like it , since there are many levers that happen in step function way and that at a continuous play, so we would not be able to say that there is like in one season we will show more than one season, we'll show less. So it will be a little bit of a sort of a curve that you'll continue to improve year-on-year.

Mr. Tejas Shah Thanks and 2nd last question. Could you shed some light on store expansion strategy? Will the focus primarily be on COCO

stores or what mix between COCO and FOFO you will be comfortable with unsustainable basis going forward?

Mr. Supam Maheshwari As a part of our proceeds that we have talked about in the RHP as well, we will be adding tools to around 350 stores over the next 2 to 2.5 years.

Mr. Gautam Sharma This is in both the format that is FirstCry and Babyhug.

Mr. Supam Maheshwari Having said that, this you will be able to see this store additions in over next period of 8 to 10 quarters, quarter-on-quarter and this is for the COCO and for FOFO, yes, there will be a little bit of a shift that you will see from FOFO to COCO that you have observed from numbers when we had filed in December then we had filed it in April and now for this quarter as well, there is supplementary information on that front as well. But it will have a little bit of an over indexation on the COCO stores, but we will continue to build FOFO stores

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as well as we continue to find good partners, good business partners as franchise partners, who we believe can be our great partners for our success story in times to come. So we will continue to building our FOFO channel as well while we continue to build our COCO journey as we have enumerated in numbers of 350.

Mr. Tejas Shah Sure. And just one follow up on COCO strategy, are we targeting any particular state or region as of now or is it pan India?

Mr. Supam Maheshwari It is pan India Tejas. If you recall, if you look at our data point, we have 1000 + stores across 500 + cities. So we are pretty much Pan India. So we will continue to expand both in the same city as well as our new towns and cities as well.

Mr. Tejas Shah Sure. So, no, my questions mostly on that, are we penetrating more into existing markets or we are adding new towns or new states that was the broader question.

Mr. Supam Maheshwari Both

Mr. Tejas Shah That's all from my side and all the best for coming quarters. Thanks.

Ms. Neelam Jethani Thank you, Tejas. Our next question is from the Garima Mishra. Garima, you have the access to the mic and you may ask your question.

Ms. Garima Mishra
Research, KIE

Yeah. Hi, can you hear me? Am I audible?

Ms. Neelam Jethani Yes, yes you are.

Ms. Garima Mishra

Research, KIE OK, perfect. Thank you so much for the opportunity. Is there an echo or is it at my end?

Mr. Supam Maheshwari No, you are loud and clear, Garima, at least for us.

Ms. Neelam Jethani Garima, you can ask your question.

Ms. Garima Mishra

Research, KIE Right. Thanks for that and I must appreciate the fairly detailed investor presentation as well. My first question is on the India

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multi-channel business. Now, if I see the financial metrics that have been shared, GMV growth in the business is about 19%, revenue growth is a little lower. So can you help me understand, you know how we should read both of these numbers and why the sort of slightly different trend in the two months?

Mr. Gautam Sharma Garima, there are multiple factors between GMV and net revenue. So largely you know there are three factors which is Discounting, Taxes and the third one is Returns. So any change in these factors could probably create a delta between the GMV growth and the net revenue growth. However, what we should see is discounting change, for example, is it could be a factor of change in category mix also. So what we should really see Garima, is what impact it brings to the ultimate net gross margin and you can see that the net gross margins are improving, quarter -on-quarter and year -on-year.

Mr. Supam Maheshwari Garima, for this particular quarter, we had I think 1% drop in AOV as well. I think that is one of the reasons that you are probably seeing that little bit of a delta that you can see in the supplementary information that we have shared. So not something that you should, I mean, I hope that probably answers your pretty much question what Gautam said and the AOV part point.

Ms. Garima Mishra
(Research, KIE) It does. It does. Thanks. Second question is on the International business. Could you highlight your store addition plans for this year? The offline store edition?

Mr. Supam Maheshwari Garima, in the next, I said as we have filed in our RHP as well, we will be adding close to 12 stores in Saudi Arabia, over a period of next 24 to 30 months, that's what we will be adding. We will, as I mentioned in the initial part of the presentation, we will be talking about some material update or some meaningful update about the store expansion because we have just started. See, this was a promise that we raised

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capital for it. So we have started our journey in that direction. So in the next quarterly call that we will have second earnings call, we'll be able to give you some more meaningful update. This will be spread out, we will start with a few stores and try & optimise our learnings before we really expand. So you should see a little bit of a you know curve there in terms of building low, little bit of a learning curve before we expand, but all will be done these 12 stores that we have talked about will be all in the next 24 to 30 months.

Ms. Garima Mishra
(Research, KIE) Understood. And the last question from my side, what is the current cash balance after the fundraising, the IPO?

Mr. Gautam Sharma So end of June, Garima, we had a net cash of around .

Mr. Supam Maheshwari June, or she's asking about IPO

Mr. Gautam Sharma In June, we had a cash of around INR 450 Crores and we raised around INR 1,666 Crores towards primary issue of capital. This is the gross proceeds. Net proceeds was what we got after adjustment of issue expenses which was close to INR 60 to 63 Crores. So the net what we have got is something around INR 1,600 Crores. We have started utilizing those cash as per the use of proceeds given in the prospectus, but the number is pretty decent.

Ms. Garima Mishra
(Research, KIE)
Understood. Thank you so much. Those were my questions.

Mr. Supam Maheshwari Thank you.

Ms. Neelam Jethani Thank you Garima . The next question is from Sachin Dixit. Sachin, you have been given the Mic access. Please ask your question.

Mr. Sachin Dixit Yeah. Hi, Supam, Gautam, Congrats on getting listed and a great set of results. So there seems to be a decent amount of

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disclosure in the presentation that you have shared. Just one thing which I felt could have added some value at least for people like us, is the gross margin on se

gment basis. Obviously we have revenue, we have EBITDA, customer gross margin is a key driver of how we are going to forecast this business. Will it be able to show will you be able to share that?

Mr. Supam Maheshwari Sachin, this is our first sort of earnings call. We are also learning as a process but you can imagine , sorry go ahead . Mr. Gautam Sharma Sachin, we are also bound by the disclosures that we have made in our Prospectus, it was a recently filed prospectus wherein we have not disclosed the segment wise gross margins, how we will you know we will discuss this internally and probab ly w e wi ll try to give some more colour on the segment wise gross margin in our next call.

Mr. Supam Maheshwari And also we can say that this gross margin improvement has happened across channels, I mean otherwise not be just possible to deliver , what we have delivered.

Mr. Sachin Dixit That's completely fair. My second question is on this disclosure that you put in about the fires in the update. I mean, 2 fires in the same quarter in couple o f different warehouses. Can you give some detail about them? And secondly, the loss that you mentioned in the Bhiwandi fi re, especially whe re are you putting it in your P& L?

Mr. Gautam Sharma The Bhiwandi losses are shown as a n exceptional item in our consolidated financial statement. If you see our publ ished results, it is shown as an e xceptional item the Bhiwandi loss, which is somewhere around INR 122 Million that is around INR 12.2 Crores. On the losses, the fire at Kolkata, the insurance company is still revie wing the claim and we believe we don't see any adjustment that is required in our profitability from the final settlement of the claims by insurance company.

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Mr. Sachin Dixit Quickly. I mean, did you get to the reason of the fire? So like?

Mr. Supam Maheshwari Yeah, Sachin, it is very unfortunate that what happened h as happened. These are two unrelated incidents that happened in our 14 years of our journey. Never, ever has happened in past. This is the first time that we have encountered this is , that has happened. We have taken internal action. I mean it is something that was totally unexpected. It happened on a day when there was a voting day and there was nobody statutor ily allowed in the warehouse and it happened on that day. But having said this, we have taken certain protocols, certain SOPs, we have strengthened that you know and basis that we believe that some of these things which are any rare incidents should not ever happen again with the C ompany. So that's all we can help you appreciat e that the actions being

taken.

Mr. Sachin Dixit Understood.

Sure, sure. Just one final question, ordering frequency wise, if you do a quick math between the number of orders and transacting users, it looks very healthy in International markets, even healthier than your India business.

Is can you? I mean if there is any colour on how is that happening? Are people there as you highlighted during your IPO process as well that obviously GDP per capita being higher, people spend more money there on childcare. Is it just that or there are also some different habits so that you see between the two different segments?

Mr. Supam Maheshwari No, it is KSA, you know sort of impact as well. KSA has a slightly higher AOV than the UAE and as the share of a KSA increases in the overall mix, the AOV has increased that. That's how it is leading to, and we will continue to improvise on our product mix as we go along. But primarily that is the reason.

Mr. Sachin Dixit Understood. Thank you. And all the best.

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Mr. Supam Maheshwari Thank you, Sachin.

Ms. Neelam Jethani Thank you. So we'll take last question from Ashish. Ashish, you have been given the access to the mic. Please ask your question and let's limit it to one in the interest of time.

Mr.

Ashish Yeah. OK. Thank you. Am I audible?

Ms. Neelam Jethani Yes

Mr. Ashish Thank you. So just one understanding when we say multi channel online business, so does it include sales of other brand also that has been listed on our offline and online market?

Mr. Supam Maheshwari Yeah, yeah, of course.

Mr. Ashish OK, so these brands are not owned by us, they are only sales being sold by us or I mean can you give an understanding of how this business runs in the multi-channel business?

Mr. Supam Maheshwari So Ashish, first, let's understand both in our online and in our multi-brand First Cry offline store, it's a multi-brand outlet, we sell multi-brands meaning we sell 7,000+ third party brands. We sell to around 1.6 million SKUs, 1.7 million SKUs across you know, 7,000+ brands that we sell in the online as well as in our FirstCry stores, FOFO as well as COCO, so that's how the model is. It's only a part of this is our home brands. Within the seven 7,000+ brands, we have a few home brands that we have. The revenue that you see in the multi-channel is a combination of all of that.

Mr. Ashish OK, understood. So do we have pure number which is being sold for our brand? The brands, which are not listed outside and just our brands.

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Mr. Supam Maheshwari Ashish, for that we can only just say that look, we have

disclosed that. Out of all our home brands, B abyh ug today is one of our oldest home brand and it is India's largest multi category Mothers, baby and kids product brand by GMV for FY24 that was shared in our RH P as a part of the industry report that probably give you enough comfort that what we are building here and we still partner with 7000 + brands, both domestic and international, put together, so it's a very meaningful balance between the two.

Ms. Neelam Jethani Thank you, Ashish.

Mr. Ashish Ok, Sir. Thank you. Yeah.

Ms. Neelam Jethani Thank you. That was the last questi on we could take in this call a nd I would like Mr Supam Maheshwari to share the closing remarks.

Mr. Supam Maheshwari Thank you everyone for joining o ur first earning call and giving sort of a, you know flavour to us, we are also learning as we go along and happy to take your questions. Hopefully we will continue to meet every quar ter on quarter as we build our Company and continue to bring mo re pride for all our shareholders and for our country. Thank you.

Mr. Gautam Sharma Thank you so much.

Mr. Supam Maheshwari Thank you very much.

Ms. Neelam Jethani So we will now conclude the call and thank you everyone.

Call: Nov 2024

Brainbees Solutions Limited CIN: L51100PN2010PLC136340

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FC/SE/2024 -25/40

November 20 , 2024

National Stock Exchange of India Limited

Exchange Plaza, C – 1, Block G,

Bandra -Kurla Complex, Bandra (E),

Mumbai -400051

Symbol: FIRSTCRY BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400001

Scrip Code: 544226

Sub: Transcript of the Audio -video recording of Earnings Call | Q2 & H1 FY25 results

Ref : Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated November 15, 2024 bearing reference no . FC/SE/2024 -25/36

Dear Sir/Ma' am,

In terms of Regulation 30 and Regulation 46 read with Part A of Schedule III of the Listing Regulations, please see enclosed herewith transcript of Earnings Call with the Analysts/Investors held on Thursday , November 14 , 2024, post announcement of Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended as on September 30, 2024.

The audio -video recording of the Earnings Call along with the Transcript has been uploaded on the Company's website and the same can be accessed from the link provided below:

<https://www.firstcry.com/investor -relations/analyst -earning -calls>

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours sincerely,

For Brainbees Solutions Limited

Neelam Jethani

Company Secretary & Compliance Officer

ICSI Membership No.: A35831

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"Brainbees Solutions Limited (FirstCry) - Earnings Call
Q2 and H1 FY '25 Results"

November 14, 2024 , 6.00 p.m. IST

Management:

Mr. Supam Maheshwari

Managing Director & CEO

Mr. Gautam Sharma

Group Chief Financial Officer

Ms. Neelam Jethani

Company Secretary & Compliance Officer

Mr. Anish Arora

AVP - Investor Relations

Mr. Anish Arora Good evening, everyone. Welcome to the Brainbees Solutions Limited Q2 and H1 FY25 earnings call. This is Anish Arora, and I have with me, Mr. Supam Maheshwari, Managing Director and CEO of the Company, and Mr. Gautam Sharma, Group Chief Financial Officer of the Company.

Kindly note that this call is meant for analysts and investors of the Company. We wish to highlight that the call is being recorded and by participating in this event, you consent to such recording, distribution and publication. All participants have been muted as per the default mode and participants will be unmuted once we open the Q&A forum for the members to ask questions after the presentation from management concludes.

We will be covering the presentation in the beginning of the call and we will thereafter open for the Q&A forum. We would like to point out that some of the statements made in today's call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you.

With this, I request Mr. Supam Maheshwari to take it over.

Mr. Supam Maheshwari Good evening, friends. First of all, I would like to say Happy Children's Day, to all of you who have kids, or have kids in your families, near ones, dear ones. So Happy Children's day.

Welcome again to our second quarter's earnings call. So, we'll just go through and choose slides that this presentation has. This presentation has been uploaded and you may have already seen it, but we will just go through it to take you through our performance for the Quarter 2 as well as for the First Half

of the FY25. You might find some of the slides as repetitive, but it is for the reason that some of our friends who have joined for the first time, over this call, just to give them

a little bit of a feel of our business, otherwise we will stick to our Quarter 2 performance.

These are the 5 broad segments that we will be covering. The fifth one is more for extra information, so we'll be covering the first four segments: The Quarter 2 snapshot, Business Overview, Segmental Performance and Financial Summary.

On the Quarter 2 financial performance snapshot, we have continued to deliver growth momentum with improved profitability and overall if you will see our annual unique transacting customers have improved. It increased by 16.5% from Sep'23 to Sep '24 ending. From a GMV window, it's increase of 21% to INR 2,528 Cr for Quarter 2. Net revenue from operations at a Consol level is around INR 1,904 Cr, which is 26%, growth over Quarter 2 of last year. Overall, while our growth has been fairly robust, all of this, we have also been able to deliver bottom line performance. Our consolidated Adjusted EBITDA has delivered around INR 80 Cr and this has been 66% increase over our last year Quarter 2. And India multi-channel, which is our core business, which is

the largest business segment that we have, it has delivered 38% increase in Adjusted EBITDA, which is yielding INR 110 Cr of Adjusted EBITDA. This has also resulted in overall cash profit after tax of INR 27.9 Cr, which is 209% increase over the same quarter last year, which is Q2 FY 24.

With that, I would like to give you a brief snapshot segment wise. If you look at a consol level, we have grown 26% year on year for revenue of the consolidated business for Q2. If you look at our segment wise performance - India Multi channel grew at 19% for Q2 same period, International grew by 25%, which is Middle East operation. GlobalBees, which is our D2C foray, has grown 55% and we will speak about it during the segmental performance as well, both the top line performance as well as the bottom line performance, how it has stacked up. Others, which is primarily our education

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business has also demonstrated a very significant growth of 44% on Quarter 2, year on year. So all our four business segments continue to demonstrate meaningful growth and in the subsequent slide, you will be able to see our bottom line performance as well.

Moving further. This is just a summary of what all I have spoken about. This is more for people who may probably read this presentation later. It is also uploaded on the Stock Exchanges. So, it is just a summary of what I've just spoken about. Overall consol growth of 26% with Adjusted EBITDA growth of 66% year on year and a cash profit growth of 209% for the quarter over the same quarter last year. India multi-channel grew 38% on adjusted EBITDA and 19% on revenue growth. International grew 25% year on year with improved Adjusted EBITDA. Losses are 18.9%, which is a 390 basis point improvement year on year for Quarter 2, from 22.8% to 18.9% losses. GlobalBees also delivered a strong performance of 55% growth and 154% growth in Adjusted EBITDA, over same quarter last year. So overall, if you look at it, the performance in the profitability at a consol level has been led by a gross margin expansion of 101 bps year on year at a consol level and a bit of an operating leverage, leading to 4.2% Adjusted EBITDA margin for Quarter 2, over from 3.2% in the last year Quarter 2. So that's the overall summary of our consolidated performance, even segment wise that you have been able to see at a meta level. We will go further down. Requesting Anish to change the slide please.

We will go through the business review. Some of these sections, some of these points might be repeat for some of

you who have been in our earlier calls or were there in our roadshows or prior, but for the new friends who have joined this call, first time, I'll just give a brief summary. We can then quickly rush to the segmental performance.

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This is our overall ecosystem, FirstCry platform. We are driving fundamental parenting needs of shopping, content, community and education. We've built a capability around data and technology, deep understanding for customers, array of Home Brands and great partnership with 7,000+ third party brands. We have deepened our moats with Manufacturing as well as Logistics & Supply chain and manifested all these capabilities that we have built in the form

of 4 business segments which is India multi-channel, which is our largest core business segment, which constitutes modern stores, online platform and general retail trade distribution. Second is International, which is our Middle East foray. It is completely online as of Quarter 2. The third is GlobalBees, which is house of brands and fourth is Others, which we call Others in our segmental performance, but essentially, it is education preschool business. So these are the four segments that just wanted to refresh moving further.

This is a data point that as of Quarter 2, our online GMV split and offline GMV split in India Multi-channel has been 77% vs 23%. We have added 9.4 million annual unique transacting customers and total store count that we have including all modern stores is 1,124 as of 30th September of this year. Our community continues to do very well and overall we have close to now out of 1,124, 498 FirstCry and BabyHug COCO stores as well. So our overall approach of multi-channel, which is online, offline and distribution continues to do very well where customers can purchase in a multi-channel way. They can shop at our own stores as well as can research online and can do either way vice versa as well, where they get the benefit of doing touch and feel on our stores as well.

Going further, this is overall breadth of our product range that we are addressing. We address all kinds of babies and kids needs, including expecting mothers, right from when she gets pregnant, to up to 12 year age kid, we continue to operate

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across 1.8 million SKUs offering from close to 7,900 brands on our entire platform.

So we have one of the widest and the most curated product range that we have and within that we have also built a very robust portfolio of home brands. If you will recall, that we had in our RHP, a Redseer industry report which has a statement around BabyHug, which is one of our oldest and the largest home brand. Incidentally, it has also been the largest mothers, baby and kids multi-category product brand in terms of GMV and also it has been in terms of the product assortment, the largest brand in Asia Pacific excluding China. We believe that we have continued to maintain that leadership from FY24 to Quarter ending Sep'24. BabyHug is available across platforms. We have now 307 BabyHug COCO stores as well, as of Sep 30th.

This is for our international foray. This is very important to highlight, that while India is the world's capital of mothers and babies and kids. We make 25 to 26 million babies a year. International market, which is UAE and KSA, has a very meaningful birth rate as well and spend per child is also meaningfully higher than India and overall childcare market as well as per capita spend is very meaningful for us. Our AOV in international business is almost roughly 3.9 times that of AOV of India business. We continue to successfully replicate our India playbook to our international Middle East market, UAE and KSA.

With that, I come to the last segment on GlobalBees. We continue to operate amongst our 4 broad categories, which is Home utilities, Pre

mium appliances, Fashion, Lifestyle and Home and Personal care. We continue to deliver superior performance through GlobalBees platform that we have built

in terms of getting customer insights and able to build products as per the new developments that we are able to get insights from, not just the third party market platforms, but

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also from the social fabric of the country. We are able to replicate those insights into the products and therefore be able to drive our growth.

So with all of that, I think numbers will speak more than some of the subjective points that we have talked about. So I'll hand over now to Gautam to talk about the segmental performance across our all four business segments.

Mr. Gautam Sharma Thanks Supam.

So we will now talk about the four business segments. The first one being the India Multi-channel business, which is the core business segment for us. After that, we will talk about the International business performance and then we'll move on to the GlobalBees performance, before we talk about the consolidated performance for Q2 and H1FY25.

So this is for the India multi-channel business. So these are the three important KPIs which are also disclosed in our prospectus, that is annual unique transacting customers, orders and GMV. You can see a very healthy growth in all the three important KPIs. AUTCs have grown by 16%, Orders in Q2 has gone by 19% and GMV has gone up by 21% in Q2 on a year on year basis. And for H1, it has grown by 19 percent on a year on year basis. Next slide. Net revenue growth, in Q2 over the last year Q2 is 19% for the India Multi-channel business and for the H1, the growth is 18%. This growth in Q1 was around 16%, so we are able to increase the growth rate for the India multi-channel business. Adjusted EBITDA is improving year on year from 7.4% in Q2FY24, we have reached to 8.6% in Q2 FY 25, which is a 38% year on year growth. Similarly, if we talk about the H1 performance, from 7.6% in H1 FY 24, we have reached to 8.5% in H1 FY 25, which represents a 31% year on year growth. Important thing to mention here is that generally, so if we talk about the last year Q2 performance, the margins, the adjusted EBITDA margins are slightly lower

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than the Q1 margins. However, given the strong growth and with a core focus on the improvement of margins, we were able to improve the gross margins in Q2 as well over Q1.

This is about the international business. Again, the three important KPIs, annual unique transacting customers, GMV and orders. So while the growth in H1 clearly has an impact of the floods in UAE and the advancement of festivities, we were able to post a very healthy growth in all the three important KPIs in the international business for Q2. Next slide. Revenue growth in Q2 FY25 over Q2FY24 is 25%. So from INR 165 Cr in Q2FY24, we have reached to a revenue of INR 208 Cr in Q2FY25. Similarly for H1 FY 24, which also has an impact of you know a lower growth in Q1, we were able to grow this by 16% on a year on year basis. EBITDA performance, on a year on year basis, is clearly improving from 22.8% negative in Q2 FY24, we have brought this down to 18.9% in Q2FY25. Similarly, from a negative 22.8% in H1 FY 24, we were able to bring this down to negative 17.8% in H1 FY 25.

We go into the GlobalBees performance. We have reported very strong growth in GlobalBees. A 55% year on year growth in Q2. One of the important reason of this strong growth is also an advancement of some seasonal sales by the platforms on which GlobalBees sells their products. So that was an advancement in September, last year it has happened in October. So we got the benefit of the advancement of seasonal sales. On H1 FY25 basis, the growth is 41% year on year. EBITDA performance is improving quarter on quarter and year on year and there is 2.5x

jump in EBITDA in Q2 FY 25.

So from 1.2%, we have improved this to 2% in Q2 FY 25.

Similarly, if we talk about the H1 performance, it has grown by 14.4 X from 0.2% in H1 FY 24, we have taken it to 1.7% in H1 FY 25.

Moving on to the next slide. So this is about the consol performance. So while we don't have an additional slide on

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the performance of education business, Supam talked about the growth in the education business, which is classified in others. So the growth in revenue on a year on year basis is 46% and similarly the EBITDA if I talk about for H1 again, this used to be somewhere around 16% in H1 FY 24, which has now improved to 23% for H1 FY 25. So there is a strong growth in all the business segments and a very good improvement in profitability as well in all the four business segment on a year on year basis.

This is the consol performance. We will start with the green box on the left hand side. That is basically the trend on the gross margins. Gross margins in Q2, it has improved by 100 basis points from 36.3% to 37.3%. And, further for H1, it has improved from 36% to 37.5%. Similarly, on the consol net revenue, given the strong growth in all the business segments, we were able to post a year on year growth of 26% in Q2FY25. Similarly for H1 FY 25, we have posted a growth of 22% on a year on year basis. Consol EBITDA as well, its improving every year. From 3.2% in Q2FY24, we have improved this by 100 basis point to 4.2%, which is a growth of 66% on a year over year basis. Similarly, for H1, we have improved the EBITDA performance from 2.9% in H1 FY 24 to 4.3% in H1 FY 25.

This ends our presentation now. Anish, over to you.

Mr. Anish Arora Thank you, Supam and Gautam.

I would like to hand it over to Gautam back in case he wants to highlight, say something before we move on to the Q&A forum.

Mr. Gautam Sharma Yeah, so one of the important things which I would like to talk about is that there is a recent, a search and seizure operation done by the GST authorities in Maharashtra in our corporate office in Pune as well as the warehouse in Pune. We have given this information to the Stock Exchange. So this started

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on 6th of November and this ended on 10th of November. On the findings, so the search and seizure was all about two points. One is the mismatch in 2B and 3A, that is what the vendor filed for us and what we show in our returns. So that's a mismatch. And the availability of GST credit for the IPO

expenses which is attributable to the shares issued by the company. So on this, we have paid a total amount of INR 1.74 Crore to the GST authorities, which includes the mismatch amount as well as the interest component for four years which is AY18-19, AY 19-20, AY 20-21 and AY22-23. So these are the four years and the information in this regard has already been shared with the Stock Exchanges.

Mr. Anish Arora Thank you, Gautam. We can now open for the Q&A forum. I request participants to raise hands for asking questions. We'll unmute you and you will have access to the mic. Please introduce yourself and the name of the organization you represent. The participants are also requested to limit their questions to maximum two. For any follow up question, you may join the queue again.

We have first question from Garima. Garima, we will unmute you.

Ms. Garima Mishra
(Research, KIE) Yeah, Thank you so much for the opportunity. My first question is on GlobalBees. Exceptionally strong metrics, both revenue as well as EBITDA. So anything particular you want to call out here which worked well during the quarter, you did mention seasonality, but anything apart from that and any of the constituent companies here which have sort of delivered a great quarter.

Mr. Supam Maheshwari So I will just take you down a little bit of memory lane here. I think

this is a favorite question for all investors as well that this industry has been probably painted by the Thrasio sort of a, I would say I won't call it a play, but it's just a bad sort of a nomenclature. But look, I think India for us, FirstCry itself is a

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great example, that a business model like FirstCry doesn't probably exist anywhere in the world, at least what we have learnt during our roadshows as well.

So we have demonstrated what we have built and I think similarly, GlobalBees with its consumer insights and ability to be able to innovate products, based on those consumer insights which it gets from third party platforms as well as from social platforms, converted into products is what it has resulted into, and then of course, a great execution and great supply chain that we have built. All of that has resulted into a great performance. While the performance has been extraordinarily good because of seasonality being advanced. But overall, industry continues to grow at, if you look at our industry report which a couple of quarters back that Redseer had published, it is 30% plus. So you know, we will strive our best to ensure that we continue to beat that. So I think that's where we are.

Mr. Gautam Sharma On a full year basis and just to add that the growth of GlobalBees for Q2, which is 55%, is a complete organic growth.

Ms. Garima Mishra
(Research, KIE) Got it. Good to know. Thank you, Gautam. My second question is actually to you. So there's this slide in the presentation which is reconciliation of loss / profit after tax to cash profit after tax, right. There are two line items here. One is IndAS 116 cost and then a cash outflow for these rentals. If

I was to look at this number for 1H FY 25, should I just assume that your real rent is INR 100 Cr? You are booking INR 119 Cr in the PnL and hence you know your P nL is understated by let's say INR 19 Cr.

Mr. Gautam Sharma That's the right interpretation, Garima.

Ms. Garima Mishra
(Research, KIE) Alright, OK, perfect. That answers my question. If I have anything else, I'll come back. Thank you so much.

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Mr. Anish Arora Thank you, Garima . Next, we have a question from Sheela.

Ms. Sheela Rathi, Morgan Stanley
Hi, thanks for taking my question s. Hi Supam and Gautam. So, my question again was on GlobalBees. I understand there was seasonality this quarter, but if you could just tell us how should we think about the growth rate and which are the strong quarters in general for GlobalBees? Going into future, how should we think about it? And again, I think Garima also asked that question is there any particular category which stood out for us in this particular season, or which has scaled up to, a certain level where we would want to talk about it?

Mr. Supam Maheshwari So as I just alluded couple of minutes back, the overall industry report states that the D2C sector and the categories that we are operating will continue to demonstrate a 30% + CAGR for few years. So we are pretty much in line with that on an annual basis. However, some quarters because of the festive season as GlobalBees operates and sells its products on a couple of third party marketplaces and therefore does have an impact on seasonality or some of those sale periods and there are few of them, few of such sale period during the year. So it does have an impact but on an annual basis we should be able to be around what we just talked about as what industry report says.

Ms. Sheela Rathi, Morgan Stanley
And with respect to the profitability, Supam, is this going to, I mean we have delivered 2% EBITDA margin. So should we think of this to improve going ahead or again this had some seasonality to it.

Mr. Supam Maheshwari No, no, there is no. As some of our businesses are fairly, I would say not very mature. This is a 3.5, 3 year plus old business. We are

in our 4th year of our operation. We started in May'21. So this has a long life where we can continue to expand and we will continue to strive hard to demonstrate

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both top line growth as well as bottom line expansion. It is just the beginning. I mean we have just started.

Ms. Sheela Rathi, Morgan Stanley
Understood. Thank you.

Mr. Anish Arora Thank you, Sheela. The next question is from Sanidhya.

Mr. Anish Arora Sanidhya, you can go ahead.

Mr. Supam Maheshwari I think she has probably logged out or something. Maybe we can start with someone else.

Mr. Anish Arora Sure. Next question is from Tejpal.

Mr. Anish Arora
Tejpal, please unmute yourself and ask the question.

Mr. Tejpal Singh Hello?

Mr. Supam Maheshwari Yes

Mr. Tejpal Singh My question is that from five years now, where we are seeing ourselves in the Indian markets or as a company, what is the five year plan where we are seeing in the revenue terms in the profitability terms? And the second question is that in the product line, what we are selling, but the in terms of the what we are getting to do, which is most ... (voice unclear)

Mr. Supam Maheshwari Sorry, I got your first question, but I did not get your second question.

Mr. Tejpal Singh OK, so in the age category where we are getting to the 12 year, till the 12 year old age, but I just want to ask which age category we are catering to the most?

Mr. Supam Maheshwari Oh, OK, sure. So the first questions answer, Tejpal, is actually we are operating in, you know, in next four to five years, our

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overall TAM will be close to \$120 billion. So we have a significant headroom even in our India multi-channel core business, which is the largest and 14 years in sort of play. We are very small. Although we are the largest multi-channel play in the mothers baby and kids domain. But we are very, very small. In India, the childcare market itself will become a \$64 billion in over next four years or five years. So therefore, we will continue to compound all our topline across all four business segments. Our other two businesses are fairly new. International, especially in that, Saudi Arabia, that's a new business and GlobalBees, I just spoke about is 3, 3.5 year old business. So they'll continue to grow. So from a growth perspective, I think we should be able to see a sustained growth because our TAM is fairly large as I just spoke about and we are very small.

To answer your 2nd question. The largest segment, obviously, our 6 to 12 business was launched just a few quarters back. So it will take us some time to actually build on that. So our large part of our business is 0 to 6, because that's how we started our business 14 years back. It will take us a bit of a time to balance this, as our cohorts gets built up over a period of time. Our large part of our business comes from 0 to 6, both online and offline, while 6 to 12 will continue to build, as you know, those customers who are at 5 or 6 years old kids, they'll continue to transact with us over a longer period of their life cycle. I hope I've answered.

Mr. Tejpal Singh But so ok, so thank you. And my next question is that in the education segment where we are, what is our strategy like we are seeing as ourselves, as a DPS as a establish itself or we have another strategy or I just want to know your thought process.

Mr. Supam Maheshwari

We largely run a franchised model which is an asset light building preschool, which is catering to kids from 2.5 year old, to somewhere around 6 year old. So it's before they go to K12

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proper school. This is where we operate in. We have business partners who we work with and we provide all kinds of curriculum, technology, to help and facilitate the admissions and so on so forth, and the brand, all of that is being leveraged with our business partners

to be able to provide. This is a very big market. A gain, it's very unorganized and within that it's very unbranded. So millions of parents want to actually give lot more organized and lot more branded and quality education to their young ones and that's where we are coming into the place. So we have a huge headroom to build our sort of model within the preschool market. That's what we will continue to do in an asset light way.

Mr. Tejpal Singh OK, so any guidance for the like in the 2-3 years how many schools we are going to operate or in the franchisee based model?

Mr. Supam Maheshwari As I said, we are a very small, Tejpal. The market is 50,000+ preschools in the country and 80% of them, a large part of them actually is unbranded. So you can imagine, I mean we are less than, sort of, we are very small and although we are growing quite meaningfully as you can see in our numbers of 44% growth. We'll continue to demonstrate that growth as we go along. We are insignificant as far as overall preschool market is concerned. So the overall branded segment is small. So the branded segment is growing and within that we are probably growing in a very fast way.

Mr. Gautam Sharma I think that revenue growth is an indication of the number of schools that we are opening and you know and plus you know it's a very high profit business as well.

Mr. Tejpal Singh So, Sir I just wanted to quantify the number like we are in, is there any plan to operate at 200, 300 schools like this one to know the number if you have any?

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Mr. Gautam Sharma End of September, we are already sitting on the, number of schools are already 300+.

Mr. Tejpal Singh OK. Thank you. Thank you for my questions and best of luck for the future.

Mr. Supam Maheshwari Yes, thank you.

Mr. Anish Arora Thank you, Tejpal. Next question is from Anamitra.

Mr. Anamitra Basu, 360

ONE Asset

Congrats on a great set of numbers. 2 pointers. For H1, we have a mix of 23% offline with 77% online. So what would be our steady state mix. Any target that we have we have in mind offline vs online?

Mr. Gautam Sharma If you see the historical trends as well, if you see a disclosure we have made in the prospectus also, for last 3-4 years, the mix between online and offline, it remains in the same trajectory, probably 1% here and there. 76 could become 75

or 76 could become 77. So we don't expect this number to change significantly.

Mr. Supam Maheshwari And we have a lot of headroom to grow even in offline. Because being, you know there are no, FirstCry is the largest organized player in the country. We have 1,100 stores today and in some of the other brands that you would think of, in the other categories, whether it is like categories like Bata or Raymond or other brands, they have significantly higher number of stores 1,600 to 2,000 and even more. We continue to believe and we are only there in 500+ cities as of today. So not only we will continue to add First Cry stores, we will continue to add BabyHug stores, which can coexist in the same vicinity. So therefore, we believe our offline platform or offline stores will continue to improve our overall multi-channel story as we go along and it will continue to demonstrate growth as a multi-channel. While this percentage may not, as Gautam said, significantly change

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because both both online offline will continue to grow. That's the beauty of our convenience and all the benefits of online offline that we want to proliferate and give it to our audience, young parents and that's what we believe is something that nobody can give and probably what we have delivered and what we continue to deliver will be very good for our audience to give their largest wallet share to us.

Mr. Anamitra Basu, 360

ONE Asset Sure, of course. One related point is in terms of, so on an overall basis for

the India Multi Channel segment, we are at 8.5% EBITDA margin, right? So, at a store level, what would be the EBITDA margin, any indications on that?

Mr. Supam Maheshwari So Anamitra, I would sincerely request that you should not look at our business, further segment wise in terms of offline or online. During our Q1 call as well, I talked about it, our customers transact both online as well as offline. There's a huge amount of overlap of our customers that they transact on both the channels and now we have also started a distribution channel as well, which is growing as well and within that we only sell largely BabyHug and our home brands only. So essentially the customer can get penetrated through our distribution platform, through 1 lakh+ retailers that are selling our BabyHug products, and then they can also, if they want to buy extended categories or product types, or subcategories, they can come to our offline channel, which is, our COCO or FOFO stores or our FirstCry or BabyHug stores and then they can also come to our online. So as the trust builds different set of customers which are, I would say e-commerce savvy, or they want to have a convenience of buying offline, with the touch and feel with instant gratification and having a sort of an experience of buying offline, taking their families out. So all of those that we provide, so please look at our business in a multi-channel way and that is what we believe that with more stores and with this coherent approach of a multi-channel, we'll continue to improve post marketing CM-2 and thereby over a period of

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time, continue to improve our EBITDA as well. And that's what has happened in the past as well.

Mr. Anamitra Basu, 360

ONE Asset

Yeah, yeah, got it. Sir, my last question would be on the international business. So I think the Landmark group is also planning to launch in India, which is also there in KSA. Do you see the competition intensifying in both of these geographies where we are operating in.

Mr. Supam Maheshwari Both of the geographies you mean?

Mr. Anamitra Basu, 360

ONE Asset

Both India and international.

Mr. Supam Maheshwari See, Landmark is already there in Middle East, right. They are already there. In India, yes they have opened few stores and there is no dearth of competition in India.

So, I don't think. See, if you look at our te net, which is building a multi-channel experience to the customer. So if a customer can buy offline and can remember and build that trust with the product as well as with the platform, then they come online and also buy the same brand, same product which is not available. So BabyHug today is not available and some of our brand partners, have also products which are with us alone and some of our home brands. So all of these make us, I would say very differentiated platform with our curation, with our personalization, with our convenience of you know, you know faster deliveries and so on and so forth. With our 80 warehouse supply chain network of 40 cities same day delivery, 1,000+ cities next day delivery. All of this to provide by a new player, to a new young parent only in offline will not cut the ice, that's our view.

Mr. Anamitra Basu, 360

ONE Asset

All right. Thanks a lot and all the best.

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Mr. Supam Maheshwari Thank you.

Mr. Anish Arora Thank you. The next question is from Sachin Salgaonkar

Mr. Sachin Salgaonkar Thank you for the opportunity. My first question is just wanted to understand more on Ad and promo expenses which have increased to 9.1 as a percentage of revenues slightly higher than what you've seen in the past. Question out here is, were we spending more on India multi-channel or International or any other business and how should we look at the spend going ahead?

Mr. Supam Maheshwari Sure, Sachin. So Sachin, I would like to

draw your attention to

our AUTC. If you look at our AUTC, in just India multi-channel, we were at sort of 1 million addition for FY24 and then for Q1 for annualized basis, it was 1.1 million. Now it is 1.3 million. So, we have been continuously increasing our AUTC rate. So that's #1. #2, if you look at our mix of the business, India multi-channel is still at a fairly decent maturity stage compared to our International and GlobalBees business which are fairly new and within that KSA is even more newer. So as the mix will change, so you will probably be able to see percentage wise increase while we will continue to optimize our overall spend in a way that we ensure that the CM -2, which is contribution margin post marketing, continue to improve. So

that's what we have been able to deliver even in this quarter and that'll be our endeavor that even if you improve, that percentage might look higher, but at CM -2 level which is post marketing contribution margin, we are still accretive. We are still better off than the quarter two last year or H1 of last year versus H1 of this year. So we have demonstrated that already in our numbers and with that, I think we feel very comfortable going forward that with that thesis in mind, with that discipline in mind, we'll be able to continue to steer both top line growth as well as bottom line growth.

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Mr. Sachin Salgaonkar Thank you, Supam, very clear. Second question, we are hearing multiple comments from multiple consumer companies about an impact on some kind of a consumption slowdown now in urban areas, also. I wanted to understand if you guys are seeing any impact especially on your same store growth on the back of that?

Mr. Supam Maheshwari Sachin, this particular question came in the last time around. We don't look at our business from a same store basis. We look at our business in a multi-channel way because we would like that customer, and that does happen in the past, for many years and will continue to happen for many years to come. I don't think the behavior will change significantly and that's why we feel we are fairly unique. That our customers who join our platform first time either offline, they continue to go to online for multiple transactions or they continue to first come online, they also go back to stores in the vicinity of their homes to do transactions offline. So with that basis looking at an SS SG is not the right metric to look at our business. The best metric to look for our sort of multi-channel is you know CM1 or CM2 kind of sort of a data point which is there in our supplementary sheet. Although it's at a consolidated level, but large part of our business is multi-channel, so you can assume it is reflecting and coming from the India multi-channel. So we'll continue to demonstrate that. We would like to add more stores over longer period of time, because that's what we have stated in our RHP as well. We have added close to around 40 stores in quarter 2 over last quarter period. And we'll continue to add that because we believe we will be able to add a large number of stores in next four to five years. Because we are the, as I just said, some of the other categories have a large number of stores and our stores give lot of benefit to us even in online and online gives benefit to offline. So together, it becomes a strength. So we look at our business in a more totality to arrive at a unit economics and that's why we invest our energies like that. So that's how we believe we

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have been successful in the past and we'll continue to demonstrate even more success going forward.

Mr. Sachin Salgaonkar So then, so to clarify and not much of an impact on consumption slow down on your business, right?

Mr. Supam Maheshwari Well, consumption slowdown is something that, at least Q2 numbers is visible to you. So, I don't have to say much on that.

Rest I think we are in a category, its 16%, I would say only organized. A lot of industry is getting from unorganized to organized and we are the largest player, so we'll continue to gain and benefit from that. So that's how I will put it. I don't

think we should look at it one or two or three months, one or two quarter, maybe these are things that we haven't experienced in the past because we were small, now we've become a certain size, but I think we're still small compared to where we want to reach. So over a longer period of time, some of these things probably will not matter.

Mr. Sachin Salgaonkar OK. And then last question and I know that you got this question, you know regularly in the past as well, but you know every month quick commerce platforms are getting bigger and bigger. So as we speak today, you know any impact from quick commerce platforms because there are certain standardized products for example diapers which could be eventually bought and sold on those platforms.

Mr. Supam Maheshwari So Sachin, first of all, I think you must understand first as a platform, we are at an e-commerce level available PAN India, across thousands of PIN codes. On our stores, we have 500 plus cities covering Tier 2, Tier 3, Tier 4 cities as well, 500 cities is where we are present. So whereas quick commerce is present probably in metros or probably top 8 - 10 cities or over a period of time they may get to it, sort of state capitals, but I think they're largely and broadly present in top ten cities or 12 cities. Having said this, if you look at the categories and we deliver, as you know already, and you would have seen in

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our RHP as well, we deliver 40 plus cities same day delivery and 1,000 plus cities next day delivery and this we have not been doing it in last six months or nine months. We have been doing it for many, many years probably, we were the first original company or long back we built this model to, we never called it dark stores and stuff like that, but we had built this model long, long time back. So we're delivering this kind of customer experience for a fairly long period of time, although we'll continue to improve as we'll build more proximity to our customers to be able to give better experience. But with our PAN India, with our offline 500 cities approach, with already a large network of sort of SDD and NDD, and on top the category overlap is very minimal. It's just probably diapers where and it's not as significant sort of. So therefore, we do and we are solving for mothers who are looking for trust, looking for products. So we believe that these are very planned sort of purchases. There will be some sort of young parents or mothers who may want to buy, but what they probably feel comfortable buying with us along with other products in the kind of an assortment that they can get from us is probably usually a mother's purchase is very planned, but that's how we believe that it's not been a very material sort of impact even today or going forward. That's what we assume and we believe, but we'll continue to improve as we go along in our giving, getting more proximity to the customer. So that's what we'll continue to do. So, so that's where we are placed. Because majority of our business if we remember as you know, I think as we've discussed in the past, is fashion.

Mr. Sachin Salgaonkar Yeah, got it. Thank you. And all the best.

Mr. Supam Maheshwari Thank you.

Mr. Anish Arora Thank you, Sachin. We'll now take the last question. Ankit, please go ahead.
Ankit, please unmute yourself and ask the question.

Mr. Ankit Kedia Hello, can you hear me?

Mr. Supam Maheshwari Yes, yes

Mr. Ankit Kedia Hi. Just on GlobalBees, just to probe more, which company actually you know in GlobalBees is leading to this turn around.

Is it Frootle or Kuber, because these are profi

table before also

and on the sales side you know Merhaki Foods has grown exponentially in last couple of years. So if you can give us more granular data or it will help us analyze because it becomes difficult for us to look at the consolidated company level.

Mr. Supam Maheshwari Sure. So Ankit, just look at that from a window of, there is no brand concentration in the business. Don't look at a company because that's not how you should look at it because from an investor perspective, from an operator perspective, from our perspective, our GlobalBees' perspective, how we look at it is at a brand level. No brand is, one single brand is dominant or even more than 20% or more than I would say 15% of the overall sales. So I think from that window we are quite distributed at a brand level. So it's quite, fairly distributed and that is what is the beauty of the model that we have built as a D2C platform which enables us to continue to get more insights, from the third party platforms from the social networks and being able to deliver and internally all the tech platform that we have built to be able to come up with more product innovation based on those insights and being able to quickly use our internal capabilities from a sourcing to a supply chain, being able to deliver on the ground to deliver growth. So that's how we have been able to demonstrate growth.

Mr. Ankit Kedia So and from the investments from the fund raised from the standalone entity to Globalbees. Now when does that happen

and how will our stake change in GlobalBees once that investment happens?

Mr. Gautam Sharma So, we have already invested. We have agreed to utilise around INR 170 Cr in GlobalBees, either in the form of investment or by way of loan. To help GlobalBees acquire additional stake and those are committed stakes in 3 of its subsidiaries. Out of INR 170 Cr, we have already invested around INR 85 Cr in GlobalBees for them to increase their stake as per what we have agreed in prospectus. In terms of our shareholding in GlobalBees today, we hold around 50.73% shareholding in GlobalBees

Mr. Ankit Kedia So the investment is in form of debt and not equity.

Mr. Gautam Sharma No, it is in the equity now. So what we have agreed in the prospectus is will be in the form of convertible equity.

Mr. Ankit Kedia Ok. My second question is what's leading to this Gross Margin expansion? Are we seeing any mix change in product with apparel share increasing significantly or is this gross margin sustainable?

Mr. Supam Maheshwari Ankit, I think over a period of time, as there are multiple levers

across our business segments. In our India multi-channel, which is the largest core business segment, if I talk about it. We have multiple levers to continue to improve our gross margins. One is simply our category mix changes. Second is home brand mix. 3rd is scale and size of our home brands itself which leads to a COGS reduction and 4th is our third party brands where we will continue to as over scale be able to you know get better margins. So I think with those four levers over a bit longer period of time, we should be able to, continue to improve our gross margin as we've demonstrated in the past for many years in a row. We should be able to continue to demonstrate that over longer period of time.

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Mr. Gautam Sharma In fact from FY23, we have improved our gross margins by almost 400 basis points. It used to be 33% in FY23. And it is, it is hovering around 37% as we speak.

Mr. Supam Maheshwari And some of our other new businesses like International are yet to improve, yeah and so on and so forth. Yeah. So there is. Sorry go ahead.

Mr. Ankit Kedia So this quarter, if I could just point out from a quarterly basis of the three levers which you called out for gross margin expansion, how many bps came from each of those levers?

Mr.

Gautam Sharma All the levers have contributed to the improvement in gross margins.

Mr. Supam Maheshwari This will be a continuous process across all levers. There is no single lever as a management team or as a team. We will never leave anything unturned to continue to expand our gross margin because as an execution machine, as a team, we are continuously after both top line expansion as well as bottom line expansion led through a gross margin expansion and some operating leverage.

Mr. Ankit Kedia My last question is on the EBO expansion for the International market. When do we start seeing that happen?

Mr. Supam Maheshwari Sure. So we have an update that we have hired the head of the business for our offline foray and further team is getting hired. I think you should see a couple of stores in the next year.

Mr. Ankit Kedia And will the unit economics remain the same? These are COCO stores?

Mr. Supam Maheshwari Unit economics - you will have to look at a multi-channel basis. That's how we would look at the unit economics because the same customer as I was talking about for the

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India business. Similarly it will, we would like it to, I mean we will experiment with the first few stores and then we will scale it up. But we believe that it'll follow somewhere what India trajectory is.

Mr. Anish Arora Thank you everyone. Supam, I will hand it over to you again for any closing remarks.

Mr. Supam Maheshwari Thank you very much all of you for giving your time on a

evening. With that, I think we will continue to strive hard for delivering performance as what we have delivered this quarter over a longer period of time.

So thank you for joining us and listening to us and our story.
Thank you.

Mr. Gautam Sharma
Thank you everyone.

Call: Feb 2025

FC/SE/2024 -25/84

February 14 , 2025

National Stock Exchange of India Limited

Exchange Plaza, C – 1, Block G,

Bandra- Kurla Complex, Bandra (E),

Mumbai -400051

Symbol: FIRSTCRY BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400001

Scrip Code: 544226

Sub: Transcript of the Audio-video recording of Earnings Call of Brainbees Solutions Limited ('the Company') Q3 & 9M FY25 results

Ref : Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated February 08, 2025 bearing reference no. FC/SE/2024-2 5/80

Dear Sir/Ma'am,

In terms of Regulation 30 and Regulation 46 read with Part A of Schedule III of the Listing Regulations, please see enclosed herewith transcript of Earnings Call with the Analysts/Investors held on Saturday, February 08, 2025, post announcement of Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended nine months ended December 31, 2024.

The audio-video recording of the Earnings Call along with the Transcript has been uploaded on the Company's website and the same can be accessed from the link provided below:

<https://www.firstcry.com/investor-relations/analyst-earnings-calls>

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours sincerely,

For Brainbees Solutions Limited

Neelam Jethani

Company Secretary & Compliance Officer

ICSI Membership No.: A35831

Encl: As above

Brainbees Solutions Limited CIN: L51100PN2010PLC136340

Corporate/Registered Office:- Rajashree Business Park, Plot No. 114, Survey No. 338, Tadiwala Road, Nr.

Sohrab Hall, Pune – 411001 Contact: + 91-8 482989157 Email Id: legal@firstcry.com Website: www.firstcry.com

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"Brainbees Solutions Limited (FirstCry) - Earnings Call

Q3 and 9M FY 25 Results"

February 08, 2025, 6.00 p.m. IST

Man

agement:

Mr

. Supam Maheshwari

Managing Director & CEO

Mr

. Gautam Sharma

Group Chief Financial Officer

Mr. Anish Arora

Investor Relations

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Mr. Anish Arora Good evening, everyone. Welcome to the Brainbees Solutions Limited Q3 and 9M FY25 earnings call. This is Anish Arora, and I have with me, Mr. Supam Maheshwari, Managing Director and CEO of the Company, and Mr. Gautam Sharma, Group Chief Financial Officer.

Kindly note that this call is meant for analysts and investors of the Company. We wish to highlight that the call is being recorded and by participating in this event, you consent to such recording, distribution and publication. All participants have been muted as per the default mode and participants will be unmuted once we open the Q&A forum for the members to ask questions after the presentation from the

management concludes.

We will be covering the presentation in the beginning of the call and we will

there after open for the Q&A forum. We

would like to point out that some of the statements made in today's call may be forward -

looking in nature and the

disclaimer to this effect has been included in the investor presentation shared with you.

Also, there was some delay in uploading the presentation from our side due to some technical reasons. Apologies for the same.

With this, I request Mr. Supam Maheshwari to take it over.

Mr. Supam Maheshwari Good evening, everyone. Welcome again to our Q3

performance review and earnings call. Appreciate your time

on the Saturday. So we'll take you quickly through some of the numbers and the qualitative journey of our Q3 quarter. We will now move to our first slide .

We are very delighted to highlight that this has been our best quarter in terms of profitability in the last four years. We are

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happy to report a consolidated profit before tax of INR 69 million

in Q3 and INR 941 million consolidated cash profit after tax. And best ever India multi -channel adjusted EBITDA, adjusted for ESOP cost , at 11.2%. And consolidated adjusted EBITDA as well of 6.4 %. These are all all-time high numbers, the best ever quarter in the last four years for all of us. Overall adjusted EBITDA for the consolidated business has increased by 54% on the nine -month basis compared to the nine months for the FY24. We will continue to work hard and we remain very optimistic for our journey forward to continue to improve both our top line as well as bottom line.

Before we dive into our Q3 performance, I would like to take you through our nine months snapshot as well. So this is a slide which talks about our nine -month snapshot. Continued growth momentum with improvements in profitability across our business segments. This is a consolidated performance . Annual unique transacting customers in India and Middle East, 17% increase for the period ending Dec '24 vis-a-vis period ending Dec'23, annual unique transacting customers. Likewise, our GMV grew for nine months over last nine months by 17% and the net revenue from operations increased by 19% to INR 5,729 Cr . And consolidated adjusted EBITDA grew by 54% for nine months ending Dec'24 vs nine months ending Dec'23 to INR 293 Cr and India multi- channel as well grew by 26% for the same nine month period resulting into overall cash profit after tax of 47% increase for the similar nine months to INR 139.7 Cr. This is a nine month performance and now we'll take you through our journey for the Q3 performance. And then we'll go into the segment wise approach as well.

On our overall growth in the Q3 and Q4, we'll give you a little more color and summary, business segment wise. But at a broad level, we had seen advancement of seasonal spends both in India multi -channel as well as in Globalbees segments. Annual Unique Transaction Customers continue to be robust at 17% increase . If you look at our prior period for FY 24, Q1,

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Q2 and Q3, it has been continuously increasing from 12%, which became 14% in Q1, then 16% in Q2 and now it has become 17%. GMV increase in Q3 is 13%. Net revenue from operations has increased by 14% in Q3 over last year Q3' 24. And consolidated adjusted EBITDA increased by 30% in Q3 over Q3 to INR 138.5 Cr. And at India multi -channel level, we

grew by 20% resulting roughly around INR 169 Cr and a cash profit of close to INR 94.1 Cr, which is a 25% increase from a Q3 to Q3 window.

Now we'll take you through a little bit more deeper dive into our segmental performance. First of all, the key updates. On India multi-channel, the growth in Q3 was moderated primarily because of advancement of festivals. Dussehra and Durga Puja which was in early Oct '24, while in the prior period it was in late October in CY23 and which essentially meant that we had some advancement in Q2 of this year. And you should see our business in a Q2 and Q3 way or a nine month way. That will give you a true reflection. We also witnessed a delayed winter which resulted in moderation of some winter sales for us. We also, for the first time in our history, we have done some cleanup of a few COCO stores that we have closed and this is the first time since we have started expanding into our COCO stores and we'll give you a lot more color as we sort of go along. But these are the key updates that really happened from India multi-channel, which is our core business, which resulted into a little bit of a moderation of growth in the Q3.

Mr. Gautam Sharma In terms of growth in annual unique transacting customers, as Supam mentioned, it's continuously improving from 12% in FY24, improved to 14%, then 16% and for nine months, the growth is 17%. Orders and GMV in Q3, there is a slight, a lesser growth because of reasons Supam just explained which are -

Advancement of festivals, moderation of winter wear and closure of few COCO stores. However, if you see the growth for the nine months, in terms of orders, it has grown by 17%

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year on year and on the GMV, it has grown by again 17% on a year-on-year basis. Similarly, net revenue, a similar impact in the net revenue in Q3. For the three reasons mentioned earlier. But revenue for the nine months, it is 17% year on year. We continue to improve our adjusted EBITDA from 10.7% in Q3 FY24, we have improved this by 50 bps to 11.2%, which is an increase of 20% year on year for Q3. Similarly, talking about the nine months adjusted EBITDA performance, we have increased this to 9.5%, from 8.8% in nine months last year which is an absolute increase of 26% YoY.

This is a snapshot of our journey of EBITDA margins which you can see a clear improvement in the EBITDA margins. 6.2% in FY23, improving to 8.8% in FY24 and further to 9.5% for the nine months in FY25.

Mr. Supam Maheshwari So now we will move to the International business. International business, there were some key updates there. In Q3, QND specific period, November typically is our biggest month, typically for the year as well as the industry, industry has two sales which is Singles Day and Black Friday. And in that, there were two new Horizontal entrants into the market which has recently entered into the Middle Eastern market and they had some elevated promotional activities by these two horizontal e-commerce players. We consciously stayed away from these elevated promotional activities, as we wanted to continue to focus on our achieving sustainable growth by improving our margins through our moats that we have built and we continue to build as we have done in India. So for the shorter duration, it has definitely impacted some of our growth, especially in the key month of November, which witnesses two big events in the region. So that's what we

wanted to highlight for the key update for the Middle East.

Mr. Gautam Sharma So again, in this business, which is KSA and UAE, the Annual Unique Transacting Customers continue to grow at a 17 % growth , end of Dec' 24 over end of Dec' 23. Orders in Q3, as

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Supam mentioned because of the promotional activities done by the two new entrants , it has slightly impacted the growth in orders and the GMV. The growth in orders in Q3 is 9%. Similarly, the GMV growth for the Q3 is 11%. Nine months , if you see , the growth in orders is 8% while the GM V growth is 15%. Again, I would like to mention here that, there is also impact of Q1 here. In the International business. As mentioned in the earlier calls, the Q1 also got impacted because of the advancement of festivals and the floods in UAE. This is the revenue growth, 13% revenue growth in Q3 and 15% revenue growth for the nine months on a year on a year basis . Adjusted EBITDA , we continue to focus on , while the growth is lesser in Q3, we continue to focus on improving our EBITDA performance . You can see a clear improvement year on year and quarter on quarter .

From 16% negative

EBITDA in Q3' FY24, end of December, we have improved this to minus 15%. And if we talk about the nine months performance , it is down from (20%) in nine months FY24 to (17%) in nine months FY25.

Mr. Supam Maheshwari On the Globalbees front, the key highlight for this is, as you will remember, this business is generated a lot on the marketplace platforms . And where again the impact of the advancement of , marketplace sales promotion , that happens on an annual basis during around the festivities and which was impacted in Q2. In Q2, if you remember, we had a growth around close to 55%. And because of the advancement of those promotional festivities, or by the platforms and in the Q3, we were expected to be moderating on that . And if you look at , on a nine month w

indow, it is 29% growth.

Mr. Gautam Sharma Yeah. Similarly, a continuous improvement in EBITDA performance for Globalbees. From 0.6% in Q3 FY24, we have improved this to 1.4% in Q3 FY25. A jump of 2.6x . For the nine months performance, we have improved this to 1.6% in nine months FY25, compared to 0.4% in nine months FY24. Again, a jump of 5.9x. So this is continuously improving .

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Before we talk about the consol . financial performance, there is a fourth business segment which largely consists of our franchisee preschool business. So, you know, as of today, we have close to 350 franchisee pre -schools , with more than 16 thousand students . We started this journey two years back only, two and a half years back . In terms of their performance, the growth in nine months is around 35% on a year -on-year basis. And the growth for Q3 is around 33%. EBITDA for the nine months is around 23% EBITDA , for Q3 is around 22%. Nine months EBITDA is a 71% year on year increase compared to a nine month in FY24.

On the consol . performance, the revenue growth is 19% for the nine months. And the revenue growth for Q3 for the reasons mentioned earlier for Globalbees, International and India multi -channel business , the growth in Q3 is 14%. You can see a continuous improvement in the Gross Margins . From

34.5% in Q3 FY24, we have improved this to 37% in Q3 FY25. Similarly, for the nine months, the gross margins has improved to 37.3% compared to 35.4% in nine months FY24. This is also reflected in our consol. EBITDA performance . 5.6% improving to 6.4% in Q3 FY25, which is a jump of 30% year on year . And the 4% consol. EBITDA in nine months FY24 has increased to 5.1% for the nine months FY25, which is a n increase of 54% year on year. This is again, the EBITDA journey on a consol. basis , a significant improvement in the EBITDA, as a result of the improvement in the EBITDA in all the four business segments. India multi -channel business continuously improving , Globalbees business becoming profitable . Then, Education business , profit continuously improving and the International business , the losses continuously going down. So as a result, 1.5% adjusted EBITDA in FY23, has now reached to 5.1% for the nine months FY25.

Mr. Anish Arora Thank you, Supam and Gautam. We can open the Q&A forum now . I request participants to raise hands for asking

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questions. We will unmute you and you will have access to the mic. Please introduce yourself and name of the organization you represent. The participants are also requested to limit their questions to maximum two. For a follow -up question, you may join the queue again.

First question is from Mr. Sachin Dixit.

Mr. Sachin Dixit Hi, Supam and Gautam and thanks for this opportunity . Congrats on turning PBT positive. My first question is with regards to gross margins, obviously on a consol. level, we are seeing a decent jump. Can you provide some color on gross margins on India multi- channel business and the parts of it?

Mr. Gautam Sharma So Sachin, gross margin in all the four business segments continue to improve. India multi- channel business is our core business, which is 70% of the total revenue . So the gross margin in the core business has to improve to improve the overall gross margin in the consol. business . So it's improving you know in all the business segments

Mr. Supam Maheshwari And the reasons remain the same, Sachin which is improvement in our home brand sort of a share , improvement in COGS reduction in our home brand , negotiation with third party brands , and improvement in our category mix , and the share of the COCO sales as well. And this is just for the India multi -channel and likewise the same story and same playbook is being reflected in the Middle East as well from a gross margin expansion window. And as we have mentioned

in past, Globalbees is also a young company. So there is also a gross margin expansion there as well. While our education business is in any way , doesn't have much, it's a very small revenue so not worth talking about it from that perspective . But all our businesses have been expanding our gross margins. And as Gautam said, largely impact of our core India multi- channel business. And we have not reached

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steady state , as we have been saying in the past, we will continue to improve our gross margins even going forward.

Mr. Sachin Dixit Got it. Got it. Fair enough. Coming to Middle East or International business, right? Obviously, Q1 we saw floods which were unfortunate, Q3 we see some horizontals becoming aggressive . And it continues to, I mean, more or less

being a laggard, compared to the overall sort of thesis how we should have envisioned playing it out.

Do you still feel that this is a battle worth fighting for? Do you have a right to win considering the impact that we are seeing so far?

Mr. Supam Maheshwari Sure, Sachin. A fair question. Look, this is the same story that we have played out in India where we had sort of multiple horizontals. Just the two new recent entrants that have come, horizontal ones, not a focused baby and kids sort of a player. It's very hard for a horizontal to play a mother's baby and kids sort of a vertical play with all kinds of moats that one has to build. So it is, the competitive intensity has definitely increased. So we will continue to play our game even more in a fine-tuned way, but this is a very long journey, and we will continue to improve, play out with our moats. And we'll continue to improve our sort of bottom line performance as we go along. But we can't just take a view just because of one or two quarter's performance. Because we have exactly played out that in India and we feel very confident of playing out that in the entire region over a slightly longer journey. So we remain confident about it.

Mr. Sachin Dixit Got it. Just quick follow up on this one, if I can squeeze that in. Have you proactively launched your home brands in Middle East region or they are still in a nascent stage? That's the last question. Thanks.

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Mr. Supam Maheshwari And so we definitely have our, I mean the home brands that we have in India and we have launched special home brands for the Middle East market as well. So there'll be a mix of both that we have launched in the Middle East and that story will pan out over a period of time as consumer, young parents, adapt and use those brands and as the network effect or the word of mouth, goes around and more and more usage of those brands across categories and subcategories and product types, they continue to buy more and more. So this is exactly how that story played out in India. It is what will play out in the Middle East as well.

Mr. Sachin Dixit Got it. Thanks so much and all the best.

Mr. Supam Maheshwari

Thank you

Mr. Anish Arora

Thank you, Sachin. Next question is from Percy.

Mr. Percy Panthaki Yeah. Am I audible?

Mr. Gautam Sharma Yes

Mr. Percy Panthaki Yeah, so sir, on the India margins, although there is an expansion there, I think our ambition was to expand about 150 basis points plus, per year, for the next few years. We are tracking below that level. So what is the reason that we are tracking below that and also what would be required or why do you think that we will come back to that level and by when?

Mr. Supam Maheshwari Sure. Percy, I think if you look at it, the reasons that we have talked about in Q3, we believe that we could have grown little higher than what we grew in Q3. And if you would have got because of the winter sale, we had a delayed winter in the country. And, that would have actually led to a slight

ly, I
would say a higher proportion of even fashion
as a category for us and winter sale , which would have meant more growth

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and given us more operating leverage , and more bang for our buck for our marketing spend. And also we had a few COCO stores that we cleaned up. And because of some of these reasons, we believe that we have left out some expansion that we could have had, being able to pocket which is not reflective in our numbers. And hoping that in the subsequent quarters and in the coming quarters, we'll be able to recoup that but in a long journey of next four to five years you will continue to see our margin expansion because our levers for margin expansion pretty much remain the same. If you look at our AUTC growth, it is the highest ever . We were at 12% for the FY24, it became 14% for Q1, 16% for Q2, and now 17% for Q3. Had we not had this winter sort of an impact, maybe we would have had a higher sort of a cohort leading to more higher sales, and more growth , given us , more operating leverage, more bang for our marketing cost and therefore you would have seen a little higher impact on the bottom line as well. So that's what I would summarize more of, I would say a short-term impact . But we still have grown 70 bps , on a nine-month basis . And we will continue to improve our gross margin, marketing efficiency , operating leverage , resulting into our core India multi-channel adjusted EBITDA over a long period of time.

Mr. Percy Panthaki So Supam, would you say that over a three-year period, 500 basis points EBITDA margin expansion in India is a reasonable sort of number for us to go with?

Mr. Supam Maheshwari While I'll not be able to specifically point out any specific number that you know would there be a 500 bps or x number of bps. But you should continue to see us performing every quarter on quarter , on a year-on-year basis , here when we meet every quarter and you should be able to see that performance improvement. Because we feel comfortable that we have not reached to a steady state , adjusted EBITDA.

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Mr. Percy Panthaki Got it. Got it. My second question is on the International business. With the increase in competition, do you think it needs us to revise our assumptions of what the medium term growth rate can be and how long we take to break even in this business? Or this is just something pertaining to one quarter and it doesn't require a revision in our sort of three year forecast of either top line or profitability.

Mr. Supam Maheshwari Percy, it's a difficult question because we don't know that heightened sort of competitive activity will mean how long they will operate at that level. In India, over a prolonged period of time, we have seen everything becomes sober beyond a point in time. Everyone becomes capital efficient , everyone tries to become saner on that front. This was definitely recent two new entrants , which of course, splurged and created a lot of promotional activity. How long it will continue, we'll have to see it as you go along. But we believe that the moats that we have created being a niche mother's baby and kids vertical player, that will continue to deliver superior value to young parents like it does in India to the middle eastern market as well. So while it is very difficult for us to forecast in terms of exact impact of this competitive

intensity, but we believe that our moats will play out in the longer run. So very difficult to really give you a very specific answer of time frame but we feel very confident about our moats and how will we play out as we go along.

Mr. Percy Panthaki So these new players, are they sort of just adding the childcare category to an existing product portfolio that they have or they are completely new sort of players in all respects?

Mr. Supam Maheshwari Completely new. Completely new in all respect.

Mr. Percy Panthaki
I see, I see.

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Mr. G

autam Sharma And Percy , we believe in consistent growth , so we will continue to grow consistently and keep on improving our margins.

Mr. Supam Maheshwari For us, the bottom line is more important , Percy. We want to be ensuring our bottom line performance improvement is not being compromised . While we will have an eye on the top line in terms of how we have to manage to bring a balance between the two. But you should continue to see our improvement.

Mr. Percy Panthaki And last question from my side, what is the number of stores that we have closed and what are the net store openings , both on a nine month basis if you can give that?

Mr. Supam Maheshwari We had close to 508 store as of Dec' 24 in terms of COCO. Out of which we have closed 38 stores . This is the first time that we have done this cleanup because we have never ever closed even a single store prior to this . We believe that , and the reason for closing these as well, we see the metric at an omni - channel way where two things are important for us. One is a footfall. And second is the wallet share of the customer in that catchment. We have a certain expectation at a multi -channel level, the wallet share of the customer as well as the footfall we had reasons and data to believe that in those 38 stores, we were not to the level that we would have wished. We are not exiting any particular city or location per se. But we had to close down to be able to optimize our location or our size and so on and so forth to be able to optimize the performance of those at a multi -channel way . So that, it solves our objective , obviously it will indirectly help to improve our profitability as well.

Mr. Percy Panthaki Got it. So 38 stores have closed down and have there been any additions in the nine months of the year?

Mr. Supam Maheshwari Of course .

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Mr. Gautam Sharma
So Percy, we have on a net basis, we have added around 73 COCO stores in last nine months, which effectively means roughly around 115 stores have been added in last nine months , on a gross basis.

Mr. Percy Panthaki Got it. Got it. That's all from me. Thanks, Gautam and Supam

Mr. Supam Maheshwari Sure, thank you.

Mr. Anish Arora Thank you, Percy. Next question is from Videesha. Videesha, please unmute yourself.

Ms. Videesha Sheth

Hi, Good Evening. Thank you for the opportunity.

Just two small questions from my side. One is on the growth of home brands. If you could just elaborate on that. How is that been versus the overall India business growth of 17%? Even any indicative sense whether it's materially high or just marginally?

Mr. Supam Maheshwari Videesha, can you introduce yourself? Sorry we couldn't seem to recall.

Ms. Videesha Sheth Yes, I'm so sorry. Yeah. Hi, this is Videesha Sheth from Ambit Capital. Shall I repeat my question?

Mr. Supam Maheshwari No, no, your question was very clear. So Videesha, as we have mentioned in our prior calls as well, our home brand share is quite material in our business because of very fragmented brands out there in the mother's baby and child category. Although we have 8,000 brands on our platform, but most of the brands are not that big and are fairly fragmented in terms of size. So our home brand share is quite meaningful and it has been growing on a year on year basis at a much higher clip than our overall India multi-channel. If I talk about at an India multi-channel level, our home brand share has been growing at a higher CAGR than the India multi-channel CAGR for many,

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many years in the past. So that has been compounding higher sort of a share. We have multiple brands that we have shared in the RHP, if you will recall. We have brands that are catering, Baby hug like, it is the India's largest mother's baby and kids product brand by GMV that was shared in the RHP. We believe that it continues to

be the leading mother baby and kids multi-category product brand and it also happens to be, as was stated in the RHP, it is the largest product assortment brand in Asia Pacific, excluding China. We continue to believe it is the case even now, but as per the factual statement was stated in the RHP. So we believe with that, we will continue to increase our assortment, our power, what we can deliver better to our customers as we continue to learn from our analytics, to be able to find the products that with customer behaviors and customer changing trends and patterns, what we need to bring and we continue to innovate in our in-house team, which designs and develops all of these products, domestically and abroad. And that's how we will continue to do. So our home brand share will continue to improve and that's for India and even for the Middle East as someone asked, I think this was a question asked by Sachin. We continue to deliver we have built specific home brands even for the Middle East market we will continue to. This is a journey, it will take us time because, in the prior period before us, like in KSA, we have been there for only two and a half years now So it's just it takes time for a consumer to change patterns, change behavior and build comfort and trust with a brand. So as we go along on a longer time frame, we have built our product range. While our India home brands are gone to middle east and the specific home brands catering to that market also will continue to deliver in that market. So over a longer period of time, our home brand share will continue to improve. And that is why it gives us great confidence that we will continue to improve our overall gross margin. One of the factors, key factors to improve our gross margin as an overall India multi-channel and even in Middle East market

Mr. Gautam Sharma And Videe sha, the growth in our home brands historically has always been disproportionate to the growth in the India multi -channel business and that will continue to happen. This is what we believe.

Ms. Videesha Shah Sure, sure. Thanks for that. And the second question was if you could just talk about how is the response for the older age segment of 6 to 12 years or 8 to 12 years and how many stores are you looking to open that?

Mr. Supam Maheshwari So we have a very handful of stores. We have not opened any stores in 6 to 12 in the last, quarter or last couple of quarters . We have few handful of stores that we had opened, we are fine-tuning our merchandise from an offline perspective and but online, I think we are doing fairly well that assortment has turned out quite nice as we've expanded our assortment. And the cohort of the customers actually is quite nicely compounding there from as we progress from six years to seventh year and eighth year and ninth year as this this tail will get formed over a longer period of time, because as customers move from six years of seven, seven to eight, eight to nine. So this funnel will be complete in another couple of years when there'll be a fully loaded pregnant sort of a base of customers who would have transacted from six to twelve . So this is a work in progress, but it has turned out quite well. We're quite happy with the progress of Pine kids which is our home brand and several other third party brands that we sell to our brand partners. We're doing quite well on 6 to 12.

Ms. Videesha Shah Got it. So net , net growth for this age cohort would be led by the online channel.

Mr. Supam Maheshwari Yes. Yes. Of course. Absolutely.

Ms. Videesha Shah Thank you. Thank you. I'll get back in the queue. All the best.
Mr. Anish Arora Thank you, Videesha. Next question is from Mr. Sudhir.

Mr. Sudhir Hey, Hi Supam. Hi, Gautam. This is Sudhir from Kotak Mahindra AMC. Thanks for the opportunity and congrats on decent set of numbers. So

first question, you mentioned the 38 COCO store shut down. So, I mean, while you said that the customer wallet share expectations are not being met. Can you elaborate what has led to this? Is it these 38 stores are more impacted by, let's say competition from quick commerce place or the unorganized players are being more aggressive in those micro markets. And if you can give some color on where are these 38 stores, are they in the top cities or tier two, tier three towns? Some color and slicing and dicing of that data will help.

Mr. Supam Maheshwari Sure. So Sudhir, I appreciate your question. So first of all, we have our internal benchmark. I would out rightly clarify that for our offline stores , quick commerce is not a right comparison . I mean we have a very different assortment . And these are largely set of Babyhug stores out of the 38 stores that we are talking about. And the reason are, multiple fold. The footfalls get impacted, sometimes also by the impact of a lot of construction activity happening in the country, which goes on for two three years in terms of the, sort of the metros that are getting constructed and which impacts the footfall . And at the same time sometimes while we get the data from online that this is the pin code that is the most suited in terms

of opening up a store and that's how the science that we have built in terms of opening a store, but at the same time, a pin code in India is actually quite wide in terms of the physical territory of a particular town or a city. And the availability of the right catchment sometimes becomes also a challenge and within that constraint the size of the store as well. So some of these things has led to a suboptimal outcome in terms of the footfall expectations that we had from the store. From our online data source that told us like in this particular pin code you can open comfortably a store and usually you know, I would say 95 percent of the time you will be bang on. But for

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these particular 38 stores, we felt that we had a suboptimal outcome in terms of both footfall as well as the wallet share of the customer that we expect both from an online offline perspective, the offline customers going online or an online customer going off line, had not resulted into an enhanced sort of a wallet share and leading us to believe that we should nail this. So this is not a representative that we will, as I mentioned earlier, that we will come out of those cities or those towns. That's not what we are saying. It is just maybe, we don't want to call it replace, relocation and all of that, but we will ultimately find a new or fresh location. We are not exiting any particular territory or location or the city, not at all. And this is not one territory or one region, one south, north, west, east or one city or one town where we have exited all of this. So this is not an impact of any local store, this is not like one phenomenon. This is just an internal benchmark that we have had, which has resulted in for us to take this decision. And going forward, I can just sort of share that this is not like, we will, we hope that our churn rate for a COCO store will be lower than our churn rate for FOFO store that we have demonstrated in the past for so many years. So we are very comfortable on that. It will only mean it will improve our customer experience, our expectation of footfall, our wallet share, leading to an optimum outcome on the profitability as well as top line.

Mr. Sudhir Sure, Supam. So if I understand your response right, you are essentially saying the real estate suitability in a particular catchment or micro market is the bigger reason than any competition or sort of angle.

Mr. Supam Maheshwari Absolutely.

Mr. Sudhir

Fair enough and in the overseas business, right, you mentioned about the two horizontal players impacting in this quarter. S

o what is our strategy of defense here? Assuming because they are newly entered horizontals, might be private

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equity funded, don't care about profitability, have a lot of cash to burn, while we have to be defensive on the profitability front also in line with your stated objective. So how do you ensure that you don't lose big market share to these horizontals? At least in the next one, two, three quarters.

Mr. Supam Maheshwari No, very relevant question, Sudhir. Look, it is a balance of growth and our laser focus on our improvement on profitability to reduce the burn. So we will try and balance out through the moats that we have built. Specifically moats on enhancing quality of the customers that we acquire, quality of our home brands that we are delivering out and expansion of

those home brands as quickly as , we can get out there to the consumers proliferating that and improving the network effect of that to all our audiences, both in the UAE and the KSA. And overall improving our merchandising and our tech platform, operational leverage in terms of personalization. So I think some of these things will enable us to deliver a superior sort of a performance , from a discerning customer view and we believe both UAE and KSA have as discerning customers as in India . And while we have been able to battle it out in our initial journey of maybe five, seven years back when we had a lot of these horizontal s in 2013 to 2016 in India . And like we will be able to battle it out, in a very balanced approach of sort of a burn prudence , while balancing the growth and the market share. But it's yet to play out. We'll be very focus ed, balance, monitor situation on a day -to-day basis . It will play out as it will play out. You know mostly most horizontal players are decently funded , decent backgrounds with a lot of capital but I think over a period of time, they all have their way of showing performance to their sort of investors or shareholders as well. So this will all balance out. Maybe we'll have some rough ride for maybe a few quarters is what probably , it might mean. But again, as I said, we will ride it out in a very , I would say, prudent way as we have done in the past.

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Mr. Sudhir

Fair enough, sir. That would be from me . All the very best.

Mr. Supam Maheshwari Thank you, Sudhir

Mr. Anish Arora Thank you, Sud hir. Next question is from PS Rohit.

Mr. PS Rohit Hi Gautam and Supam. Good evening. This is Rohit from Claypon d Capital. So my first question is that I noticed that the GMV, both the GMV and the order growth for nine months year on year has been 17%, which could indicate that the order values are sort of stagnant. Any levers that could be at play there to improve them in the future?

Mr. Supam Maheshwari So Rohit, we believe that there were a couple of reasons why this happened. Our expectation on Q3 internally was slightly higher than what we delivered. And we could have done better, as I said there are a couple of reasons. One reason being , we had, of course, the festive environment had, which is a Q2 and Q3 is a balanced way that you should see . But more importantly, winter was delayed in the country . Usually , in mother's baby and kids, because of the size issue every child or every family , literally has to change their winter garments every year because I mean, your children will out-grow and you have to buy , which had a delayed impact of winter. Order frequency could have been slightly better . Even AOVs could have been slightly better, which could have led to a higher growth in the Q3, which could have meant that nine months growth could have been slightly sort of a better . So that's how we believe and even also the COCO stores closure also had a minor impact , as well. So, if all of these reasons had played out positively, which is just in this particular quarter. I don't

think it is a natural phenomenon. We believe over a longer period of our journey, our moats remain absolutely strong. Our AUTC growth is absolutely strong, which we have been growing only 12% FY24 to 14%, 16% and 17 % in Q1, Q2 and now Q3. So which will result into a superior growth and it should reflect in the coming quarters or in the quarters of the

subsequent year . And as we've taken some corrective actions in the COCO as well. So all of this will mean , our core business India multi -channel should continue to deliver a strong outcome. So you should be able to see some of these numbers subsequently , over a longer period of time, here and there , one or two quarters does happen because some of these things like winter is not in our control and this cleanup exercise was just one time.
I hope, Rohit, that gives you comfort.

Mr. PS Rohit Yeah. Yeah, yeah, it does. Just one more follow -up question. You know, we've seen that , the GM for this particular quarter has sort of gone down slightly. And while that's over Q2, while that's a phenomenon that typically happens, over the previous years as well, where Q3 GMs are slightly lower than Q2. Would that mean that you would see like a meaningful jump going into Q4 where you know some of that is uh some of the prior quarters reversed and then some added.

Mr. Supam Maheshwari So Rohit, you should not see actually quarter on quarter GMs. You should see GMs year on year only. Because there are certain seasonality in our business . So like Q2 and Q3 typically because of this Diwali, Dussehra and Durga Puja, festivities a lot of , there is a fashion sale and fashion gives us a slightly higher gross margin than other categories and therefore some of these , so quarter on quarter, you should not really see that you should see a year on year basis . If you look at our year -on-year gross margin, we have improved by 250 bps, from the last year at a consol. level. Obviously, India multi- channel, which is our core business , has to deliver a very meaningful , steep higher number to be able to deliver 250 bps increase at a consol. level.

Mr. Gautam Sharma
So trend remains more or less same between the margin differences in Q2 versus Q3, for both the years. And we'll continue with the gross margin increase in the coming years.

Mr. PS Rohit Got it. Got it. Thank you , Gautam and Supam . This is really helpful . And All the best.

Mr. Supam Maheshwari Thank you

Mr. Anish Arora Thank you, Rohit. Next question is from Raj

Mr. Raj Vyas Yeah, Hi. Thanks for the opportunity. I'm Raj Vyas from TM Investment Technologies Private Limited.

So, I have question regarding like , how do you plan to sustain and further accelerate the profitability like as we can see the losses have narrowed down . So how do you plan to improve the profitability going ahead for , a consolidated business and the India multi -channel segment in the upcoming quarters, especially in the terms of cost efficiency, revenue generation and market expansion ?

Mr. Supam Maheshwari So Raj, if you will see our first slide of the presentation, first, second, third slide of our presentation, you'll see we have been able to report the best quarter or a best performance both in terms of Adjusted EBITDA performance , at a consol. level , which has gone to 6.2% and also at India multi- channel, which has gone to 11.2 % , which is in the last four years, the best ever . And year on year basis as well, it has continued to increase . We believe, as we've been saying it. And Gautam

mentioned that if you just see our business in four segments . India multi -channel business hasn't reached to a steady state across different parts of our, if you look at our business from a gross margin perspective , operating efficiency , marketing efficiency , our operating leverage, all of these levers will continue to deli

ver as outcome to you know optimize and increase our adjusted EBITDA, for India multi- channel meaningfully , going forward in many quarters and years to come.

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Our international business obviously has to become profitable as we are improving and reducing our negative EBITDA. And there's a journey there as well, which will overall impact our consol. performance, bottom line performance . And Globalbees is a very young business and less than a th ree and a half year sort of a track record right from inception. The company has delivered quite a meaningful performance both on the top line and bottom line. And as I said, it's a young business. So there is a lot more to happen in terms of the steady state, both our top line growth as well as the adjusted EBITDA. And preschool business is still very young a gain, it's an asset light model, although at a 22% adjusted EBITDA but if you look at our first three businesses, all of them will improve. On a longe r period, you should be able to see you know improvement across all our businesses , therefore leading to more superior outcome across different metrics that you would want to see a nd resulting into more capital efficiency, marketing efficiency, operating leve rage, gross margin improvement, which will remain in the business for a longer period of time. So those are not like one time , sort of performance indicator which will vanish. So we feel very confident about that.

Mr. Gautam Sharma In fact, while th is is our third earnings call after listing . We have published the segment wise number s from FY22, in our prospectus if you see . And you will see that , we have improved our margin performance in all the four business segments year on year. FY 23 is better than FY 22, FY24 is better than FY 23, a nd so is 9MFY25. So you will see a continuous improvement, both in gross margins as well as the EBITDA performance. And we believe t hat it should continue to happen going forward .

Mr. Raj Vyas So, any ball park number that we a re looking for in terms of revenue or margins or profitability , because some bit of any

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like that we can put a number in our minds as well while going forward.

Mr. Supam Maheshwari We really admire companies like Page Industries. That's something that we believe that is a very admirable company from a management perspective , to aim, aspire to be at the bottom line level.

Mr. Raj Vyas And any sort of challenges to make FirstCry as Page industries, any sort of challenges that you will be looking and how can you overcome those challenges?

Mr. Supam Maheshwari Just focused execution, not much strategy work is required . More of very , I would say , detailed execution, on a focused execution by the entire FirstCry team and Globalbees team

together . All of us have to really continue to be at it to be able to deliver, there are I mean, and obviously , there are certain factors that are not in our control like winter, some of these factors that come into play or general sort of narrative around this slow down and all of that, although we don't believe that as much there is a little bit of a, so many factors are there which macros will make difference . But we believe we have enough internal moats to continue to focus , to be able to deliver the superior performance . But yes, we got to be lucky as we go along in some of the external environment situations. And we always have believed that as long as you are in the game and you are doing your best and you are delivering the best in the industry , luck will be your side as well, while external when facing external situations and thereby reaching to your goalpost, as I just mentioned.

Mr. Anish Arora Thank you. Next question is from Mr. Chintan. Please note that this will be the last question.

Mr. Chintan Hi, Supam and Gautam. This is Chintan here from JM Financial Family Office. So I

had two questions. So one is on growth. So if you look at on a nine month basis , you've delivered a growth

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of around say 17% YoY . So my question is, there is this organized growth and the key thesis for us has been the shift from unorganized to organized for a player like us . So I wanted to understand slightly from a longer term perspective, this number of 17%, does it indicate that the shift we expect to happen from unorganized to organized is not happening and if that's the case can you highlight what could be a few reasons for it to play out. Is it just price points or it just customer behavior that is my first question .

And second one I would say is more so from an online platform perspective. If you could help us with few variables like the repeat purchase , in terms of customers how many repeat purchases happening if you give through some that number that would be helpful to gauge the performance . Those were my two questions.

Mr. Supam Maheshwari I think the first question answer is actually very simple, Chintan. If you look at our industry report, which was part of the RHP, the unorganized industry is roughly close to 84%. At the time of listing that we had, the industry report had mentioned and the overall industry is going between 13 to 14%. So we are and this is also you must remember, this is a CAGR for next four to five years. There can always be certain sort of a blip in between. So this 13 to 14% is the industry growth as stated in the industry report by Redseer. And we have been compounding at a far higher clip than that and our internal obviously aim is slightly higher than even what we have . But it just I mean, we have gone through the reasons so I won't sort of go through them again . But relatively speaking, we are obviously converting unorganized to organized and as India , as I would quote, our finance minister has said over the next four to five years as our per capita income will double up over a period of next few years. So growth of the unorganized to organized has to happen and being the largest sort of a multi -channel, multi- category mothers baby and kids player. We believe that we will be the biggest beneficiary in that

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journey . So I think that's how I would put it . So far we have been tracking nicely. Whether it'll compound faster, slower, I would say , we have seen the environment around us , in that

which is where we are, but it is compounding far better than the industry growth which is also a little longer horizon, you can't say 13, 14% every quarter industry report. This is over a four or five year. That's exactly what will happen to us as well that our CAGR might be slightly superior. And over a longer, if you look at our four years CAGR, past and going forward, it definitely can be different than what you have just known for the nine months which is just 17, 18%. So that's the answer to your sort of first question.

Mr. Chintan Supam, if I may, just one follow up on this. So the message that I'm getting from this is clearly two points. One is we don't see any factors in terms of price point and customer behavior that is stopping the shift from unorganized to organized, that is one. And secondly, the growth that we are looking at is much higher than the 17% that we have delivered in the nine months. Is that the right understanding?

Mr. Supam Maheshwari And so the Q3 was impacted, I would say, for us, because of the delayed winter, we've gone through the reasons and you should see your business in Q2 and Q3. I would not try to say that you should benchmark like, a very steep growth curve from where do we stand. You should see in the backdrop of the overall industry, retail industry as well. While there will be a conversion from unorganized to organized without doubt. And that's happening in the market, and being a very large online domination in our multi-category

approach, as you can see, it's almost 78% of our multi-channel business. The online is 70 sort of, it's a significant part and there if you will see as well, our AUTC growth has been stronger. So you will be able to see a superior sort of a performance, as we sort of go along, but industry is 13, 14%. We are compounding at a much higher clip, gives us the confidence that we are doing the right things. Yes, we as management, we remain hungry, we

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remain unhappy, we want to deliver more, but we don't want to promise more, so we will deliver more is how I would sort of put it.

Mr. Gautam Sharma And being the largest demand aggregator in terms of the largest platform, retail destination in India and being the largest supply aggregator which is Babyhug is the largest home brand in India. And I think, both these factors put together should give anyone a sufficient comfort that we'll continue to grow better than the industry growth.

Mr. Supam Maheshwari Our long-term moats are absolutely intact and compounding all the key moats that we have built in the business, they're all compounding and generating a strong defensibility, strong foundation for our future growth. I think you should be able to see it over a period of next couple of years.

Mr. Anish Arora Thank you. That was the last question. I hand it over back to Supam and Gautam for any closing remarks.

Mr. Supam Maheshwari I would like to thank you, everyone for all of you taking time out on a Saturday. And we really appreciate and looking forward to seeing you in our next quarter which will be a completion of the annual fiscal year. Thank you once again.

Mr. Gautam Sharma Thank you so much, everyone.

Mr. Anish Arora
Thank you.

Call: May 2025

Brainbees Solutions Limited CIN: L51100PN2010PLC136340

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FC/SE/2025 -26/17

May 30, 2025

National Stock Exchange of India Limited

Exchange Plaza, C – 1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai -400051

Symbol: FIRSTCRY BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street,

Mumbai -400001

Scrip Code: 544226

Sub: Transcript of the Audio -Video Earnings Call | Q4 and Financial Year ended March 31, 2025 results

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated May 21, 2025 bearing reference no. FC/SE/2025 -26/09

Dear Sir/Ma' am,

In terms of Regulation 30 and Regulation 46 read with Para A of Part A of Schedule III of the Listing Regulations, please see enclosed herewith transcript of Earnings Call with the Analysts/Investors held on Monday, May 26, 2025 post announcement of Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended March 31, 2025.

The audio -video recording of the Earnings Call along with the Transcript has been uploaded on the Company's website and the same can be accessed from the link provided below:

<https://www.firstcry.com/investor-relations/quarterly-results> .

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours sincerely,

For Brainbees Solutions Limited

Neha Surana

Company Secretary & Compliance Officer

ICSI Membership No.: A35205

Encl: Transcript of the Audio -Video Earnings Call

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"Brainbees Solutions Limited (FirstCry) - Earnings Call
Q4 and FY25 Results"

May 26, 2025, 6.00 p.m. IST

Management:

Mr. Supam Maheshwari
Managing Director & CEO

Mr. Gautam Sharma
Group Chief Financial Officer

Mr. Vivek Goel
Chief Business Officer

Mr. Abhinav Sharma
Country Head, Middle East Business

Mr. Anish Arora
Investor Relations

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Mr. Anish Arora Good evening, everyone. Welcome to Brainbees Solutions Limited Q 4 and Financial Year 2025 earnings call. This is Anish Arora, and I have with me, Mr. Supam Maheshwari, Managing Director and CEO of the Company, Mr. Gautam Sharma , Group Chief Financial Officer , Mr. Vivek Goel, Chief Business Officer of the Company , and Mr. Abhinav Sharma, Country Head of Middle East Business Operations .

Kindly note that this call is meant for analysts and investors of the Company. We wish to highlight that the call is being recorded and by participating in this event, you consent to such recording, distribution and publication. All participants have been muted as per the default mode and participants will be unmuted once we open the Q&A forum for the members to ask questions after the presentation from the management concludes.

We will be covering the presentation in the beginning of the call and we will thereafter open for the Q&A forum. We would like to point out that some of the statements made in today's call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you.

With this, I request Mr. Supam Maheshwari to take it over.

Mr. Supam Maheshwari Good evening, everyone. Thanks for joining our quarterly earnings presentation for Q4 as well as Fiscal Year ending March 31, 2025. Today, we have reserved one and a half hours , as we would like to take you through a little more detailed dive on our business, some more nuances that you have not seen in the past. We want to

iterate for some of the members who may have joined new . A baby's first cry is a special moment for parents, and at FirstCry , we aim to make this and all such moments of the parenting journey filled with joy and happiness. This is our mission that we continue to

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maintain and do every activity towards accomplishing this mission.

Today, we will be covering the following agenda items. We will be covering our entire Fiscal Year 2024-25 financial performance, along with Q4, JFM. We'll also be covering our segments, four business segments: India Multi-Channel Business, which is our core business, International business, then Globalbees, and then Other segments. All four of these we'll be covering and then we'll also talk about our financial summary or consolidated performance of the Company.

Moving further, let's just deep dive into our entire Fiscal Year 2024-25 performance. For Fiscal Year 2025, we are happy to report a very strong growth momentum and improvement in profitability for the full year FY25 over FY24. As you can see, this is the consolidated performance . Revenue of the

company, at a consol level, increased by 18% over FY24, becoming around INR 7,600 crores. Gross margin has continued to increase, with 159 bps year-on-year expansion to 23% absolute increase versus FY24. And adjusted EBITDA, adjusted for ESOP cost, has also increased 90 bps year-on-year expansion, with 43% absolute increase over FY24. And this, in percentage terms means to around 5.13% in FY25, over 4.2% in FY24. Also happy to report that overall cash profit after tax increased to INR 209 crores, which is 96% increase over last year. And super happy to report that India Multi-Channel business turned PAT, as well as Free cash flow positive in FY25. We remain very, very optimistic and the entire team will be working super hard to deliver both on growth and profitability expansion across all our business segments.

This is a new slide where we are disclosing gross margins for our different four segments, which earlier we used to report at a consol level. So, if you will see, all our four business segments have been continuing to increase for the entire

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Fiscal Year, Revenue, as well as Gross Margin expansion and as well as Adjusted EBITDA. If you look at India multi-channel, revenue increased around 15% over last year, Gross margin improved 20% over last year with 149 bps improvement year-on-year, and Adjusted EBITDA about 24% increase over last year. International business, also had 14% increase in revenue from operations, gross margin improvement of 13%. We'll be talking about in detail about all four business segments, so you'll get a more detailed color of the year, as well as of the quarter. And close to 140 crores of adjusted EBITDA losses, which is similar to around FY24. Global bees had a 30% improvement in revenue terms over last year, and gross margin improved 36% on absolute basis and witnessed 186 bps increase. And Adjusted EBITDA improved 856%, over last year, to INR 22 crores, with 121 bps improvement year-on-year. Others, which is primarily our preschool business, had another good year of performance with INR 42 crores of revenue with, expansion of gross margin and almost INR 10 crores of adjusted EBITDA, which leads to close to 24% of Adjusted EBITDA over last year of 17.5%. So all four business segments have done fairly well for the year.

For the Q4 performance, if you look at our annual unique transacting customers, which essentially includes our India Multi-Channel and International Business, improved 17%, for the trailing 12 months ending March' 25 over March' 24, improved by 17%. GMV, which accounts for India multi-channel and International, increased by 14% over last Q4 of FY24. Revenue from operations increased by 16%, which includes other business segments as well.

Consolidated Adjusted EBITDA, improved for Q4 and witnessed 20% increase over Q4 FY24, which represent almost close to 5.2%. And India Multi-channel adjusted EBITDA improved by 17% over Q4, which essentially was 9.3% over 8.9%. Cash profit witnessed a whopping increase of 484%, Q4 over Q4, to almost INR 69 crores, for the Q4.

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With that, I would like, Vivek Goel to take you through our India multi-channel business, and I would like to state that in

a lot of earlier calls, you had requests of certain more disclosures of some of our business, and performances of certain metrics. This time around, we are sharing a little more nuance around some of those disclosures which will help you to understand and appreciate our business in a little more detailed way. So I will, request Vivek to take you through. Some of the slides may be repetitive for some of you, because, our moats will remain the same, but since we have more disclosures, you will have a far more appreciation of the quality of the business that we are building. So Vivek, over to you.

Mr. Vivek Goel Thank you, Supam. So, as Supam mentioned, in the next few slides, I'll take you through some of the important moats of the business, along with some additional information which will help you appreciate what we are building as a business.

So, as you already know, that we are the largest multi-channel retailer for mothers, babies, and kids products in India. Of a total GMV of India multi-channel business, 78% comes from online and 22% of this GMV comes from our offline stores. Happy to report that this year we crossed 10 million annual unique transacting customers. Also want to mention that, of our total modern stores, offline stores, almost 45% of our source are, BabyHug, or FirstCry company-owned stores. So, as a business, we bring in a very unique proposition as compared to any other retail format, which is, where we have both online and offline strengths. And, if you really see that our business, and Supam has mentioned in past few calls as well, that our business lends very beautifully for an omnichannel or multi-channel kind of a retail format. Because there are all kinds of customers who want to buy things with experience, as well as they want to buy it with convenience, so we serve both and over a period of time, if you really see our data, there are a lot of consumers who start purchasing

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with us in an offline store and eventually become a very loyal online customer. At the same time, a lot of our consumers actually discover us online and they continue to purchase in the nearby offline store as well. So, a testimony of that, is that, of the total GMV we generated in the top 20 cities for us, almost 38% of GMV comes from these cross-channel customers, the customers who buy both in online as well as offline stores. Anish, if you can move to the next slide.

So, if I would say that, mother of a young baby is the busiest person in the world. And as a team in FirstCry, we really appreciate that fact, and we strive to make things easier for them, when they come and browse our apps. So one of the most important things we have done is, we have personalized our app, basis the age and gender of a child. So, for example, if you're a mom of a 6-month-old girl, you would see a completely different homepage as compared to a mom of a 10-year-old boy. So, for example, a mom of a 6-month-old girl would see products like musical toys or strollers being promoted on our homepage, whereas, a mother of a 10-year-old might see remote-controlled cars and school supplies kind of products, which are more relevant for them. On top of this, we also personalize our app on multiple other accesses, which would include consumer behavior, as well as regional nuances. For example, if I would give you a very

recent

example, monsoons are slowly progressing across the country. So, some of the states in South India might see our

product selection as well as promotion selection more conducive to monsoons, whereas certain other regions, which are still reeling under the heat, would see a lot more summer-related product selection and promotion. So this curation and personalization really helps mothers, in terms of making the right choices for the babies, and easier for them. And we apply some of these learnings of personalization, also in our offline stores.

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As a brand, we address the babies and kids' needs across age groups through a wide variety of assortment, which is almost, 1.8 million strong in terms of SKUs, which are offered across over 8,000 brands. So, a typical journey of our consumer, or the moms starts from the pregnancy, and continues till the time their oldest child is 12 years old, on FirstCry. When we started our business, at that time, our focus was more in, the age group of minus 9 months to three years, or till the time the child was 3 years. A few years back, we expanded our selection to cater to the needs of up to 6-year-old child. And subsequently, we expanded to it to the age group of 12 years. So, also want to mention that as a brand, and as a retailer, we are very fashion-focused. And that could be seen in terms of the ratio of fashion business in FirstCry. So of our total GMV of multi-channel India business, 52% of our GMV comes from Babies and Kids Fashion, which includes apparel and footwear categories. All the other categories which contribute to about 48% of our business, are powered by almost 300,000 strong inventory, SKU selection.

This slide we have added to give you a little more color in terms of stickiness and long-term cohorts of FirstCry customers. So, if I would try to attempt to explain it to you. So, in Fiscal Year 2013, in the acquisition year, if a consumer gave us a GMV of 1x, over a period of 12 years, we end up generating almost 7.9x GMV from the same consumer. And that was for Fiscal Year 2013. If you see this report vertically as well. So for example, till year 4 column, which is 5 years post acquisition, in Fiscal Year 2017, the number increased from 3.4x to 3.7x. And, for the consumers who were acquired in Fiscal Year 2021, this number, for the first 5 years of revenue increased to 4x. So, over a period of time, we can clearly see that the business has demonstrated increasing stickiness. And, as I mentioned, that the 6 to 12 months age group, that we have launched some time back is still to be completely baked into these long-term cohorts. So we expect

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these numbers to further continue to improve over a period of time.

This is another very important moat, as a brand that we have built, which is the collection of highly curated home brand portfolios. We have built some of the most iconic brands in India when it comes to baby and kids products. Which some of them include BabyHug, Pinekids, CuteWalk, and BabyOye. So, over a period of time, what we have seen is our home brands have grown at a much faster rate, as compared to FirstCry GMV. So for example, in FY20, the GMV contribution of home brands to FirstCry GMV was 37%. In Fiscal Year 2025, the contribution crossed 55%. Couple of very important benefits and strengths that First Cry Home Brand bring in, is first that, in our market which is highly fragmented, home

brands bring in curated and high quality, much better quality as compared to the market, which helps in better consumer retention, as well as, the home brands at the second level also help us expand our gross margins. Amongst our home brands, you already know, that Baby Hug is the largest mothers, babies, and kids product brand. We are the largest in terms of selection in Asia Pacific or as

sortment in Asia Pacific, if you exclude China. And we are also the largest multi-category mothers, babies, and kids product brand, in terms of GMV.

Over a period of our journey, we have built a lot of important marketing strategies for us, which have helped us in being very prudent with our marketing costs, or optimize our acquisitions, as well as increase the retention of our consumers. I'll discuss couple of them in the next few slides. One of them, is the most unique things that we have built from our strategies is that we have built is that we are one of the unique apps to have commerce and community in the same mobile application. So, we operate the India's largest and most engaged parenting community in our app, which is also called FirstCry parenting. FirstCry parenting has educational information, provides educational information to

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the moms, which is both professional-generated content and also, user-generated content. We also provide very important tools which are required by the mothers during the parenting journey, like Immunization Schedule tracker, Growth tracker, Q&A, as well as content which is video as well as text. And a lot of this content is actually, personalized basis the child's age, so that the mother, again, as I mentioned earlier, doesn't have to waste their time in looking for the stuff they don't need. So, parenting actually helps us in consumer acquisitions on one end, as well as retention during the most important and formative years, of a consumer coming on our platform. The second and very important strategy that we have is the hospital gift box program. So this is a long-standing partnership with hospitals. Some of those partnerships go as back as 13 to 14 years. We have partnered with almost 13,000+ clinics and hospitals across the country, where we distribute almost 2.5 million boxes a year, at the time of baby birth. So, this is very important because the time of baby birth is one of the most emotional moment for all parents. And it is the perfect point of market entry for a brand like FirstCry. And just to give you a color about the scale that we operate this program at, so we cover almost about 10% of baby births in the country, through this program.

So, now I'll hand over to Gautam, to take us through the financial numbers for multi-channel business.

Mr. Gautam Sharma Thanks, Vivek.

So, this slide talks about the growth in annual unique transacting customers, GMV, and orders. We continue to see a very healthy growth in our AUTC in March over last year, March, this is the 12-month trailing number. Orders and GMV have almost similar growth, for FY25 over FY24, which is 16%. And in Q4, the growth in orders, as well as GMV, is around 14%. This was slightly impacted in Q4. It got slightly impacted because of three reasons: One is we have witnessed some

slowdown, especially in the offline business. The second reason is we have seen truncated winter. We talked about it last time that, there was a late start of winter, and in fact, it ended early. So that is one of the reasons, because of that, the GMV has got moderated. And third one is that we have closed a few company-owned stores in Fiscal 2025. These are the three reasons, because of which GMV growth and order growth got moderated in Q4.

Revenue growth for full year is 15%, and for the Q4 over Q4, it is 12%. Again the moderation is because of the reasons I just explained. However, we continue to improve the EBITDA for the India Multi-Channel business, both on quarter-on-quarter and year-on-year basis. So, FY25 EBITDA, this is adjusted for ESOP cost, it has gone to 9.5% from 8.8% in FY24. And it represents around 24% growth year-on-year. Similarly, if we talk about the Q4 FY25 EBITDA numbers, it is 9.3% compared to 8.9% in Q4 FY24. This repre

sents a 17% year-on-year growth.

Now I will let Abhinav Sharma, who heads our Middle East operations, to take you through the International business slides.

Mr. Abhinav Sharma Thank you, Gautam, and Hello, everybody, and thanks for joining us on this call, this evening. I'll quickly walk you over the international business, where we started, when we started, and why we started, what's the journey look like so far. As you can see here, a very compelling reason why we initiated or started our business in both geographies in the Middle East, KSA and UAE. As you can see, KSA birth rates are even higher than India and, the spends per child to top that up, is about 8 times higher as compared to India, and about 17 times higher in UAE as compared to India. So, very compelling reasons for us to be present here in both the markets. And, it represents a large market opportunity for us, as well as very favorable demographics. Anish, go to the next

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slide, please. So, our journey thus far, we started, first in UAE in October 2019, and subsequently in KSA in August '22. And the basic tenet of our business in both markets internationally, has been replicating a very well-defined and evolving sort of a playbook that India business has created over the last 15 years. And, we are online only right now in UAE and KSA, both the markets we are operating as a pure-play e-commerce player in our vertical. And, the average order values in the international segment is more than 4 times that of India average order value, as of now.

This is a very important slide. This shows you how the gross margin values, or gross margin percentages have evolved, in both the markets, India as well as international, in certain timestamps. In India, as you can see, we started in FY11, and after 7 years, we clocked a GM of 24%. In the international business, we've completed about 4 years now, and we're very similar in terms of the GM percentage. So, the playbook impact that I was talking about in the previous slide, obviously it has a lot of levers. To speak of a few of the levers in terms of margin expansion that has played out in India, that you can see in year 14, a spectacular 36.6% GM percentage are: Increase in share of home brands in the GMV is one lever, share of fashion, which is kids and babies fashion in GMV, better home brand and third-party margins due to economies

of scale, and of course, operational efficiencies. Now, these are some of the levers that the India playbooks handed over to us, which are also in play in the international market.

Gautam, over to you.

Mr. Gautam Sharma Sure, thanks, Abhinav.

So again, similar to the slides we presented for the India Multi-channel business. This represents the growth in AUTC, orders and GMV. AUTC has increased by 14%, Q4 over Q4, however, the growth in orders, slightly got moderated in Q4, and even

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full year. So we talked about a few horizontals during our last earning call. We talked about a few horizontals entering the Middle East region and that competitive intensity continues in Q4 as well, and that has impacted, slightly the growth in orders, as well as the growth in overall GMV.

Next slide, please. Moving on to the revenue from operations, it has grown by 14% in FY25 vs FY24. However, the growth in Q4FY25 is little lower. It got moderated because of the reason I just explained, the competition reason. However, the clear focus is on improving the profitability and sustainable growth. You can see from the full year EBITDA numbers, it has come down from minus 19% in FY24, to minus 16% in FY25. While the losses in absolute terms, remain more or less the same, but we strongly believe that, the peak losses now are behind us. And we will continue to reduce the EBITDA burn, both in terms of absolute value and absolute percentage, quarter

-on-
quarter moving forward.

Over to you Supam, for Globalbees.

Mr. Supam Maheshwari So, on Globalbees front, I think, this is a little familiar slide. We continue to operate in our four segments: Home, improvement and utilities, Home appliances, Active lifestyle & accessories, and Home and Personal care. As you know, we haven't acquired any business since September '22. So all our growth has been totally organic. Now if you will look at our performance for the full-year 2025 over FY24, it is 30%, going up to INR 1,577 crores. And for the Q4, we grew by 33%, Q4 over Q4. And in terms of adjusted EBITDA, as you can see, we continue to improve adjusted EBITDA. Because this business is three and a half year old, and in fact, first year went around in priming the engine with a lot of category and acquisitions that we did, so really the business is fairly young, for it to be able to result into a more mature EBITDA. But as you can see, we continue to improve our EBITDA year-on-year, quarter on quarter basis. For the full fiscal year, we have demonstrated

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1.4% EBITDA over the same period last year, it was 0.2%, and likewise for the quarter, where negative 0.3% has become 0.7% positive. So, these are still early days, company continues to do, and the business segment continues to do very well, both in terms of the growth and expansion of EBITDA is yet to materialize in a meaningful way.

If you look, this is a little more detailed color on the Globalbees. If you look at some of these segments for FY24 and FY25, all of that we have tried to classify into five

segments, although we just talked about four segments. So we have our core four segments, which is Home improvement & utilities in darker pink, slightly lesser pink is Home Appliances and very light pink on Home and Personal care, and Active Life and Accessories. These are core brands, and that have continued to expand. Other brands, which we have deliberately slowed down, and we believe, because of certain evolution curve, that have, if you look at even the right-hand side, the adjusted EBITDA from the core brands has been around 7.5%. And from the other brands, it's minus 31%, and the share of these other brands is reducing from 14% in FY24 to 8% in FY25, as a deliberate strategy. So, over time, as the other brand's piece of the business reduces, and we will attempt at making it EBITDA neutral over a period of time, while improving our focus on the core brands, which has a disproportionate growth, high growth, than the overall business growth of 30% year-on-year. So it'll mean a very meaningful outcome, over the next few years, as we move along, the other brands reduces in size, and the Adjusted EBITDA for those reduces in percentage terms as well. Effectively, Globalbees as a business, will deliver a lot more EBITDA in terms of the bottom line, both at a consolidated brand adjusted EBITDA, and we believe we will obviously improve on our corporate expenses and deliver a superior performance on the overall Globalbees adjusted EBITDA from 1.4% going forward to a much healthier number over a few quarters and years to come. So, I hope this gives you a little

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more deeper color on, some of these were asked and questions that you had in the prior calls, so therefore we thought to share this additional piece of information.

I would now request Gautam to talk about the other segments and consol performance.

Mr. Gautam Sharma So other category largely includes our preschool business. We have a strong growth in preschool partnership across 160 cities now. And you can see the preschool numbers, the number of operational preschools, from 105 in FY23, we have increased this to 208 in FY24, and now we have 363 operational schools. You can see a healthy jump in the number of students enrolled as we

II. For FY25 it is 18,470 students who have enrolled in our schools.

Revenue continues to improve from INR 33 crore, we have posted a revenue of INR 42 crore for FY25. And the same thing is with EBITDA, we continue to improve our EBITDA, from negative 13% in FY23, we have now reached to EBITDA of 24%.

This is about the consol performance for all business segments put together. We are just refreshing, in this slide, in the form of graphical presentation that Supam has done initially. All four business segments: India multi-channel Business, which is the core, International, Globalbees, and others, all continue to grow their revenue and continue to improve their profitability year on year. From 8.8% to 9.5% in case of India multi-channel business. For a minus 19% to minus 16% in International business. For Globalbees business, 0.2% to 1.4%. And in our preschool business, from 18% to 24% EBITDA in FY25.

As a result, combining these four segments, we get a 18%

growth in our consol net revenue for FY25 over FY24, and a 16% growth in our net revenue in Q4 FY25 over Q4 FY24. The

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green boxes, in this graph, are the consol gross margins. So you can see those are also continuously improving from 36.7% in Q4 FY24, we have improved this to 37.5%, and from 35.8% in FY24, we have improved this to 37.4% in FY25. Likewise, we continue to improve the adjusted EBITDA as well. Consol EBITDA from 5.0% to 5.2%, Q4 over Q4, and from 4.2% to 5.1%, in FY25 over FY24.

This ends our presentation.

Mr. Supam Maheshwari Happy to now take questions.

Mr. Anish Arora Thank you, team. We can wait for a minute for the queue to get formed, and then we can start with the Q&A.

I request participants to raise the hands for asking questions. We will unmute you one by one, and you will have the access to the mic. Please introduce yourself and the name of the organization you represent. The participants are also requested to limit their questions to a maximum of 2. For any follow-up questions, you may join the queue again. First question is from Videesha. Videesha, please unmute yourself.

Ms. Videesha Sheth Hello. I hope I'm audible.

Mr. Supam Maheshwari Yes, Videesha, it is audible

Ms. Videesha Sheth Hi. This is Videesha Sheth from Ambit Capital. Thank you for the opportunity and really appreciate the granular data points.

My first question was if you can explain the gap between AUTC and the order growth that we've seen in both International and India businesses. You've talked about the reasons for subdued order growth, but going forward, what can be done to narrow the gap, and when do you expect the

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order growth to be in line with the AUTC trajectory? That was my first question

Mr. Supam Maheshwari Okay. So if you talk about AUTC growth with respect to the order growth, right? I mean, that's what your question is?

Ms. Videesha Sheth Yes.

Mr. Supam Maheshwari If you look at India, the delta is not that big if you look at the full year picture. Videesha, you will have to put it on mute, I think there was some disturbance. Yeah.

So, if you look at the full year picture, you will not see any delta. What you're seeing as the delta is largely coming from certain slowdown that we experienced in our offline store network. Lesser footfalls, leading to lesser orders, is what we experienced, especially in January and February, which obviously got corrected in March with the season change. If you look at our online, while the slowdown has an impact on the customers coming back and ordering while the AUTC is registered once, it gets registered. Also, if you look at the online growth, online GMV growth for the year, FY24 over 23,

or FY25 over 24, it remains 18%. And if you even look for Q4 online growth, it is close to around 16%. So, which we feel is a fairly

good number, in terms of the pure, sort of online segment.

Mr. Gautam Sharma

Just to add, Videesha. There is no major difference between the AUTC growth and the growth in number of orders in the India multi-channel business. However, the difference in the International business is because, as I mentioned earlier, we have seen a few competitors entering the market in Q3. So that has led to a difference between the AUTC growth and the growth in the order. So while customers are coming in, but the frequency of those customer transacting, they may be doing some transaction on other sites because of higher discounts. So that's the reason, there is a big difference

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between AUTC growth in the international business and the growth in the number of orders. India multichannel business is more or less in line.

Ms. Videesha Sheth That is helpful. And the second question was on the marketing spends. The ad spends look pretty elevated, so if you could elaborate on how should one think about it going forward?

Mr. Supam Maheshwari So, if you look at our consol business, I mean, we share our total overall ad spends. Globalbees as a business has a higher percentage of marketing cost, compared to all the rest of the three business segments. So the share of that segment has increased, therefore, you actually see an increase in the overall marketing spend. But we have ensured that we have a much superior expansion in the gross margin as a business overall, so that we can retain and keep expanding our Adjusted EBITDA appropriately. So that way, we have balanced our growth with profitability while, managing the two expectations. So one is more of a weighted average, numerical sort of a modeling, and second is, we've ensured while we do that, we continue to expand gross margin to be able to pull it down towards, increase in EBITDA as well.

Mr. Anish Arora

Thank you, Videesha. Next question is from Sachin Dixit. Sachin, please unmute yourself.

Mr. Sachin Dixit Hi, Hope you can hear me. Hi, Supam Gautam and broader team. Thank you so much for the improved disclosures. My first question is at a slightly higher level. If you look at your businesses, obviously multiple businesses, segments and a lot of moving parts, what do you feel a lot more satisfied about sitting at the fiscal year close versus where do you think there's a substantial effort, that you need to still put in?

Mr. Supam Maheshwari

Sorry, I'm not even clear with your question. Is there a question?

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Mr. Sachin Dixit

So Supam, my question is, if you look at your business performance, right, obviously you cannot be happy about everything. So there might be pieces where you can tell me,

okay, Sachin, I'm very happy about this, this, this, and this, and this is where probably we need to do a lot more work going forward. So that's the question, largely.

Mr. Supam Maheshwari

Look, we would be, as a professional or as a team leader, our job is to remain hungry. I think we feel that we should have delivered more, both in India multi-channel and even in International. Rest of the two segments have done well. We would want to expand our Gross margin, our EBITDA margins faster in Globalbees. School business is small, and although it's doing well. I think both India multi-channel, especially in offline, we would like to see, better performance, and I also would color it with the way that the opportunity fundamentally remains solid. There is a large untapped market, largely unorganized. We are the largest organized player. We are a true omni-channel or a multi-channel player, with 1,000+ stores and a large amount of business coming online. None of our competitors are like us, so we believe that the opportunity will be with us, as it unfolds. But yes, could we have done in FY25 more? We were doing fair

ly well, and

we believe our online has done quite well. We could have delivered more in offline, in India multi-channel. We have become more cautious in terms of capital efficiency and we will remain that way. But we believe in the longer run and medium term, we should be able to pull back overall, as consumer slowdown improves, with some of the efforts by the government and some of our internal efforts, that we have at our sleeves that we will unfold, to be able to extract more growth, both at India multi-channel.

And in Middle East, I think our focus will remain very profitable growth. We believe that while we had expected a little superior growth, but there's no point in getting that growth at a higher cost or a higher burn. We rather believe

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that the way we have played out our story in India, when some of these horizontals were there, especially in times like 2013 to 2017, when we played out, our similar moats are getting built up, in a similar way in terms of gross margin expansion, which Abhinav talked about. What we delivered in 7 years in India, we have delivered in 4 years in International business. So, I think once our home brands get acknowledged, and get penetrated in those markets, we will continue to see superior adoption curve, and, improvement in cohorts, improvement in quality of customers that we will onboard, and so on and so forth. Some of these metrics will improve, and the long-term journey is going to remain with us. The way we have charted out. In short-term, we might feel a little unhappy about the growth that we are demonstrating because of some external reasons. So those are the two large points that I will cover. Rest, I think, everything how we have anticipated is playing out, in the way that the moats are structured, they're very fundamental and that'll continue to compound for next 10 years, or 20 years.

Mr. Sachin Dixit Fair enough, that's very, very helpful, Supam. My second question is on the franchisee network side. Obviously, we have not seen any growth in the number of stores in the last six odd quarters. So, what is happening there? Is it you not proactively wanting more franchisee partners? Or franchisee partners probably shutting down

because there's COCO store which is much larger than that they can't compete with? What is happening there?

Mr. Supam Maheshwari So, Sachin, our position hasn't changed as what we talked about in our last couple of quarterly calls. We are very sensitive about the fact that we want to continue to grow our franchisee partnership. We have had strong partnership for almost 13 years plus, with many of our franchisee partners as old as 10 years plus in the system, some of them, even have multiple stores. So that remains very, very strong. And they have seen our journey for a long period of time, and they

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continue to remain with us as long-term partners. So nothing has changed. Many of our franchisee partners are also partners for other retail brands in the country. And they have seen a material sort of a slowdown, so that's how, they've also become very cautious, and we have also become super cautious because we just don't want any larger store churn, although some of this is a very controlled. So, the criteria for us to select a partner has become taller and taller over time. In terms of controlling the churn, and in terms of superior customer experience that we can give to the end customer. Those are the reasons, while there has been gross additions, while there has been a churn, which is in late single digit and therefore, the net number remains what you are referring to. So I think over time, we have been adding stores, but because addition is lesser, because of the quality of the partners. And obviously in COCO, we have a far greater control and it's relatively easier, to have control

, in terms of say that we have.

And when the location is available, we can actually close and move on. But no change fundamentally. We continue to adapt more and more partners as we grow our business. In offline, both for the franchisee partners as well as the COCO. Yes, in last couple of quarters, you may have seen that, but fundamentally, there is no change.

Mr. Sachin Dixit Makes sense, Supam. Thanks so much, and All the Best for FY26.

Mr. Supam Maheshwari
Thank you, Sachin

Mr. Anish Arora Thank you, Sachin. Next question is from Percy. Percy, please unmute yourself.

Mr. Percy Panthaki Hi, Am I audible?

Mr. Supam Maheshwari
Yes, Percy

Mr. Percy Panthaki Yeah, So I just wanted to understand on your margins front.

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Like, for the India business, what do you think is the stable state margin of this business once we get enough scale? We are at around 9.5%. So, where do you think we max out? Is it 12, 13 or 15? What do you think is that number? And what will drive it? Because if we are already at 55% private label, how much more can we push that? Because beyond a point, we are a retailer, and we want to give the customer as much choice as possible. So, if the entire platform becomes predominantly just a private label, then the customer

experience will also be affected. So, assuming that this 55 goes to a max of 65, and that gives you some margin, but what else will result in the margin expansion? Because, see now our scale is not small, we are close to INR 5,500 crore kind of a top-line company for India itself. So, yeah, that was my first question, really.

Mr. Supam Maheshwari Sure, Percy. Percy, first of all, I would like to draw your attention to the fact that, while we are at a 55%, and if you look at the slide that Vivek took you through, we have compounded, on an average 50% higher than our overall India multi-channel growth for our home brands. And that is the reason why we increased from 37% to 55% plus in last four to five years. Having said this, the journey hasn't stopped, the growth hasn't stopped of over-compounding in our home brands. So we believe that we will continue, and the reason is very, very fundamental. There are no big brands. In let's say, the largest category of Babies and Kids is a Apparel and fashion, you tell me a brand, which is in Mothers, Baby, and Kids in fashion, which will be let's say INR 400 crores plus. You won't be able to find a large brand out there, or multiple of them. Most of these brands, either have withered away, or have become very small. There are many of them which are INR 100 to 300 crores, or INR 100 to 200 crores range. And then there is a range of hundreds and thousands of them, which are mompreneurs and brands which are beautifully crafted by mompreneurs. They serve a very specific design, aspiration or quality aspiration or curation. And we will

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continue to hold them beautifully in our portfolio to be able to solve for mothers who are trying to solve for a specific curation need. So, we believe that this partnership of holding them, while we will continue to grow as a platform, we will remain relevant to most of our brand partners, 8,000 of them. But at the same time, we will be able to continue to compound, because at scale, we can only do it. Building reliable supply chain, building reliable product, quality product, at scale and at different set of price points, that we will be able to bring. So, with that architecture, we are playing at a different price point, quality and supply chain, and at a scale, it's very hard for a small brand or sub-optimal-sized brand. That's not their aspiration.

So, therefore, the blend of these mompreneurs or these brands, along with us, will continue and we will continue to compound much superior as we have done in the past, we will continue to perform that.

So, we believe, without putting a number, whether it's 65 or more, we will continue to expand our share of home brands and we believe that we aspire, as we have shared in our earlier calls as well. We aspire, as in India multi-channel, to be at least, late teens, as an adjusted EBITDA. That is what we aspire to do, and we believe it is possible to deliver. The companies that we personally aspire and our management team aspire to be is Page Industries, where we can get there. Now, whether we take 4 years, 6 years, 7 years, is that something that we can deliberate, how the opportunity presents to us. But we will not leave any stone unturned in terms of grabbing improvement of margin both at a gross margin level, as well as at a marketing efficiency level. Marketing efficiency is very unique to us. As you can see, the multi-channel model that we have, it's very unique. And then also, obviously our operating leverage, that we can get on a fixed cost. Because we'll not be expanding on

our warehousing and so on and so forth. So, all of these will compound, as you will see, which we will deliver. We have been with you guys publicly at least for a couple of quarters,

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but you'll continue to see us expanding gross margin as well as EBITDA for a very, very significant longer period of time, till the time we believe that we have achieved our aspirational goal.

Mr. Percy Panthaki Sure, Supam. My second question is on the right to win for verticals versus horizontals.

So supposing, if I just take the example of Nykaa. The two differentiations that I can see for Nykaa versus a horizontal is that there is a big threat of fix and count effects on horizontal platforms. And because Nykaa holds inventory and is not a marketplace and vouchers for the products, that is one of the reasons why people buy on that. And the second reason is that, this is a category which has huge number of SKUs, there is a huge long tail, many of them are not available on horizontals, and that is why people go there.

So if I have to find reasons why people need to go to First Cry versus other horizontals, what would be the reasons in your case?

Mr. Supam Maheshwari So, look, I think we are very different than some of other names that you just mentioned. First of all, our biggest differentiation is that, as we see, 55% of our GMV comes from our own home brand itself. They are not available on any other marketplace, fundamentally. So the end consumer, which is primarily the mother and young fathers, they are coming to First Cry for two fundamental reasons. One, we're an MBO, which is solving for every curated need for a brand, for a product type, product size, in a much more curated way. That is what we are solving for. We are a very, very highly curated platform, and Vivek took you through some of the personalization at age level, at a category level, at climatic condition level. Some of those areas, when you club it with the age, it actually makes a world of a difference. And we are more of a discovery platform than a search-led platform. So if

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you apply all of that, with our share of a home brand and the curation of other mompreneurs, with fashion being the largest sort of segment for us, it presents a very different outcome from a young mother or a father to be with us, compared to a horizontal. And as a matter of fact, BabyHug, just one of our home brand is India's largest Mother's, Baby, and Kids product brand in the country on GMV itself. What are the other moms buying on horizontals? BabyHug is not available fundamentally. So, there are two reasons why they will come to us, is simply, it's MBO on multi-channel. Sorry, online, just, I'm talking about online because horizontals are only online. So, as a curation, for solving every need. And then, second is repeat cohort of our buying of o

ur home brand

itself, because the products are superior in terms of quality, experience, they have done it over years, and they just want to, for lack of brands, known brands that they want to repeat and they are satisfied. So, with these two reasons, they will continue to come back to us. And that is exactly what we have seen even in 6-12. When our journeys are ending for mothers

from 0 to 6, because BabyHug is available , now it's PineKids, which is taking the journey and legacy of BabyHug to Pine Kids for the older age kid. So, the power of a superior product itself, apart from convenience of online and curation that we have built through personalization, is driving more and more consumers and stickiness of those consumers, as you have seen in the cohort, which Vivek also took you through, is a result of all of these work that we have been able to deliver.

Mr. Percy Panthaki

And may I be permitted . Sorry, yeah, please continue.

Mr. Vivek Goel If I may add one statement to this. So, all the horizontals actually are a reflection of the market, which is highly unorganized. So, that is where, both in terms of home brands and the other brands as well, third -party brands as well, our curation ensures a superior selection, as well as experience for the consumer, and that is what , Supam was mentioning, increases our stickiness and strength for the organization.

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Mr. Percy Panthaki Got it, got it.

If I might be permitted, one small question more, on the India business growth. This year has been around 15%, which is a little lower than our expectation of around 17% to 18%. So, do you think this is a blip, or an anomaly, and you will come back to a 17 -18% kind of number, or do you think that what we have displayed this year is more likely to be the sustainable growth going ahead?

Mr. Supam Maheshwari So Percy , while you know, in the short run, it's very difficult to sort of outline exact data point. But what we collectively think that, the industry which is growing at 12% to 14%, highly unorganized. And this particular year, or rather this calendar year, starting from January, February, we saw a little bit of a consumer slowdown. And especially in the offline , so we believe that it is not a reflection of a medium -term approach of the overall growth that the industry will demonstrate. And being the largest player in the industry, we should be able to come back to a much superior growth. If you look at our online, even Q4 resulted in 16% GMV growth, quarter -on-quarter, Q4 over Q4, I mean FY25 over FY24. But just the offline piece, we believe , I think it's just a blip, and even the government is doing its bit in terms of reducing some tax loads and some of the other areas where government help will also reflect in some of the more consumer pickup. Plus some of our other efforts internally that we are putting up , maybe we can talk about, but those are also going to fill up, getting more and more customers and improving retention or improving frequency. So, we believe it is just a temporary blip , is what we believe, because we remain steady and strong as far as a ship in terms of grabbing more growth over a medium to long run.

Mr. Gautam Sharma And important thing, Percy, is that we are not losing our growth to any competitors or any new player. So we'll

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continue to do better than the industry growth . While we have seen some slowdown, but we'll continue to deliver a better growth, compared to the industry growth .

Mr. Percy Panthaki Thanks, Gautam, Supam, Vivek. Thank you very much. That's

all from my side.

Mr. Supam Maheshwari Thanks, Percy

Mr. Anish Arora

Thank you, Percy. Next question is from Sachin Salgaonkar.
Sachin, please unmute yourself .

Mr. Sachin Salgaonkar Thanks, Anish. Hi, management. Thank you so much for the improved disclosure. Two questions

from me.

First question is on International business. Clearly, the business is in nascent stages, but we are seeing an order growth of 8% on a YoY basis. And you guys clarified it's largely on the back of competition. So the question here is, is it only competition, or is it something else which is impacting the growth? And the reason is, see, the players which we are talking about, like Temu and others, are here to stay in the market, perhaps for a long time. And what we are seeing in other markets is, they tend to get aggressive over a period of time. So I was wondering if there is any change in strategy from management to accelerate the growth out here, given the fact that the growth is slowing for the last couple of quarters?

Mr. Supam Maheshwari Sure, Sachin. I'll just maybe start the answer, and maybe, Abhinav can add to it, or Gautam can add. So, look, I think it was important for us, while this is some external factor that really played out. As I earlier also alluded, we have seen this in the past in India as well, when some of the marketplaces are very, very aggressive, but they became saner over time. That same thing will play out in Middle East geography as well. It is important that we keep our head down and build the

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moat that we started our journey with, because that is what will help us, not just discounts or higher marketing burn or higher CPMs. So that doesn't help, except for, increasing your burn. It was easy for us, we had the money, we can do all of that, but we don't believe in that. It is better to improve the quality of the customers, improve penetration of the home brands, improve assortment of the home brands that we have in India, taking there, tailored home brands for the Middle East market as well, so we just want to focus on building those assortments, because it takes time to build those assortments and get the penetration of those assortments into the market. Get our product mix, the category mix, our home brand mix to a level that what India has already accomplished, in an accelerated way. Because once you deliver that, none of the horizontals will ever be able to sort of, they don't operate in that fashion. So, therefore, we will be having a very superior economics over a period of time, so we don't want to play a rushed game. We want to play a very steady game, to ensure that we build a sustainable, profitable growth, keeping a focus on reducing burn and making our Middle East operations profitable, as per our internal plan and within a few years, we want to make it profitable, a neutral EBITDA. That is what we want to focus more on through our own strengths, rather than actually, burning more sort of tyre. That's how we are tracking ourselves internally. Not a rushed approach, but, I mean, if you want to add anything, or Gautam, if you want to add anything here?

Mr. Gautam Sharma So, in fact, as Supam mentioned earlier, Sachin, we have

witnessed, the competition from horizontals in India as well during 2013 to 2016 . We stuck to our playbook on building home brands, improving margins, and today, we can proudly say that, we are the largest multi -channel player in India in terms of GMV and the largest brand is our Home brand, which is BabyHug. And we have taken the same playbook in Middle East as well. So, we will be focused more on improving the customer stickiness, as we have done in India. And you can

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see the impact of the strength of the playbook in the margins. What we have delivered in India in 7 years, in terms of gross margin, we have delivered that in Middle East in 4 years.

Abhinav, if you want to add anything?

Mr. Abhinav Sharma

I think, you guys have covered it completely.

Mr. Sachin Salgaonkar Great. Thank you. My second question is on Global Bees.

Clearly a very phenomenal growth in a quarter, given the context that

there's a consumption slowdown going into India and what we are seeing on the ground with multiple D2C brands, given the fact that consumer preferences are changing so fast, now with, how quick commerce is evolving. Not many brands are sort of scaling up beyond a particular level, so the question to you guys is out there is, should this be a steady -state growth going ahead in terms of, let's say, 25 to 30%? Or how could one think about, a sort of a normalized growth in this business? And the same is in terms of long -term steady -state margins for Globalbees , how to think about that?

Ms. Supam Maheshwari

Going forward, I think, obviously the growth has to moderate. It won't remain at a 30% level. But yeah, it'll remain, meaningfully high, as you go along for at least next few years to come. And we are a young company. We have , some great brands and great sort of founders that are working with us and they are hungry. And all of us are working together to grow, some of these brands. And as I said, in their journey itself, they're fairly young. So they will have a very decent growth and even profitability margin as well. The slide that we talked about, the 8% of our business, which was 14% earlier, leads to a 30%, negative EBITDA. Once you shrink that, meaningfully low in terms of 8% becoming even smaller and 30% reducing to zero, you can imagine our business will be even more profitable at a current stage itself. I mean, even if you don't increase you know, the gross margin or the

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operating leverage within the rest of the brands, which is 92%, of the business .

So, essentially, we are clearly saying that Globalbees business , over a period of time will improve Adjusted EBITDA, no questions on that. It will play out over a 3 to 5 year journey. It's hardly a less than four -year -old company. First year went out with a lot of acquisitions, as you know. It's not easy, but I just want to make sure that the business is done, segment has done very well , and we continue to believe that we will deliver stronger performance, both in top line and bottom line, for many years to come , because we believe the story is getting there. We have the playbook that we have executed well and it's getting stronger and stronger.

Mr. Gautam Sharma And just to add, Sachin. So while, the consol growth of Globalbees is 30%, but if you see the growth in the core brands, the four core segments, the growth is disproportionately higher.

Mr. Sachin Salgaonkar Got it. Thank you, guys.

Ms. Anish Arora Thank you, Sachin. Next question is from Garima. Garima, please unmute yourself.

Ms. Garima Mishra Thank you so much for the opportunity. I also had a couple of questions on Globalbees. What was the loss Globalbees made in FY25, and this CCPS infusion is essentially, to keep funding losses for the next 2-3 years? Or you have some acquisitions in mind, how should we read it?

Mr. Gautam Sharma At EBITDA level, Garima, Globalbees is positive. It has given us a positive EBITDA of INR 22 crore. The other thing post EBITDA, the large part of the spend, is a non-cash expenditure, which is in the form of amortization of brands, which is roughly INR 100 crore every year. And some finance costs, towards the borrowings made by Globalbees and the ir

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subsidiaries. Other than this, if we adjust these two items, we will reach to a PBT level in Globalbees. One important thing I would like to mention is, if you see the consol results, there is an exceptional item that we have taken roughly amounting to INR 37 crore. Those are towards the impairment of some brands in Globalbees. So you will see that additional one-time expenses impact on Globalbees, as an exceptional item. Other than that, business is doing very well. Brand amortization is the classification of investment done by Glob

albees in the consol financial statements, so we have to amortize it over a period, so that's a non-cash expense. And once the company starts generating higher cash profits, the number should become better, Garima.

Ms. Garima Mishra So the CCPS is towards what?

Mr. Gautam Sharma This is largely for taking care of their working capital requirement, Garima

Ms. Garima Mishra Alright, understood. Globalbees also recently had departure of the CEO, plus some board of directors resigning. What was that about? And who takes over the reins of this entity going forward?

Mr. Supam Maheshwari So, Garima, I think some of these news article, I would like to clarify. First of all, Nitin, who was the CEO of the company, left for the personal reasons. His role has been taken over by Anuj Jain, who has almost 10+ years of experience with ITC and L'Oreal. He is a thorough professional, MBA, and some of these are public information, but, sharing it, that he was with ITC and L'Oreal before he joined FirstCry. He has been with FirstCry for 12 years. So he has seen a 20 year + consumer product journey, a playbook across ITC, L'Oreal, and FirstCry. And he steered up the ship in India in multi-channel and BabyHug as well. So he has seen D2C, online, offline, throughout our journey of FirstCry and also, he was handling our school business. And we felt that he would be the most

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appropriate, and he has now taken the reins of the Globalbees. So that's on Anuj.

About the directors, so I would just like to clarify, look, the news article said that three directors resigned after Nitin resigned. That's not correct. One director resigned 9 months prior to Nitin. And see, these are investor directors, Garima. And typically, investor directors, and by investors, I mean, PE VC funds, typically investors have an internal policy. While I can't speak for any one of them on their behalf, but what I'm saying at a generic level, they have a typical policy of not being part of a board of a publicly listed or deemed publicly listed company. Therefore, the request was to not being part as a board member. And while one of them resigned 9 months prior to Nitin, which was, like, early September or August, somewhere around that, but the news article, you know how it was. So please ignore that. And one of the investor directors remains as an observer as well, so it's not that they have completely moved away.

Mr. Gautam Sharma And just to give you additional comfort, Garima. A few of these investors, who used to represent on the board of Globalbees, they have participated along with us, in the recent funding we have done for Globalbees.

Mr. Supam Maheshwari Not few, all of them. All three of them. All of them have invested in the last round. So there's not even a single exception.

Ms. Anish Arora Thank you Garima. The next question is from Madhav Yadav. Please introduce yourself and unmute.

Mr. Tejas Shah

Hello, am I audible?

Mr. Supam Maheshwari Yes, Madhav. We can hear you.

Mr. Tejas Shah Yeah, Hi Supam. Hi, Gautam. This is Tejas Shah from Aventus.

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So with the faster delivery becoming a baseline expectation across the ecosystem, including for the traditional online players, what steps are we taking to strengthen our delivery proposition?

Mr. Supam Maheshwari I heard the second part of your question, but not first. Delivery becoming a baseline, I didn't understand you. Meaning delivery experience, or?

Mr. Tejas Shah Yes, I'll repeat it. So, am I audible?

Mr. Supam Maheshwari Yeah. You're absolutely audible.

Mr. Tejas Shah

So, yeah, so, no, I was just saying that now, faster delivery has become a very hygiene baseline expectation. So yeah.

Mr. Supam Maheshwari Understood, fair question. So, look, you're absolutely right. So, what we are doing, Tejas,

while, we haven't put a slide on it, but, what we are doing, I'll also sort of share that. I think some of the companies like us, and online companies, or e-commerce companies as well have experienced, a little bit of a customer experience being not up to the mark that we

would have wished as operators, because some of our delivery partners have had challenges. And those are because of the manpower constraints on the last mile end, for which we are dependent on them. So for those, and I'm talking about India multi-channel, and India Online in that sense. So those are experiences, that we have faced in the last two, three months, a lot more than what we have faced in the past. And I think some of other colleagues from the overall ecosystem have alluded to some of these commentary as well. Having said this, what we are doing, to answer to your question as well. While we are improving, in some of the cities, we have done some experiments to take our tech infra and work with local logistics partners within those cities to be able to improve the last mile experience as well as improved

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and a faster delivery. So, let's say, in a city, we were delivering same -day delivery, in 6 hours, so our attempt is now to reduce it to 4 hours, or a 3-hour. So that is the experiment that we have taken into a few cities, as of today, in last couple of months. And our endeavor will be to continue to expand on this journey that we are just talking about, into many more cities, so that we do not remain dependent, or we do not really have to work at an industry average level, which has deteriorated in the past couple of months, and still we will be able to improve the quality of the customer experience in terms of delivery performance. So we'll expand on our experiment that we have just in a couple of cities to be able to overall improve and at the same cost. Not just increasing the cost. So I hope I've been able to answer your question in terms of directionally, that what we are doing to improve the delivery experience, faster delivery experience for our customers.

Mr. Tejas Shah

Yeah Supam, very clear. Thanks

Supam, second question pertains to private label ambition that you spoke about. Now, what we have observed that it's a double-edged sword from multiple dimensions, from working capital, from customer expectations. Whether they are ready for it or not. So when you look at our categories today, where are we under-indexed, you think materially in private label versus us, company average? And I'm assuming that our private label contribution will be higher on offline channel versus online channel. So, how should one think about from near-term, very immediate one-or two-year perspective, how this can move in terms of low lever of private label.

Mr. Supam Maheshwari Only two points that I will make. First of all, I would request everyone to call it Home Brands. We just feel private label is just about margin, and not about the love and how we have built all of these products, so we certainly call it home brands. But in the home brand point, I would say that it's not like a

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double-edged sword, because our long-standing partners, brand partners, will continue to grow with us. It's not that they are not growing with us and it's not that we will not have more partners that we will take in our partnership. As you see, our disclosures on number of partnerships from 7,000 brands to now we are at 8,000 brands. So, our number of brand partnerships have continued to increase. But having said this, many of our brand partners are small, and they will, for

whatever, historical or evolution curve reasons, they will remain, while we will continue to over-compound on our growth journey in terms of home brand, because it is a very structured playbook, structured homework that we do from a design, to

all manufacturing and capability and all of that. So, therefore, we will remain, I would say powerful enough, to continue to embrace our other partners as well, and the ecosystem will continue to deliver a superior, homegrown, home brand share, while at the same time embracing both brand partners and expectation of our end consumers and mothers who want to solve for unique attributed products as well, while Home Brand solves for some of them. So, I don't think that would be a challenge, and that hasn't been a challenge even in the past, when we traversed our journey from 37% to 55% plus. So we don't believe that it'll be the case, unless you were not being able to have brands which are not growing with us.

And in terms of gross margin expansion, home brands definitely give more sort of margins, and therefore, that'll continue to happen for us, in terms of margin expansion. So, it will not be the case and we will see our journey together for over next few quarters and years. We won't be able to talk about a short-term, but I think over a longer period of time, there are no big brands that really kind of like are after BabyHug, after some of these brands, no brand is like, in a very, even if I just remove India's Pampers and Johnsons and some of these brands. In fashion, not even a mid-single-digit percentage, in terms of the share. So, it's very comforting for

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us to embrace all of that, and the best attributes that they make still embrace with us while we continue to compound on our Home Brand strategy.

Mr. Vivek Goel So, Supam, if I may add one point on this. Because you mentioned that we should not call private label, but we should call our brands as home brands. So, one of the core fundamental in developing products in home brands is not to capture, share in any under-penetrated category. The fundamental premise why we create any product is to give a superior experience to the end consumer and that is a very important factor for the over period of time, how we have grown our brands. And we continue to follow that philosophy as a company.

Mr. Tejas Shah Thanks, thanks, Vivek. Thanks Supam, very clear. And all the best for coming quarters.

Mr. Anish Arora Thank you, Tejas.
Next question is from Nigel. Nigel, please unmute yourself.

Mr. Nigel Mascarenhas Good evening, sir. Thank you for the opportunity.

Firstly, can you talk about the unit economics for various types of offline stores, in terms of store sizes, capex, revenue, and profitability? For the FirstCry stores vs Baby Hug stores? And how does it work for owned versus franchisee stores as well?

Mr. Supam Maheshwari Okay, I think, it's there in some of our previous quarterly calls, but Gautam, we want to repeat at a high level, maybe.

Mr. Gautam Sharma
So the size of the store, if I talk about, the FirstCry franchisee

stores , are typically 1,500 to 1,600 square feet area. The same size we follow for our BabyHug company owned stores. However, when it comes to FirstCry company -owned stores, those are a little larger, probably 2,000 to 2,500 square feet. In terms of capex that we do, the capex per square feet is

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around INR 1,500 per square feet and a little lesser than the capex is the working capital that we put in each company owned stores. So roughly , INR 1,100 rupees per square foot is the working capital we put in. In terms of profitability, at CM - 2 level, if we talk about , both offline stores as well as online, gives us almost a similar profitability , post -marketing spends, if we see .

Mr. Supam Maheshwari And even, in CM -2 offline stores will be post -rent. And some of these franchisee partners, Nigel, we have had a large number of our franchisee partners have been 7, 8 years plus, and many of them are 10 years plus and they have multiple shops with us. So they have seen the profita

bility in the ir stores , over years , with us and they have continued to stay and have been a long -standing partner with us . And likewise, we have tried to look for such partners who can be a lo ng-term partners. On that basis only , we started our COCO journey around in 2021. A nd because of having run the FOFO business for the first 10 years. So that's how the profitability was ensured i n the FOFO network, both for the franchisee and for the company and therefore, we to ok that journey ahead, for the COCO journey as well.

Mr. Nigel Mascarenhas Yeah, Thanks for the detailed reply. Second question is, for the India business, what sort of growth have you had in the India online business versus the offline business?

Mr. Supam Maheshwari Yeah, it's there in the disclosure s, further in the presentation. For the online business, Nigel, we had 18% GMV growth for FY25 over FY24, even for Q4 FY25, we had 16% g rowth over Q4FY24 , for the onlin e. But for the offline business, a nnual one, I wouldn't exactly remember. I think it is around 11 or 12%?

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Mr. Gautam Sharma Yeah, slightly lower . And that is largely because of the slowdown we have witnessed, esp ecially in the offline business.

Mr. Supam Maheshwari Plus some s tore closures that we have now in the bas e effect of the previous year , quarter.

Mr. Anish Arora Thank you, Nigel. In the interest of time, we'll take one last question from Chintan. Chintan, please unmute yourself.

Mr. Chintan Shah Hi. So I just had one question, and tha t is on India offline business. So, I understood the external issues that we faced, as well as some store closure s that impacted the performance, b ut as a slightly medium to long term as a strategy, what are we doing, or what steps we are taking to have more conversions from unorg anized to organize, as well as to protect ourselves from the competitive int ensity that keeps on increasing? That is one.

And second, how do you think in medium to long term, this online is, say, 78% of GMV, and it's doing pretty well. So, over longer term, how do you think offline as a strategy, where does this next head to? And what were the plans for expansion in this segment? That's it from my side.

Mr. Supam Maheshwari Sure, Chintan. So, fundamentally, if you look at our business, mothers love to buy the product both online and offline. If you remember one of the slides that Vivek showed. This is the first time that we had done this disclosure, in the top 20 cities, 38% of our GMV comes from customers which have an overlap of online and offline, and we have been saying this. We're a very unique category, where consumers or mothers typically love to buy products both online as well as offline. They can start their journey online and go offline as well, in the vicinity of their homes and the other way as well, which is going offline and come for convenience in the online, because they build a

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trust with the platform, as well as with the product and the brand, or the curation that we have.

So, I think, fundamentally, nothing will change. If you look at last 3 years of our journey, our ratio between online and offline has not materially changed, maybe 100 to 200 bps here and there, in terms of the share. So no material change has happened. And we will continue to expand our offline operation as well, in terms of the gross block that we will add in FY26, we will be somewhere similar to FY25. So, we do not feel that. We will have a lot of legroom to play, even to expand our offline network. But we have become more cautious, for last few months, that we have seen and we believe these are temporary. Ultimately, the customer that we get, how we look at our offline business, particularly, is a footfall that gets the customer into our store, gets the experience of our platform, also then goes online

e, so it has a material network effect and advantage, both in terms of the experience and the CAC, eventually, even for online and so on and so forth.

So it's a very unique proposition of multi-channel, which you would not find in a very traditional or a normal business model in a retail model. So we believe that we will continue to play from a consumer insight, or a mother's insight of buying both, and also the unit economics benefit that we'll continue to derive from being both present online and offline. So we'll continue to play this card for a very long period of time. We may tailor here and there in terms of improving the wallet share of the customer in that catchment and the footfall optimization that we can continue to do. So those are efficiencies that we'll try to drive to build more capital efficiency, but strategy-wise, nothing will change. We'll continue to compound on both our offline, which will also deliver online, and online will deliver offline as well.

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Mr. Anish Arora Thank you, all the participants. That was the last question. Now back to Supam, Gautam, and everyone for the concluding remarks.

Mr. Supam Maheshwari Thank you very much, every one, for being patient. We had, instead of reserving one hour, we reserved one and a half hours, so that you can have a lot more detailed conversation.

But really appreciate your time and patience. Look forward to seeing you in the next quarter. Thank you.

Mr. Gautam Sharma Thank you so much, everyone.

Mr. Vivek Goel Thank you so much

Call: Aug 2025

Brainbees Solutions Limited CIN: L51100PN2010PLC136340

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FC/SE/2025 -26/36

August 19, 2025

National Stock Exchange of India Limited

Exchange Plaza, C – 1, Block G,

Bandra -Kurla Complex, Bandra (E),

Mumbai -400051

Symbol: FIRSTCRY BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400001

Scrip Code: 544226

Sub: Transcript of the Audio -Video Earnings Call | Quarter ended June 30 , 2025 results

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated August 07, 2025 bearing reference no.

FC/SE/2025 -26/28

Dear Sir/Ma'am,

In terms of Regulation 30 and Regulation 46 read with Para A of Part A of Schedule III of the Listing Regulations, please see enclosed herewith transcript of Earnings Call with the Analysts/Investors held on Wednesday, August 13 , 2025 post announcement of Un-audited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2025.

The audio -video recording of the Earnings Call along with the Transcript has been uploaded on the Company's website and the same can be accessed from the link provided below:

<https://www.firstcry.com/investor -relations/quarterly -results> .

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours sincerely,

For Brainbees Solutions Limited

Neha Surana

Company Secretary & Compliance Officer

ICSI Membership No.: A35205

Encl: Transcript of the Audio -Video Earnings Call

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"Brainbees Solutions Limited (FirstCry) - Earnings Call
Q1 FY26 Results"

August 13, 2025, 6.00 p.m. IST

Management:

Mr. Supam Maheshwari
Managing Director & CEO

Mr. Gautam Sharma
Group Chief Financial Officer

Mr. Vivek Goel
Chief Business Officer

Mr. Abhinav Sharma

Country Head, Middle East Business

Mr. Anuj Jain
CEO, Globalbees

Mr. Anish Arora
Investor Relations

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Mr. Anish Arora Good evening, everyone. Welcome to Brainbees Solutions Limited Q 4 and Financial Year 2025 earnings call. This is Anish Arora, and I have with me, Mr. Supam Maheshwari, Managing Director and CEO of the Company, Mr. Gautam Sharma , Group Chief Financial Officer , Mr. Vivek Goel, Chief Business Officer of the Company , Mr. Abhinav Sharma, Country Head of Middle East Business Operations and Mr. Anuj Jain, CEO Globalbees.

Kindly note that this call is meant for analysts and investors of the Company. We wish to highlight that the call is being recorded and by participating in this event, you consent to such recording, distribution and publication. All participants have been muted as per the default mode and participants will be unmuted once we open the Q&A forum for the members to ask questions after the presentation from the management concludes.

We will be covering the presentation in the beginning of the call and we will thereafter open for the Q&A forum. We would like to point out that some of the statements made in today's call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you.

With this, I hand over to Mr. Supam Maheshwari.

Mr. Supam Maheshwari Thank you, Anish

Good evening, friends . Welcome to our Q1FY26 performance update meeting. We are very happy to report 25% growth in our adjusted EBITDA for the consolidated business for the first quarter, vis-a-vis, the Q1 FY25. Also at a consolidated level, first time we have become Free

Cash Flow positive, at a consolidated business level. Growth in Q1 in India multi-channel has got moderated on account of several factors. Broadly due to slow down in the

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consumer sector, consumption side and macro factors, including changes in the last mile delivery ecosystem, which also impacted our performance in the Q1. And a bit of an elevated geopolitical tension in North India. All of these have led to a little slower growth than what we had anticipated. However, we see encouraging signs in the month of July. We have observed the growth in early teens in July , over the previous July. Overall, our India multi-channel business continued to be PBT and Free Cash Flow positive in Q1FY26.

International business continued to deliver , as we have discussed in our previous calls. We have been able to deliver sustainable growth, with an improvement of 30%

year -on-year in the adjusted EBITDA, that you'll see in the subsequent slides. And we will continue our path on this sustainable growth for the International business and reducing our burn materially.

And on the Globalbees front, we delivered another strong quarter of organic growth, with core categories driving the significant momentum, close to around 40%.

I hand over, now for more detailed discussions and updates to Gautam.

Mr. Gautam Sharma Thanks Supam.

So this is the performance summary for the consolidated business. The revenue in Q1 FY26 has grown by 13% year -on-year to reach INR 18,626 million. We continue to improve the gross margin, the gross margin expanded by 82 bps. It's an absolute increase of 15% year -on-year. Adjusted EBITDA, which Supam talked about in the previous slide, it has increased by 25% in absolute terms, year -on-year. And if I talk about the percentage of the Adjusted EBITDA to revenue, it's 5% over 4.5% in Q1FY25. Cash profit after tax, which is the net profit,

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the net accounting profit after adjustments of the non-cash items, it has increased by 197% over Q1FY25.

The next slide, we will talk about some of the KPIs, the consolidated KPIs. Annual unique transacting customers, this is for trailing 12 months, is 10.8 million, which is an increase of 14% over June last year. Similarly, GMV for the consolidated business, which is the India multi-channel business and the Middle East business, has grown by 9% over Q1FY25. The next two pointers we have talked about in the previous slide, that is the revenue from operations, on a consolidated basis, as well as the adjusted EBITDA. India multi-channel adjusted EBITDA, which is the core business, it has delivered a growth of 12% over Q1FY25, largely driven by the expansion in the gross margins. We will talk about in detail, for the India multi-channel business in the coming slides. Cash profit after tax, we talked about in the previous slide, it's an increase of 197% over Q1FY25.

Now, I will hand it over to Vivek to take you through the performance of the India multi-channel business.

Mr. Vivek Goel Thank you, Gautam.

As Supam mentioned in his opening remarks, Q1 this year had multiple moving parts for us. While the broad-based consumer slow down, which we mentioned in our previous calls, continued, we also faced challenges in our last mile delivery ecosystem, which actually impacted the consumer experience in our online business. Q1 also witnessed close to a week sale in northern states getting impacted due to the India -Pakistan conflict. We also saw an unusually soft summer, which was caused by the early onset of monsoons, which further impacted our performance. Offline growth was also impacted by the store closures that we did in Q3 last year, as some of the sales remain in the base of Q1 last year for the same stores.

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However, as Supam mentioned, that we have witnessed very encouraging signs of

growth in July. I want to reiterate that while some of these things have impacted our growth in Q1, we have successfully navigated such challenges in the past, and we will surely do so, in the coming quarters.

In terms of numbers, our Annual Unique Transacting customers in India multi-channel business has increased by 14% to 10.3 million. Orders grew by about 6% to 9.5 million and GMV growth was 10% at INR 21,265 million. Anish, if we can move to the next slide. The revenue for India multi-channel business grew by 8% to INR 12,366 million. Our adjusted EBITDA grew by 12%, for India multi-channel to INR 1,067 million.

Mr. Gautam Sharma

Just to add here, we continue to expand our gross margins. You can see, the numbers highlighted in green. Gross margin of 36.6% in Q1 FY25 has increased to 37.8% in Q1 FY26.

Mr. Vivek Goel

Okay. I'll hand it over to Abhinav for the Middle East presentation.

Mr. Abhinav Sharma Thank you, Vivek.

Good evening, everyone, and thanks for joining us over the call this evening. We'll just quickly go over the International business segment. We are seeing continuous growth across all key metrics. The levers in play, as we have outlined this in our previous calls, that sustainable growth is of prime importance and focus for us in this region, for both UAE and KSA, and we've been continuously executing our plans to achieve that kind of growth by essentially optimizing the top-line mix, which thereby yields a superior GMV to revenue conversion, which you will see in the subsequent slides, and also superior margins. And also ensuring that our quality of acquisitions are very very high, or very very superior, because

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this, in turn, adds to our overall sustainability idea and vision going forward.

We saw a 14% increase in AUTC in Q1FY26, over Q1 FY25. 7% increase in orders, the same time period, and GMV grew by 3% in the same time period. However, we saw a 13% increase in revenue, and we've mentioned it before, that for the International business, revenue is a more apt number versus GMV. So we grew from INR 183 Crores to about INR 207 Crores. Gross margin expansion was about 100 bps. More importantly, maintaining an equilibrium between growth as well as burn reduction. Our adjusted EBITDA improved both in terms of absolute as well as percentage points. Absolute reduction of 30% from INR 30 Crores to about INR 21.5 Crores. And percentage reduction by 700 bps.

Anuj, over to you for Globalbees, please.

Mr. Anuj Jain Thanks a lot, Abhinav.

Good evening, everyone. On the Globalbees front, we're very happy to report a 31% year-on-year growth from INR 324.5 Crores in Q1 FY25, to INR 426.5 Crores in Q1FY26. The Adjusted EBITDA as a percentage of revenue was 1% in this

quarter. Our growth has been completely organic. The last acquisition that the company made was in September 2022. Globalbees operates in the core categories of Home Improvement and Utilities, Home Appliances, Health and Personal Care, and Active, Lifestyle and Accessories. These core categories contribute around 95% to our business. If we slice the numbers, revenue from core categories increased by 40% plus year-on-year and these categories delivered an adjusted EBITDA, post-corporate expenses of 4.5% plus in Q1FY26.

As mentioned on the previous call, we continue to rationalize the brand portfolio across other brands. Therefore, the

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margins will be weighed down due to that for a few more quarters this year. However, this rationalization will be complete in this financial year itself.

Gautam, over to you.

Mr. Gautam Sharma Thanks Anuj.

So this is a repetition of what we talked about in the first few slides, a summary of the consolidated performance. Revenue grew by 13%, margin expansion by 80 bps. And the adjusted EBITDA expansion by 50 bps, which is an

absolute increase of 25% year-on-year.

This is where we end our presentation.

Mr. Supam Maheshwari Happy to take more questions.

Mr. Anish Arora Thank you, team. We can wait for a few minutes for the queue to get formed, and then we can start with the Q&A.

I request participants to raise the hand for asking questions. We will unmute you one by one, and you will have the access to the mic. Please introduce yourself and the name of the organization you represent. The participants are also requested to limit their questions to a maximum of 2. For any follow-up questions, you may join the queue again.

First question is from Mr. Sachin Dixit. Sachin, please unmute yourself.

Mr. Sachin Dixit Hi Gautam and Supam. This is Sachin Dixit from JM Financial. I had a couple of questions. So my first question was on India multi-channel business, where growth continues to get worse. And the question largely is, what can we do as a company, to drive growth out there, right? Because the weather-related impact, late winter was there, then early end

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winter, now early end to summer, so these things will keep on happening. But what, as a company we are pushing to drive growth. Because until now, our online growth used to be good, but if I'm calculating the numbers correctly, even online growth seems to have dipped to, like, 11.5-12% this quarter.

Mr. Supam Maheshwari Sachin, I understand where you're coming from, and it's a very fair question. Some of these things, external event, may continue to happen, it's not in our control. We need to focus

on what is in our control. And that's what we are working towards. Part of it is visible, and part of it will probably, we'll be able to continue to demonstrate.

So first, factual information is that July over July, the performance in India multi-channel has been, in early teens in terms of growth. So I think we are back on quite a good sort of a shape. And, we strongly believe that we should continue to deliver similar trajectory for the rest of the year as well. Having said this, what are the factors that will help us, that we are actually working towards? One of the most important things that we are working towards is building our, you know, the impact that has been on us is from a last-mile customer experience perspective. And I can talk about both online and specifically on offline as well. So in the online, the impact has been largely because of the customer experience, and there have been, consolidation in last-mile logistics sort of service network, in the ecosystem, we all know that. And that has shrunk some of the capabilities. But at the same time, there has been a lot of demand that has been generated out of some of other players, which essentially led to a demand-supply gap, leading to supply being constrained and leading to industry average going down in terms of delivery performances, which we believe, we need to work upon. And, as you would remember, we had started an experiment, a couple of months back. We talked about in the last quarter. Happy to report that we have expanded that experiment to now four cities. And we will continue to expand that to many

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more cities, over a period of next few months. And there we have seen the results of a much superior growth year-on-year basis in those cities, where our tech platform and our local regional logistics partners are able to deliver a much superior customer experience, and able to have that growth back. So we believe, over a period of next few quarters, we will continue to work on it. Probably it'll never finish, that work will never finish. But, it's something that we want to really expand aggressively to control that customer experience, and being able to get the growth back. This is one thing that we are doing from an online perspective. R

est are things, from an online perspective, we continue to depend on some external factors like, environmental factors that unfortunately, we can't control. From an offline perspective, yes, there have been unseasonal rains, they do impact offline stores. But, we believe that, and the stores that we had closed in Q3, which Vivek talked about, were there in the base of Q1. Hopefully, once that base is gone, then I think you should be able to see superior growth, and some of the store size discussions that we have done last time around, will help us in improving our capital efficiency. So I think those are the ways that we are addressing the broad consumer slowdowns, especially in the offline, but we are very confident that what we have seen in July will continue to be able to live for the rest of the months in the fiscal year FY26.

Mr. Sachin Dixit Just a quick follow-up on that, are you happy with the speed of store expansion, offline store expansion, that you're doing in COCO format?

Mr. Supam Maheshwari See, look, I think we have put ourselves in a constrained way to be able to deliver that. We have optimized that. We will add in FY26 close to around 90 to 100 stores, what we added around 90 stores in FY25 as well, so that is what we'll be

delivering for FY26 as well.

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Mr. Gautam Sharma So the focus, Sachin, is to better the capital efficiency of the offline business.

Mr. Sachin Dixit Right. Got it. Sure. My second question is on Globalbees , which is a business which continues to surprise positively every quarter . On that piece, I mean, two minor questions. The first one is, do you plan to start acquiring brands any time soon, there? And secondly , as First Cry investors, can they anticipate any liquidity from that business getting demerged, having its own IPO, or anything like that? Those were my two questions. Thank you.

Mr. Supam Maheshwari
Anuj you want to take that, or you want me to take that? So, second question we'll take.

Mr. Anuj Jain Yeah, sorry, I was just unmuting. Yeah, Supam, carry on.

Mr. Supam Maheshwari
No, go ahead with the first question, at least let's answer the first question , on the acquisition bit.

Mr. Anuj Jain Yeah, so on the first question, we have in our core categories, we already have quite a few categories and I think we have a very good spread of play to be able to grow, and it is very important for us to prioritize consolidation and financial prudence for us to be able to continue to grow with this kind of a margin profile. Therefore, acquisitions are not something that are on the cards or under consideration right now.

On the second part, I'll let Supam take it on.

Mr. Gautam Sharma
Just to add here, Sachin, the last acquisition we made was in September 2022. So, whatever growth we are delivering since the last couple of quarters , it is all completely organic growth.

Mr. Sachin Dixit
Yes, completely .

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Mr. Supam Maheshwari So, on the second question, Sachin, from an exit path perspective, from a monetization for the shareholders of Globalbees. The company has a separate management team, which is run separately and also it has its separate board, and also it has a separate set of investors as well, apart from Brainbees as well , which include s Premji , Lightspeed, and Chiratae, and so on and so forth. Having said this, the most probable outcome for Globalbees as an outcome will be listing, which company and its shareholders will decide over a period of time , is when Brainbees also will find a monetization opportunity over a period of a few years.

Mr. Sachin Dixit
Fair enough. Thank you, and All the Best.

Mr. Supam Maheshwari Thank you, Sachin .

Mr. Anish Arora
Thank you, Sachin. The next question is from Sachin

Salgaonkar . Sachin, please unmute yourself.

Mr. Sachin Sa

Salgaonkar

Thanks, Anish. Good day, management.

A couple of questions from me, one on the core multi-channel business, and one on International . On the core multi-channel business, two parts to the question. One, are we seeing the impact of quick commerce on the business? And the question is because, you know, you guys are experimenting with this faster delivery in four cities, and clearly you're seeing traction. So I guess there is appetite for customers to get products at a much faster pace out there. The second part of this question is, clearly there were three factors which impacted the growth this quarter, consumption slowed down, last mile challenges, and what we saw in terms of the geopolitical issue. Now, the geopolitical issue is behind, and generally wanted to understand, Supam and Gautam , your thoughts on the consumption slowdown and last mile challenges. These have been there for a quarter or so, so what's the kind of a steady -

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state growth we should expect going ahead? At least for a few quarters before these things normalize.

And, just to, call out my second question, I wanted to understand, again, the steady-state GMV growth for International business. We did see a 3% growth this quarter. How should one think about steady-state growth, and what are some of the things we should see from FirstCry to reach to that level?

Mr. Supam Maheshwari

Sure, Abhinav, you want to take the second question first, and then we can come to the first one.

Mr. Abhinav Sharma Yeah . So, before I answer that question, I missed an update, a very important one for everybody. So very happy to announce that, in the Middle East, we'll be setting up our first store and operating our first store out of Riyadh in Saudi Arabia, well within the timelines of this quarter. Before the end of this quarter, we'll be live. So , this is our first step, baby step, while we go towards our omni-channel play, and a great testament again to the India playbook that we've evolved and developed over the last decade and a half.

So Sachin, so first of all, on the GMV, I would like to mention that for the International business, I think the right sort of a number to look at is a revenue growth, not GMV growth. So, in terms of your question on the sustained growth or a steady-state model, I think, too early , right now. Because the reason why I'm saying this is because KSA is just 3 years old in the market in terms of business, and UAE is about 5, so these are still early days. However, when it comes to growth , we are very clear on our focus of having a sustained model of top-line growth. And when I say sustained, I mean maintaining an equilibrium between generating top line , which is also helping us, at the same time, reducing burn, because that's what we mentioned over the last few calls, and you've seen that in the second slide, where we've reduced the burn in absolute terms

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at about 30% or so. So, while we do this, we are very very clear on acquiring customers that are having a very high or a superior quality in terms of retention, and thereby a longer sort of a LTV for us, generating or helping us expand our gross margins as well as strengthening our moats while we do this. This journey, I would say, in its infancy right now, so we need to give it, some bit of time, but the light at the end of the tunnel is very clear. You've seen that the cost or the losses are cut, quarter on quarter, and you would see that progressively from here on. And you will see growth coming as well on the back of both our home brand share improving, the acceptability of our home brands in both markets, UAE and KSA, while we improve the product assortment, product quality, and we sort of acquire and retain our customers, fending off any headwinds that we see continuously with heavy or deep discounting and, very robust

or aggressive
postures on marketing spends in the ecosystem.

So, our first focus is unit economics improvement and then, from there on, while we do that, from there on, we then double down on our growth and marketing spends. That gives us the sort of an open playing field to expand and to grow sustainably.

Mr. Sachin Salagonkar

And sorry, Abhinav, what kind of steady-state growth are we talking? India business is early to mid-teens. Is that something similar as a growth we should look at, in the International business?

Mr. Abhinav Sharma In the foreseeable future, I think, yes, because that would be a more sort of a sustained number. But, like I said, once we achieve a unit economics that is helping us, allowing us to double down on our marketing spends, we can then achieve a certain higher growth numbers as well.

Mr. Sachin Salagonkar

Got it. And foreseeable future is 1 to 2 years, I presume, right?

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Mr. Abhinav Sharma

I would say the next couple of quarters, for sure.

Mr. Sachin Salagonkar Okay, got it. Thanks.

Mr. Supam Maheshwari Yes, Sachin. So, coming back to the first question. So, there are certain factors and we talked about those factors leading to the kind of growth, and I think, I think, we are putting our efforts as, Sachin Dixit asked that question. And I think, July is a testimony of that. So somewhere, some efforts are being put by government policies, some efforts are being put by our own efforts, in terms of improving the customer experience and the planning that is underway. And some are external factors, that should be helping us, during the course of our journey, should not surprise us negatively. With all of those, I think July has been a month that gives us the confidence that clearly, we should be in, as I mentioned, it was in early teens for us, July over July. We believe for the rest of the fiscal year, we should be able to demonstrate, or we should be able to deliver the similar kind of a growth for the India multi-channel business. While our focus, on our effort will remain what we can influence, which is delivery experience. And a bit, rest of the stuff, there are so many finer points that we don't want

to get into that. Those are related to tech , merchandise and a lot of , a list of activities that we will end up doing, as a management team. However, the key focus areas will remain delivery experience, and we hope , we continue, strongly believe that we should be able to demonstrate what we saw in July.

Mr. Sachin Salgaonkar And so, Supam, any thoughts on quick commerce? Is that impacting business, or not so much?

Mr. Supam Maheshwari Nothing has changed, Sachin, is what we have mentioned in the last quarter update, or last couple of quarter updates. Nothing materially has changed for us , from a quick commerce , sort of a perspective.

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Mr. Vivek Goel So, Sachin, the overlap at the category and the brand level is quite small. So, that's what, and that has not changed, per se, from a quick commerce point of view. And as Supam said, the core focus remains on customer experience improvement and the delivery experience improvement, which had actually suffered in the previous quarter.

Mr. Sachin Salgaonkar
Got it. And Supam, just a clarification, when you talk about early teen growth, are we referring to GM V growth or the revenue growth?

Mr. Supam Maheshwari
We mean revenue growth .
Mr. Sachin Salgaonkar Okay. All right, thank you.

Mr. Anish Arora Thank you, Sachin. The next question is from Videesha .
Videesha , please unmute yourself.

Ms. Videesha Sheth Hi, Thank you. Some of my questions have been answered, just one more from my end. In the PPT , the positive free cash flow which you're referring to, would also be a function of relatively slower network expansion, right? So, once that

picks up, do you expect cash flow to return to the negative terrain , as the company would want to focus more on growth or customer acquisition?

Mr. Supam Maheshwari Sorry, Videesha , we could not hear your question properly .

Ms. Videesha Sheth
Is my voice better ? Anyway, more audible?
Mr. Supam Maheshwari Can you please repeat your question?

Ms. Videesha Sheth Yeah, sure, sure. So my question was pertaining to the cash flow. In the deck, it's mentioned that at consol level, cash flow has been , free cash flow has been positive. But what I wanted to understand was that that could also be a function of relatively slower network expansion, or relatively slower store

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expansion as well, right? So once the store expansion momentum picks up, do you expect the cash flow to return to the negative terrain , as the focus would be more on growth and customer acquisition?

Mr. Gautam Sharma So, in fact, Videesha, Supam mentioned that we plan to open

a similar number of stores in FY26, which we have opened in FY25, last year. And it doesn't create a significant difference, especially on the Capex front, even if we slowed down a bit in terms of opening a store. See, the cash generated from operations, even after working capital investments, that remains healthy.

Mr. Videesha Sheth
Yeah.

Mr. Anish Arora Thank you, Videesha. The next question is from Garima Mishra. Garima, please unmute yourself.

Ms. Garima Mishra Hi. Thank you for the opportunity. First question is on the India business. This quarter, you posted EBITDA margin expansion of 30 basis points. Could you highlight to us the levers available in this business to further increase these margins? And you think the current pace of margin expansion is somewhat constrained because revenue growth has been under pressure?

Mr. Gautam Sharma So Garima, the encouraging sign is, I would say, a gross margin expansion. If you see, gross margin for the India multi-channel business is continuously improving. Even in Q1 FY26 over previous year, Q1 of FY25, we have improved the gross margins by almost 120 basis points. We could not get the same benefit in the EBITDA margins, largely because of the two reasons. One is because of the constrained in the offline growth, we got a de-leverage on the fixed cost. And plus, the experiments we are doing to improve the last mile delivery experience for the online business, and the mix between the online and the offline has slightly changed, because the online

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business, tends to have more logistics costs compared to the offline business, that cost has also increased, and that's the reason, the EBITDA margin expansion has reduced by almost 90 basis points. So, what I would say is the healthy thing, to see is the gross margin expansion, which is continuously improving, and once we see a positive movement in the industry growth, I think this deleverage of the fixed cost should start reversing. We believe that the increase in the direct cost, largely coming out of the logistics cost, is also temporary, and in a longer run, should give us positive results. So, I think what we should see, as a health of margin expansion, is the growth of gross margin expansion, Garima.

Ms. Garima Mishra
Okay, understood. Now, again, sticking to the India business only. Our CACs in the business have traditionally been very low, right? Do you think you need to spend more towards customer acquisition, or maybe even retention? To sort of drive up GMV etc, any other growth driver, really.

Mr. Vivek Goel So, Garima, in the India multi-channel business, we have a very clear focus and a direction on the unit economics we are working on, right. And that focus continues. What we believe is, as some of these factors in terms of consumer experience and broad-based industry growth

actors, start turning around, we should be able to double down, because there's an incremental benefit that we can get out of it. So, primarily, we are currently on the path that we have defined for ourselves. And, I think we are going to maintain on that direction.

Mr. Supam Maheshwari

So, Garima , just to sort of add on this, I would say that, look, gross margin and our growth, these are two independent objectives , these are independent paths, they're not interrelated in that sense, because, we will continue to see a gross margin improvement because of several reasons we have talked about in our previous calls, and those are structural plays, that'll continue to help us to generate more

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gross margin. While our business is slightly different than other businesses in the online space in terms of spending more to generate , customer acquisitions and cohorts and so on and so forth. We need to fix a certain bit of a delivery experience to be able to ensure, we are on track from a new customer acquisition window. As you're seeing in AUTC as well. But at the same time, once overall consumers slow down also changes, and our delivery experiences also improves, I think some of those things we'll actually start seeing in the yield that comes out, from the marketing spend that we do, otherwise, it'll not be as productive as we would wish to be. So we are on track, hopefully, in next couple of months and quarters, we'll be able to improve what we want to control, and once that happens, I think our similar marketing expense will deliver a lot more superior result, and you will see the benefit of what Gautam also talked about, the benefit of gross margin expansion yielding to the higher EBITDA expansion as well..

Mr. Gautam Sharma And in fact, if you remember, Garima , the slide which we have presented during the last quarter call, that was largely on cohort. The cohort is continuously improving, year on year. So, we talked about cohort for the four different periods, you can see that's the power of the multi -channel business, the cohort is continuously improving .

Ms. Garima Mishra

Understood, Got it. Maybe, last one from me, if I may. Is there any SSSG number that you can share for the India offline piece?

Mr. Supam Maheshwari Garima, on that, it'll be difficult, as we have already explained to you, that our model is different from a traditional retail model. At a catchment level, or at a city level , is what we should look at. We've spoken at length in previous calls as well, that the model is, offline , our store model generates , similar kind of contribution margins. There's no material difference post -marketing, post -rent, between the two ,

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online and offline, and that is what gives us the encouragement to continue to expand at a wallet share basis, in that catchment , for those customers, and increasing our market share, that is what we look at, we want to focus on, rather than pure SSSG. Because that may not yield us the right outcome for us, as a team. So, that's how we are maintaining, and that's how we will continue to maintain going forward. Our capital allocation, our focus on the mix of the online and offline, to meet those objectives of wallet share, converting those footfalls into gaining more wallet share , with the customer going both online and offline, or offline and online, both ways.

Mr. Gautam Sharma

And in fact, we will again take you to the last quarter presentation, wherein, we've talked about the cross-pollination. So 38% of the customers, they transact both online and offline.

Mr. Supam Maheshwari For the top 20 cities.

Mr. Gautam Sharma Yes, for the top 20 cities.

Ms. Garima Mishra All right, understood. Thank you so much.

Mr. Supam Maheshwari Thanks Garima

Mr. Gautam Sharma

Thanks Garima

Mr. Anish Aro

ra Thank you, Garima. Next question is from Tejas Shah. Tejas, please unmute yourself and ask the question.

Mr. Tejas Shah Hello ?

Mr. Supam Maheshwari

Yes, Tejas . We can hear you.

Mr. Tejas Shah Yes. Hi, Thanks for the opportunity. So I joined in a bit late, so apologies if this question has been asked earlier. But India

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multi-channel margin, just 33 basis point expansion YoY. I believe that this particular aspect of the business was irrespective of the revenue growth, because we were working very diligently and in a calibrated way on private label or, sorry, your home brand's expansion. So, just wanted to know, is this quarter aberration and we can see acceleration in this going forward in the year ? Or there are any more factors which are putting pressure over here.

Mr. Supam Maheshwari So, Tejas , yeah, we did cover this particular point. Happy to sort of repeat it as well. Look, we delivered 120 bps increase in our gross margin in India Multichannel. Although, only 30 bps got translated into Adjusted EBITDA. The loss of 90 bps happened on account of largely , a few factors, but largely, we would want to call out two factors. One is, some of the experiments that we are doing on the last mile , improving delivery experience and plus some deleverage that has happened in the offline , stores business, because of the growth. I think over a period of next few quarters, as what you see in July, the growth is back in early teens for the entire India multi-channel business, which will help us to reverse the deleverage and also the experiments that we are doing around online , sort of a logistics, it is a temporary phenomenon over a period of time, we will be able to, as we build volumes, we'll be able to bring that back into a normalized sort of a direct cost. And thereby, we'll be able to translate a large, significant part of our gross margin expansion to the EBITDA . And gross margin expansion will continue to happen over a period of time, because that's quite structural in our framework.

Mr. Tejas Shah Clear. Second, when I scan the broader retail universe, what has happened is that there was a phase of bunched-up demand post-COVID. And a lot of players responded to that by expanding retail footprint. And now, for the last one and a half year , we are seeing that there's a lot of consolidation of

demand in terms of footprint happening across. And then, just

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in line, in the tune with the demand scenario. So, just wanted to know, we also had a very phenomenal run there. But looking at the new macro realities and consumption in particular, do you think we'll go through that phase of consolidation? First of all, do we warrant that?

Mr. Supam Maheshwari Look, it's a fair question, Tejas. I think the players who are nimble, who are agile, will evolve. You're right in the observation that we had all seen a very good flip post-covid, during COVID and post-COVID period. The retail saw a lot of jump. I think in this phase of the journey for at least maybe till the time the whole macro changes, I think some of these moments give us, give opportunities to players, at least that's what we believe, at least the management team of FirstCry believes, that periods like these are good periods for us to be able to strengthen our moats, strengthen our operating capabilities. And as and when the winds turn around, it will give us the significant flip in a very short period of time to be able to capitalize and deliver sort of an outperformance on numbers. Because those factors that would have helped us to be on improving and perfecting some of those things, whether it is related to last mile logistics, whether it is related to tech, merchandising, personalization, store, sort of a wallet shares, unit economics, I think all of those things will actually make us more nimble,

more and I can only sort of comment and assure, all of you, that we as a team are, at least in that cohort of companies which, we'll be far more nimble, and we'll be able to deliver and be able to capitalize when the wind turns around. So I think that's how I would summarize it and we are all going through that phase, but, we remain very confident. We, as a team, in over the last 15 years, have seen several cycles like that. Personally, I've seen more, but as a team together also, we have seen a few cycles like that, but I think, it just makes us stronger.

Mr. Tejas Shah Sure, and the last one, if I may. Customer additions have dropped dramatically, so just wanted to know, how should we

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read on that from market lens perspective? Market share lens perspective?

Mr. Supam Maheshwari Vivek, you want to take that? Or you want me to take that?

Mr. Vivek Goel So Tejas, the customer additions in terms of both, all our numbers remain pretty stable, right. The CAC and other factors are also quite stable, from that window. I think some of the challenges which we mentioned earlier, as they get solved, we can potentially see that, we can see a better acceleration in that front. And in July, we have already seen that, as Supam mentioned. So it'll reflect in the overall numbers as well, as the individual acquisition numbers, as we move forward in the following quarters.

Mr. Tejas Shah Sure. Thanks and all the best for coming quarters.

Mr. Supam Maheshwari
Thank you, Tejas

Mr. Anish Arora Thank you, Tejas. Next question is from Su crit. Su crit, please unmute yourself. Introduce yourself and the organization and

please ask your question.

Mr. Sucrit Patil Yes. Good Evening to the FirstCry team. Am I audible?

Mr. Supam Maheshwari Yes.

Mr. Sucrit Patil Yeah. Good Evening. My name is Sukrit Patel from i sight FinTrade Private Limited. And my question is to Mr. Supam Maheshwari. First of all, I'd like to congratulate the entire team on a strong traction in the omni -channel engagement and private label growth. So my question is, given First Cry's deep access to early parenting cohorts and the expanding offline footprint. How are you thinking about evolving the platform from a commerce -led model to a lifecycle -led ecosystem, potentially integrating services like, early education, health, or FinTech? Specifically tailored to

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parenting milestones and is there a roadmap to monetize trust and data across the many verticals beyond retail?

Mr. Supam Maheshwari Good question, Sukrit. So, look I think, I would just simply say that we're already in early education. As you know, we have, 300 plus preschools, that we operate, quite profitably. That is part of our fourth segment, it's a small one for us, but from a strategy window, it has very beautiful outcomes for us. Over a period of time, when we will have 1,000 preschools and you will imagine that the strategic benefit that preschools will give us in any catchment. In thousand catchments, over a period of time, we'll have our stores, we'll have a preschool, that essentially helps us to build, brand salience with the customers in an offline way, while online, obviously, we are present. So that helps us to reduce our marketing spend over a longer period of time, as we continue to reinforce our brand in those vicinities of that catchment. So that's while generating an asset light, profitable, very strongly profitable business sort of a model, as well as preschool is concerned. So that is an identified opportunity, we started in 2019. Obviously, we had COVID, and then we continued post - COVID, a good traction on that front. While under some of the other opportunities that you talked about, whether it is health-related or fintech -related, at this moment, we are not going for any new opportunities. Yes, these opport

unities, over a longer horizon, we will evaluate. But at this moment, we will remain focused on largely the four verticals that we have been working towards, which is India Multi -Channel. We strongly believe it's a very huge opportunity for us to continue to nail down that. International, UAE & KSA business, we have to make this business profitable on a shorter timeframe. Third, obviously, Globalbees, continue to do well. And, fourth is this preschool. So we'll continue to remain in this sort of a spectrum right now. Once we have outperformed in some of this, where we feel, we have reason to think beyond that, is when we will probably think about, moving towards, health or fintech kind of an opportunity. They are relevant, they can

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add to our ecosystem, you're absolutely right, but at this moment, they may not be the right set of opportunities for us to sort of address.

Mr. Sucrit Patil Great Supam. That was a very good guidance. Just to close the loop, I just want to understand, just want to pick your brains,

as a CEO of the company, as you explore these adjacent opportunities, I want to understand how do you internally evaluate which verticals to pursue ? Whether, it's early learning, health, or financials. And, is there a strategic framework that guides you on how to balance between the brands? Evaluate the monetization potential and the execution complexity in each of the frameworks.

Mr. Supam Maheshwari Sure. Sucrit, while I can answer on this, and to save everybody's time, we can discuss this particular question offline, but I can just guide you. Simply, you look at a strategic benefit for the company, for the core business. That's the fundamental point. The strategic benefit has to be really, really super strong, and then you look at it from a ROCE window, in terms of timeframe. So, like, a health business can be very investment unfriendly for the initial few period, few years, which is what we don't want to do it right now. School business, preschool business, was very friendly from a ROCE perspective, because, pretty much it has an infinite ROCE. While it serves our strategic objective, that's how we got into it. And we are scaling it up, and we'll continue to scale this up. So maybe this is, like, a broad framework, strategic benefit, and a clear focus and eye on the ROCE perspective, you align these two. Once these two things, filter out some of these opportunities, and you think whether you want to, then you go to the execution part, in terms of, how you execute, how easy it is to execute, and so on and so forth. So, that's a broad framework, but we can get into more specifics, maybe offline. I hope that helps.

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Mr. Sucrit Patil Yeah, yeah, great great. Thank you very much, and I wish the entire team best of luck for all your future endeavors.

Mr. Supam Maheshwari Thank you, Sucrit.

Mr. Anish Arora Thank you, Sucrit. Would request the participants to raise your hands in case anyone has any questions.

Mr. Supam Maheshwari Alright. Thank you, everyone.

Mr. Vivek Goel Thank you, everyone

Mr. Anish Arora Thank you, everyone

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio video recordings uploaded on the stock exchange on 13th August 2025 will prevail.

Call: Nov 2025

Brainbees Solutions Limited CIN: L51100PN2010PLC136340

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FC/SE/2025 -26/64

November 20, 2025

National Stock Exchange of India Limited

Exchange Plaza, C – 1, Block G,

Bandra -Kurla Complex, Bandra (E),

Mumbai -400051

Symbol: FIRSTCRY BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400001

Scrip Code: 544226

Sub: Transcript of the Audio -Video Earnings Call for quarter and half year ended September 30, 2025 results

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated November 07, 2025 bearing reference no.

FC/SE/2025 -26/57

Dear Sir/Ma'am,

In terms of Regulation 30 and Regulation 46 read with Para A of Part A of Schedule III of the Listing Regulations, please see enclosed herewith transcript of Earnings Call with the Analysts/Investors held on Friday , November 14, 2025 post announcement of Un-audited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 2025.

The audio -video recording of the Earnings Call along with the Transcript has been uploaded on the Company's website and the same can be accessed from the link provided below:

<https://www.firstcry.com/investor-relations/quarterly-results> .

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours sincerely,

For Brainbees Solutions Limited

Neha Surana

Company Secretary & Compliance Officer

ICSI Membership No.: A35205

Encl: Transcript of the Audio -Video Earnings Call

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"Brainbees Solutions Limited (FirstCry) - Earnings Call

Q2 and H1' FY26 Results"

November 14 , 2025, 6.00 p.m. IST

Management:

Mr. Supam Maheshwari

Managing Director & CEO

Mr. Gautam Sharma

Group Chief Financial Officer

Mr. Vivek Goel

Chief Business Officer

Mr. Abhinav Sharma

Country Head, Middle East Business

Mr. Anuj Jain
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Mr. Anish Arora
Investor Relations

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Mr. Anish Arora Good evening, everyone. Welcome to Brainbees Solutions Limited Q 2 and H1'FY26 earnings call. This is Anish Arora, and I have with me, Mr. Su pam Maheshwari, Managing Director and CEO of the Company, Mr. Gautam Sharma , Group CFO, Mr. Vivek Goel, Chief Business Officer of the Company , Mr. Abhinav Sharma, Country Head of Middle East Business Operations and Mr. Anuj Jain, CEO of Globalbees.

Kindly note that this call is meant for analysts and investors of the Company. We wish to highlight that the call is being recorded and by participating in this event, you consent to such recording, distribution and publication. All participants have been muted as per the default mode and participants will be unmuted once we open the Q&A forum for the members to ask questions after the presentation from the management concludes.

We will be covering the presentation in the beginning of the call and we will then after open for the Q&A forum. We would like to point out that some of the statements made in today's call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you.

With this, I hand over to Mr. Supam Maheshwari.

Mr. Supam Maheshwari Good evening, everyone. Sorry, am I audible? Because we had some trouble earlier. Good evening, everyone. Can you hear us?

Okay, all right . So, first of all, I'd like to say Happy Children's Day to all of you. Thanks for joining our Q2 and H1 'FY26 earnings presentation.

Anish, can we move to the next slide, please? Yeah. We'll take you through our H1 and Q2 performance highlights. In this quarter and in H1, happy to share the progress, a report card. On the consolidated basis,

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we have been PBT positive, adjusted for ESOP cost in Q2 as well as H1'FY26 . Also happy to report that Adjusted EBITDA increased by 51%, in quarter 2 of FY26 , led by improvement across all our business segments. And we continue to remain, free cash flow positive as well for H1FY26.

Now on the segmental updates. At a broader level, India Multi-Channel, despite deferring of consumer demand due to implementation of new generation GST reforms, we witnessed sequential improvement in YOY basis on growth rate for GMV across , both online and offline channels. And, with further expansion of our faster delivery initiative , that we spoke about at length last time around , during our earnings call, and plus new scale-up of our new initiatives that we had discussed last time, but we will share more details this time

around, we believe our year-on-year GMV growth rate for both online and offline will be sequentially better for second half of the FY26. We continue to be PAT, and Free Cash Flow positive in H1F Y26. On the International business, we delivered another quarter of sustainable growth, as we have spoken about in our last several earnings call. And this comes with a significant improvement in the Adjusted EBITDA, which has been around 52% on a year-on-year basis for quarter 2 of FY26. On the Globalbees front, we delivered another strong quarter of organic growth, with core categories driving the growth momentum, as well as the profitability.

Mr. Gautam Sharma We continue to improve our EBITDA across all the business segments. As Supam mentioned on the previous slide, our Adjusted EBITDA for the consol business in Q2 has grown by 51% year-on-year. And if we further break it down into different business segments, we can see India Multi-Channel Business EBITDA has improved by 14% year-on-year. International business, as Supam mentioned and we have talked about this on our previous calls that we will continue to focus on reduction of losses in the International business. You can see a significant reduction of losses in our

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International business, from a loss of INR 39.4 crore in Q2 of FY25, we have reduced this by more than half to INR 18.9 crore rupees in Q2 of FY 26. Globalbees EBITDA continue to improve, an increase of 23% year-on-year in Q2 'FY26 over Q2'FY25. Others, which is a preschool business, continue to deliver a strong EBITDA, it's an increase of 55% year-on-year in Q2'FY26.

This is a snapshot of Q2 performance for the consol business. Annual Unique Transacting Customers, this is for trailing 12-months, stands to be 11 million. It's an increase of 11% year-on-year. This is for the India Multi-Channel business and the International business. Similarly, GMV has also grown by 11% for India and International Business put together. Revenue from operations, on a consol basis, has increased by 10% year-on-year. Similarly, the consol Adjusted EBITDA, which we talked about on the previous slides, has increased by 51% year-on-year. Talking about the India multi-channel business EBITDA, it has increased by 14% in Q2' FY26 over Q2'FY25. And we continue to improve the Cash Profit After Tax, which stands at INR 71.6 crore, with an improvement of 157% over Q2'FY25.

Now I hand over to Vivek to take you through the performance of India Multi-Channel Business.

Mr. Supam Maheshwari

Just give us one minute, please

Mr. Vivek Goel Hello everyone. Apologies for the technical glitch. Happy Children's Day, everyone.

The Q2 for India multi-channel business played out for us in two parts. The first half of the quarter was very good

and we

also alluded to it in our earnings call during last time. The growth in the second half of the quarter was moderated as the customers deferred their purchases following the announcement of the new GST rate reforms, as Supam had

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also mentioned. We witnessed this from mid -August to late September. In order to incentivize the customers, during this period, we increased our discounts on our platform, which has resulted in difference in GMV and revenue growth. And also a slight reduction in gross margin that you'll see in the next slide. However, our adjusted EBITDA margins continue to expand. Further, it is important to note that the GMV growth on year -on-year basis has sequentially improved on both online as well as offline channels in Q2 'FY26. Also, would like to highlight that we witnessed very encouraging signs of growth both during and post- festive season for both online and offline channels. On the profitability front, I'm happy to announce again, that India Multi -Channel Business continues to be PAT and Free Cash Flow positive in H1 of FY26. When it comes to annual unique transacting customers, we grew by 11% in Q2 'FY26 to 10.5 million. India omni- channel business had orders growth of 8% in Q2FY26 and for half -yearly basis, for H1 'FY26, we grew by 7%. Our GMV increased by 12% in Q2 'FY26. And on a half -yearly basis in H1FY26 over H1FY25, we grew by 11%.

So, as I mentioned earlier, India multi- channel business witnessed continuous expansion of adjusted EBITDA margins. Our EBITDA margins for Q2 'FY26 grew to 9.1%, from 8.6% and for half -yearly basis, we grew to 8.9% from 8.5%. When it comes to Gross Margin, as I mentioned, there's a slight decline, in Q2' FY26 to 37% from 37.3%, however, at half -yearly basis in H1 'FY26, we grew to 37.4%, which is 40 basis point growth over last year

Mr. Supam Maheshwari

On India multi -channel business, just wanted to highlight few key initiatives that we are undertaking to drive growth. First one is the new generation GST reforms , it's obviously a gift from the government. Almost one -third of our portfolio transitioned to 5% GST. It'll help us spur demand for all retailers, including FirstCry . So that'll definitely be a very good

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positive for us. Most importantly, what is in our control and what we are endeavoring to deliver, which we have spoken at length last time around. Happy to report that we have expanded our delivery network, from 4 cities to 13 cities, which is our in-house delivery network and that has helped us significantly to improve the TAT and has resulted in growth in those cities, as well as the customer experience. We continue to expand on this initiative. Our endeavor is to continue expand month on month, and add more cities to be able to cover half of our shipments by mid-next year.

And the next initiative that we would like to share with you all is that we have been witnessing , we had witnessed in the past, is around the footfalls in the offline channel. Here we are aiming to roll out a realigned product portfolio by H1 'FY27. Here, instead of playing with a width strategy, we'll be playing more of a depth strategy, enabling us more margins which we will be able to pass to the customer and thereby expanding our certain customer base that we will be able to target additionally , without really losing any material margins, at a gross margin level. With this, we anticipate increase in footfall, as well as conversion. Also, with improvement in faster delivery network , that we are creating, this all has been created in the last 6 to 7 months only . And we rapidly continue to increase this. We are encouraged with this, to the extent that we will be actually spending more marketing money and

we will still manage our unit economics and we will be able to accelerate the growth. Because

we are able to now offer much superior customer experience that we have not been able to deliver in the past. So with these initiatives, we believe, the best is yet to come for us, and H2 and even FY27 looks more promising, as we progress towards the H2 and the FY27 zone. Now I will hand over to Abhinav to take you through International business update.

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Mr. Abhinav Sharma Thank you, Supam, and Good Evening, everyone. Happy Children's Day to everybody. The best forum you can expect to get wished for Happy Children's Day, I believe.

Very excited and happy to share that we've launched our first store in Riyadh, in Saudi Arabia. It's a company-owned and operated store, in a mall. We launched it somewhere around the third week of August'25 and it is off to a very promising start, both from a customer experience or customer feedback standpoint, as well as the first sort of metrics that we've measured. Early days, but very promising and very excited and happy to share with you. And I think 14th November is a very good date to share with you this news as well. Anish, onto the next slide, please.

So, as mentioned in the previous calls, both by Supam and Gautam as well, as I, we're truly on our journey towards a very sustainable growth. This quarter as well, we've been able to deliver, in both the countries, both the markets, UAE and KSA, a very sustainable quarterly growth, by optimizing our top-line mix, resulting in a very superior GMV to revenue conversion, and superior gross margins as well. Also, a relentless focus on acquiring superior quality customers ensuring a very high probability of retention, which has been a key driver to the results that we'll see in the next couple of slides. AUTC grew by 12% in Q2 of FY26 versus the same quarter last year. Orders grew by 9%, in comparable quarters. We saw 8% order growth in the first half of this year versus last year. GMV grew by 9% in comparable quarters, and 6% versus the first half of last year.

Revenue, which actually is the metric that we all should look at from an International business, to measure the scale of the business, we grew 13% from INR 208 crores to INR 236 crores approximately, in Q2 of FY26 versus same quarter last year. To top it up, we expanded our gross margins by 300 basis points from 23.3% to 26.3%. Sort of a similar story for the first

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half of this year versus last year. 13% growth in revenue, from INR 392 crores to INR 443 crores, with gross margin expansion of about 200 basis points from 23.6% to 25.6%. Having done that, we also ensured what we promised, over the last few calls, is a relentless focus on burn reduction and loss reduction. We saw a significant reduction in Q2 this year by 52%, INR 39.4 crores going to just under INR 19 crores, which then helped us with our EBITDA margins by 1,100 basis points from 19% to 8% in Q2 of this year. Progressively, even in the first half of this year versus last year, we saw 42% decrease in losses in absolute terms, and a similar sort of EBITDA margin improvement from 18% to 9%.

This shows us a progressive sort of a loss reduction journey

that we've embarked upon. The sustainable growth journey that we've spelled out very clearly over the previous calls, as well as on this call. If you compare FY25 versus FY23, we had about an 831 bps reduction in our EBITDA losses, 25% going to 16%, and that continued in the first half of this year. 16% last year became 9% this year. So, there is a relentless focus and razor -sharp focus on both expanding the topline, gross margins, as well as reducing losses. So that's been, sort of our corner stone for this year, and for this quarter, as well as last quarter. And we believe that subsequent quarters also, we will continue to deliver reduced losses and top -line expansion, on both fronts.

Mr. Anuj Ja

in Good Evening, everyone. I'm sorry, because of a technical glitch, I think the video is not coming on, but nevertheless, let me continue with the update on Globalbees.

So our core categories, continue to demonstrate strong growth. These core categories witnessed a 30% + year -on-year growth in H1 'FY26. Further, the margin profile for core brands also continue to be strong. Core categories are operating at 5%+ adjusted EBITDA margins post -corporate expenses. As mentioned on previous calls, we continue to rationalize our

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portfolio across other brands. And therefore, the overall growth and overall margins are the way that they are. Our endeavor is to complete this rationalization of other brands within the next couple of quarters. Overall, the revenue growth in H1 'FY26 was 21% year -on-year with an adjusted EBITDA margin of 1.6%. Specifically for the last quarter, we have grown at 14% overall. However, if we focus on core categories, the growth is 20% plus year- on-year. And if we account for the new settlement policy of Flipkart, that some colleagues in the industry have also called out, the year -on-year growth is in the mid -20s. An important point I would like to highlight is that this entire growth is organic, and the last acquisition that we made was in September 2022.

We're four years into the business. The first year went in priming the engine, and we've been scaling up our businesses over the last 3 years. If we look at EBITDA performance over the last 3 years, you will see that the adjusted EBITDA has moved from 0% in FY24 to 5% + adjusted EBITDA in H1 'FY26. And we continue to endeavor to demonstrate, a great balance of growth as well as an improvement in adjusted EBITDA.

Mr. Gautam Sharma So this is the combined result for all the four business segments. In fact, we didn't have any slide on the education business. The preschool business revenue in Q2 has grown by 22% and we talked about the growth in the EBITDA, which has grown by almost 26% in Q2 over last year Q2.

So if you combine the results of all the four business segments, we get a 10% growth in our net revenue for Q2 over previous year Q2, and the H1 revenue growth is 11% year -on-year. If you see the gross margins, while for the Q2 there is a slight dip in the gross margin, largely coming out of the Globalbees business, which Anuj explained in the previous slides, due to rationalization of other brands which should be over in a couple of quarters. And second is a slight change in the revenue mix within the business segments. However, H1

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over H1, we continue to improve gross margin. It has increased by 10 bps in H1FY26. A clear focus on improvement

of the Adjusted EBITDA on a consol basis. We talked about the Q2 EBITDA performance, a 51% increase in consol adjusted EBITDA for Q2 year on year, and similarly, if we talk about the H1 improvement, it's an improvement of around 38% year - on-year. From 4.3% , it improved to 5.4% in H1 FY26 and 4.2% in Q2FY25 has reached to 5.8% in Q2FY26, largely coming out of improvement in profitability across all the four business segments.

Mr. Anish Arora Thank you, team. We will now wait for a few minutes for the queue to get formed, and then we will start with the Q&A.

I request participants to raise the hand for asking questions. We will unmute you one by one, and you will have the access to mic. Please introduce yourself and the name of the organization you represent. The participants are also requested to limit their questions to a maximum of 2. For any follow-up questions, you may join the queue again. First question is from Ms. Videesha Sheth . Videesha , please unmute yourself.

Ms. Videesha Sheth

Hi. Am I audible?

Mr. Anish Arora

Yes Videesha .

Ms. Videesha Sheth Hi. This is Videesha Sheth from Ambit Capital. To begin with,

can you double down on the initiatives that you talked about on the product portfolio in the offline channel? You did touch upon depth, focusing on depth versus width, but if you could elaborate on this as to whether the initiatives would be towards focused assortment, or tighter pricing, or what is it that you're thinking about over here, please?

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Mr. Supam Maheshwari Videesha , yes, this will be focused on the product realignment. It will be around, sort of focusing on width , which allows us to have more leeway in margins and able to offer better prices to customers as well, without any material dent in our gross margin. This enables us to address more range of customers than today . We will attract more footfalls, more conversions, and also further lead to more online volumes. So, all of this will be enabling us from a multi-channel view. That is what our thought process is. We have done some experimentation, but the whole change will be actually applicable somewhere around H1 'FY27.

Ms. Videesha Sheth Sorry, Supam. So, just to clarify, offering a wider assortment would be a part of this?

Mr. Supam Maheshwari It will be wide enough, let me put it that way. Today we have very wide , we want to make it adequately wide. And increase more depth to be able to get the leverage on economies of scale , to be able to have the more latitude on margins , to be able to get that extra set of customers who we are maybe losing out. And making ourselves to be a more destination play, as we have been in the past. So this will make us even bigger destination for mothers, baby, and kids, across all sort of price segments. As you know, both as an omni -channel player, both in our home brands, as well as in our third -party brand partners, we have products across price ranges. So we anyway cater to all kinds of price segments, but this latitude will also help. In offline, obviously you can't , the variety has to be slightly limited, you can't keep such a wide assortment , or

such a wide price ladder, as what you can keep it online. But we are just realigning that a little bit on the offline front as well, so to be able to make, footfall and conversion to further improve for where we stand, is a change that we will be making without compromising any material sort of gross margin loss for us as a business. Hope that answers.

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Ms. Videesha Sheth Okay, so if you've done any, like you said it's been rolled out in certain stores, so if you could talk about how is the growth profile improved over there?

Mr. Supam Maheshwari Look, it's a very early, only a few stores that we have done, so you can't do it at that level.

Ms. Videesha Sheth Sure, sure.

Mr. Supam Maheshwari Yeah, so therefore, it has to be done at a scale. But we are very confident that it will work out, and it'll actually deliver us the yield that what we are anticipating. So, we are very, very confident. That approach compounded with our faster delivery and increase in our marketing spend will drive the overall growth for the business in the India multi-channel. This is what we believe is something that we'll definitely accomplish, because we have had issues around delivery, which we have talked about last time, and as you have seen our progress, that instead of 4 cities, in less than a matter of 7 months, we expanded from 0 to 4, and now 4 to 12 cities, and we will continue to expand on a monthly basis. And our endeavor will be by mid-next year, we'll be able to take it to almost 50% of our business. And with that, increasing marketing spend will mean more retention of customers, new customers, and more retention of those customers driving the growth. So I think our whole ambition is to drive growth. And obviously, our gross margins and some of those things are structurally well-placed to

continue to increase over a period of time.

Ms. Videesha Sheth

Got it. Sure, I'll get back in the queue. Thank you for this.

Mr. Anish Arora Thank you, Videesha. Next question is from Mr. Rohit Mundra. Rohit, please unmute yourself

Mr. Rohit Mundra

Hi. Namaste sir. Sir mai shareholder hoon. Ek suggestion tha. Jaise aapke store mai bhi mai gaya hoon, mai Miniclub mai bhi

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gaya hoon, unhone koi foreign brand ke saath tie-up kiya hai, toh wahan cloth ki quality na bahut ache hai. Toh aapke paas area ka kami toh hai nhi, aapke paas bhi store hai, aap bhi tie-up kar sakte hai. Usse aap premium customer ko tap krenge toh baaki bhi na sale increase hone ke chances hai. Bass ye ek suggestion tha. Aap Miniclub mai ek baar jaakar dekhiye, wahan kaise unhone kisi foreign brand ke saath tie up kiya hai kisi, toh wahan cloth ki range na badh gyi hai, toh apan bhi as a company kuch kar sakte hai aisa. Bass ek suggestion tha.

Mr. Supam Maheshwari

Sure, Rohit. Alright. Thank you

Mr. Rohit Mundra

Thank you. Usse aap premium customer ko phir cater kar sakte hai, matlab phir dheere dheere na, jo premium khareedne aayega, wo normal bhi khareed lega, toh dono ka

improvement hoskta hai use.

Mr. Supam Maheshwari

Sure, Rohit. Thank you

Mr. Rohit Mundra

Ok. Thank you .

Mr. Anish Arora Thank you, Rohit. Next question is from Mr. Jay. Jay, please unmute yourself.

Mr. Jay Laddha

So, yeah, I'm audible?

Mr. Supam Maheshwari

Yes.

Mr. Gautam Sharma

Yeah Jay. We can hear you.

Mr. Jay Laddha Hello. A very good evening, Supam, sir. So, myself, Jay Laddha , I'm from JL Capital. Actually, I am super bullish on this baby care sector and as we know, we are only player in an organized sector, and the totally market is unorganized. So, how we are going to penetrate ourselves in this market? And what's our strategy for this?

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Mr. Supam Maheshwari

So, Jay, you're right on one front that 84% of the market is unorganized. It's a massive market. We almost have 25 million babies born, almost , between 0 to 12, you have 300 million children across the country. We are the largest multi -channel mothers, baby, and kids platform, having around 1,100 plus stores and a significant online playbook. As a part of our strategy, we will continue to increase our store footprint, make our products more relevant, be able to address customer audience, through different tiering, and product tiering as well. From an offline perspective, get those customers from offline to online and a lot of our customers go from online to offline. In our online, we'll continue to invest behind a delivery experience that has been our pain point for the last couple of quarters , that we have started to improve materially. And plus, we are continuing to invest around technology and personalization , to be able to find relevance across different segments of socio-demographic, economic - demographic, and therefore be able to expand that. And then there are several initiatives around building connect programs with mothers, baby, and kids, whether through our schools, where they can enroll their kids and be a partner in that education journey. Or through our hospital initiative program, where we connect with them at the time of delivery. And a lot of other influencer programs that we do. In the mothers, baby and kid space, we run the largest influencer program in the country, through which we will connect. So, I think it's a whole ecosystem of digitally, physically, within the shopping, outside shopping in education, that we are trying to stitch together to remain on top of the mind, as a choice, both from a retail platform as well as a brand and product platform. Brand and product , both is what we are endeavoring to deliver and build long -term partnership, and build joy of parenting to the young parents. So that has been our

journey,

and we'll continue to pedal down across all of these facets that I described, to be able to capture more, and build penetration and capture more and more wallet share of those customers, from an offline and online perspective. So, in a

very short way, I've tried to explain this, but each facet has a very detailed sort of overview of how we're going to do it. And we're going to continue to innovate on that to be able to drive relevance and effectiveness, while building our KPIs from top line and bottom line, from a shareholder perspective.

Mr. Jay Yeah, so thank you for the opportunity. I'm super bullish on this baby-care sector. And all the best for ahead.

Mr. Supam Maheshwari

Thank you, Jay.

Mr. Anish Arora

Thank you. Next question is from Mr. Vraj Shah.

Mr. Vraj Shah Hello?

Mr. Anish Arora Yes sir, you are audible.

Mr. Vraj Shah

Yeah. Hi Sir, this is Vraj from Satwik Digital Analytics. My question is with regards to India multi-channel business. So as you have rolled out the faster deliveries from 4 cities to 13 cities, so my question is that what is the growth profile that you are seeing in terms of GMV, or Revenue, if you can share some light there? In comparison to the other cities, for India multi-channel?

Mr. Supam Maheshwari

Vraj, its significantly higher growth compared to the other cities where we do not have our own delivery network as of today. It's significantly higher. As I explained on the last call as well, the reason, the rationale for doing and building our own sort of a network – it will yield us a better control on customer experience, reducing RTOs, reducing returns, improving customer experience. All of that will yield, at the end of the day, a superior customer experience and a repeat. And our particular category is a high repeat category, and therefore will enable us to drive growth, as we acquire more customers, building that cohort. So, we remain extremely, sort of bullish

on expanding our network, and then driving more marketing on top of it, to be able to accelerate our overall growth.

Mr. Vraj Shah Understood, sir. And sir, if you can share, like what percentage of a total GMV that can be coming from this 13 or 4 cities that you have rolled out faster deliveries.

Mr. Supam Maheshwari

Broadly around, in the last 6 to 7 months, from 0% to almost we have covered 20% of the shipment and by middle of next year, we'll cross 50% of the shipments.

Mr. Vraj Shah Alright, so understood. Sir, my second question is with regards to the gross margin. So, in India multi-channel business, is there any increase in the share of home brands, in total revenues?

Mr. Gautam Sharma

So, Vraj, we have talked about the gross margin improvement levers in previous calls as well. More or less the gross margin expansion levers remain same, which includes increase in the

mix of home brands, increase in fashion mix and continuous improvement in margins with third-party brands with continuous negotiations. So all these factors put together led to an increase in margins. And it remains more or less the same, every quarter and every year.

Mr. Vraj Shah

Okay, so, sir, my question was more towards the number that you had said for FY25, which was 55% contribution

Mr. Gautam Sharma It's continuously increasing, Vraj. Yes.

Mr. Vraj Shah

Ok, understood sir. Thank you

Mr. Anish Arora Thank you, Vraj. Next question is from Ashok. Mr. Ashok, please unmute yourself.

Mr. Ashok Yeah, Hi. Thanks team. Gautam, Supam, thanks and congratulations for the results.

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I have a couple of questions. One, so your gross margin in India business has declined, but EBITDA is increasing continuously. Basically, what line items are leading to this improvement? Question number one. Question number 2 is on the International bus

iness, what are the improvement areas in the International business in terms of EBITDA and by when we'll reach our break-even stage? Third one, do we have any impact of quick commerce on our business?

Mr. Gautam Sharma So, Ashok, on the first point, your question was, despite of a dip in the gross margin, we were still able to improve the EBITDA. So, first of all, gross margin dip is a one-off thing, which is a result of giving away higher discounts, to drive better conversions after the GST 2 was announced from mid-August. And gross margins post-festive season is back on track. However, despite of over 30 bps reduction in the gross margin, we were still able to improve the EBITDA by almost 50 bps, is a combination of efficiency in marketing spends, as well as driving efficiencies in SG&A as well.

Mr. Supam Maheshwari

And on the second one, Abhinav you want to take that, or do you want us to?

Mr. Abhinav Sharma

Yeah, so Ashok, Hi. So your question was around the gross margin expansion, correct, for International?

Mr. Gautam Sharma

Yeah, gross margin and EBITDA, where it is headed.

Mr. Abhinav Sharma

Yeah. So, yeah, I'll answer the gross margin first. It's along the similar lines. It's a function of, how we optimize our top line, and the category mix and the home brand share, progressively improving the home brand share, progressively also improving the mix of the categories that we operate in. And essentially a very, very strong focus on what rolls up to the topline, while the topline expands. That is very, very key to the gross margin expansion. That's point number one on the EBITDA. Obviously, gross margin play, it starts there. But

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there are multiple other cost heads. KSA, and I would say even UAE, are fairly new businesses. UAE being about 5 years, and KSA in the third year. So with scale, we will see the opportunities for efficiencies kicking in, in all the line items. Optimizations and marketing, for sure, has been done by us. We've mentioned in previous calls, we mentioned earlier in this call as well, and again, that our focus is on acquiring quality customers. While there are strong headwinds for increased rates in CPCs, CACs and CPMs. We fundamentally believe that acquiring the right customer, with as minimal cash burn, while expanding top line and improving retention of the acquired customers, will help us with the EBITDA improvements, so that's one. Second is the operating leverage, you'll get those operating leverages in the SG&A as you scale. And there's a lot of headroom. We are a young business. There's a lot of headroom to grow and improve on efficiencies for all cost line items.

Mr. Gautam Sharma

Just to add Ashok, in fact, during our March earnings call, we have talked about the levers which will expand gross margins in International business, which are pretty similar to what has led to a gross margin expansion in India also. So it's the same playbook that we have taken in Middle East. And in fact, we have also shown, where did we stand in terms of gross margin in India business for the first 7 years, the same gross margin, we have achieved in Middle East within 4 years. India business became profitable in 10 years and given the gross margin journey in Middle East, we believe that we should be profitable, much faster than we became in India. You can see the testimony to it is the losses have considerably gone down. It's a reduction of 52% in Q2 and almost 40% in H1. And the losses that we have reduced, from FY23 to FY25, a similar reduction is observed in 6 months itself. And that's the guidance we can give, Ashok.

Mr. Vivek Goel

So, Ashok, I'll take a third question on the quick commerce. We have mentioned, we have communicated in previous calls

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as well, that our overlap with Quick Commerce remains small.

So, exposure is fairly small. However, the quick commerce has led to an increase in consumer expectation when it comes to on-time delivery and faster delivery of goods being shipped online. And in order to meet those increased expectation is why we have been expanding our initiative around faster delivery. Where Supam has mentioned that we have expanded to 13 cities, from 4 cities over 7 months.

Mr. Ashok

Okay, thanks. Thanks, team, for clarifying, and all the best for future.

Mr. Gautam Sharma Thanks

Mr. Anish Arora Thank you, Ashok. Next question is from Sheela. Sheela, please unmute yourself.

Ms. Sheela Rathi Yeah. Thanks for taking my questions. So my first question, again, is on faster delivery. Just want to understand, I mean now we have expanded into 13 cities, what kind of portfolio, what part of our portfolio is actually doing well on the faster

delivery side? So that's the first part of my question on faster delivery. There's a second part to it, but I'll wait for your response before asking that question.

Mr. Supam Maheshwari Sheela , what do you mean by when you say, portfolio?

Ms. Sheela Rathi

Yeah. Yeah Supam, so what I mean is, is it diapering which is doing well, or apparel, which is doing better there? I mean, that's the kind of question I have.

Mr. Supam Maheshwari Sure, okay. So, look, it's a total mix. We are taking city by city , it's not , we are not saying that in that particular city, we will only do certain goods, or hard goods, or apparel or fashion or diapering. When we are taking a city, we are building that network. In a city , you have to build a network, where the source can come from various different cities, we have

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warehouses in different cities . Obviously, we'll try to have the first allocation within the same city , so that we don't have to work, I mean, the logistics cost reduces as the network design becomes superior. But having said that, we are delivering all products. I mean, whether it is, our consumables, whether it is hard goods or whether it is fashion, for the cities that we are mentioning. Especially where we have built a network where we can do the first mile and mid -mile as well. I hope I'm able to answer, so, as over time, as the network will become more and more stronger, with that, we'll be able to do a large part of that city, as we go along. And build more cities in the network itself. It's that the whole logistics is a network game and doing it for ourselves, we are custom - tailoring it in a way that it suits our requirement the most, keeping young parents in mind , in terms of meeting those standards, which we can't rely on as much as we can rely on our own sort of a network. So that's the idea. So covering all product portfolios.

Ms. Sheela Rathi Understood. I mean, the follow -up which I have is the current proposition , which we have in terms of delivery, can it meet our requirement to be profitable in this channel? I think that's where I am getting to .

Mr. Supam Maheshwari Okay, so look, we did share this in the last, or maybe last call itself that this is not coming at a sort of a huge sort of incremental cost. Yes, in the short term, there might be some bps change, but on a medium term, we will be as competitive or as cost-effective as we have been working with in the past with the third -party logistics. So it's not going to be denting our unit economics in a material way , is all what we can say, while improving the customer experience in a very, very dramatic way.

Ms. Sheela Rathi

Supam , as we are on the conversation of e-commerce. Do you have any updated thoughts on selling on third -party e -

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commerce channels? The BabyHug products, or any of your own brand products?

Mr. Supam Maheshwari Sheela, we remain glued to building our own network, our own ecosystem, as

what we have seen. And, we would like building cohorts on our own platform, for both, from a window of being the largest multi-channel retailer as well as the product brand for which the customer will come back and shop with us through our multiple home brands and that has been our strategy for a long, long period of time. We had the similar questions around 2015 - 2016, we debated internally, we remained focused on that strategy. While as of today, we continue to remain on that path. However, we are analyzing, and we are thinking through that more closely. We haven't changed our mind yet. But, it's something that we'll continue to observe. There are other channels who may be better in certain things, because they're solving for a customer experience of, let's say, 10 minutes or a 15 minute. But so far, we haven't seen, as we said, those do not overlap so much with our business. So, I think we will retain our original strategy for now, unless anything dramatically changes, which we don't think it'll change over the foreseeable future. So, we will continue to be a dominant force, both as a shopping destination, online and offline, and also as a brand and product destination, or I would say preferred choice of customers from a brand and product perspective, driving back both cohort onto our platform. So I hope I've answered that, no change in strategy.

Ms. Sheela Rath i Understood. My final question is, now given that the first half is behind us, how should we think about the full year F26 growth? On the revenue front for both India Multichannel and International?

Mr. Supam Maheshwari So for India Multichannel, I think Vivek did mention this. Sequentially, we will certainly grow higher than what we have done. Q2 was higher than Q1. Q3 and Q4, which is H2 will be

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higher than H1 for sure, is what we believe. Even during festive and post-festive season have been very good for us. And we believe that should continue, and given our inputs that we are putting, through increased marketing efforts on back-of better customer experience through delivery and our overall focus around, over all technology, personalization, sorting frameworks and so and so forth, should continue to drive us the cost efficiency while being able to make that spend happen on marketing to maintain our unit economics intact, but delivering higher growth, is what you should be seeing from us, for the H2 of FY26. That's for India.

And for International, I think Abhinav did mention, we will have a similar sort of a journey. Our focus is sustainable growth in the Middle East. And we heard this as a feedback when we came, we had a different playbook that we had in mind when we started our Middle East playbook. However, after entering in to the public markets, we heard that the public market viewpoint as well. And we changed track to be able to build a sustainable growth track to bring first our unit economics in place, by getting the product mix, both category mix and the home brand mix, to be able to align, a faster, superior unit economics. And once you have done that, we will be able to accelerate the pedal around marketing to be able to drive even further growth, but the burn will remain very, it'll shrink faster. That's what we had all desired for, so we are walking down that path, as what we had promised, and I think we are delivering that. So you should continue to see that happening over the next few quarters including FY26 H2, as well as in FY27.

Ms. Sheela Rath i

Just to follow up here, and that's my last thing . Last quarter, you called out that the India multi -channel revenue growth will be early teens in F26. Do you hold on to that view, or it's going to be better than that?

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Mr. Supam Maheshwari We definitely believe that we should be somewhere there . Hopefully better than wh

at we have said . There are signs. But we were caught off -guard when we said in the middle of August, the first half of the second quarter, we were in early teens, because of GST, which Vivek covered, we did not see that anticipated growth . I mean, while we grew on a GMV basis around 12%, however, we had to increase discount, ensuring that the customers don't defer their purchases. Although we are not seeing that now, during a little bit of a festive season, we were seeing a little bit of a heated approach. However, it has normalized . From a gross margin window, we are back on track. While the growth continues, we believe it should continue the same way for the remainder of the fiscal year, even in FY27, backed with all of the inputs that we are putting through, so we should be back on track, what we had promised earlier in our previous earnings call. Hopefully , we'll surprise, but I don't want to commit on that, or superior than that for now. But all we can say, as a management team, we are fully geared to deliver growth. While we have been able to expand our gross margins, and our EBITDA on almost on a recurring basis, since we have been sharing our results publicly. But we believe that all the inputs that we are taking , should continue to expand and deliver the growth, that we all, because we are , as a team, we are not very happy with the growth that we have delivered so far. And there is a lot more that we can deliver, we know for a fact. And we believe that we will definitely be able to deliver that growth with all the inputs that we have talked about with incremental marketing. So, we remain very bullish, hoping to sort of demonstrate that and walk the talk. Once it happens, we will be happy to thump it, on our next earnings call, or next to next earnings call. So, sequentially, you should be able to see better growths.

Mr. Anish Arora Thank you, Sheela . The next question is from Mr. Sanjay. Sanjay, please unmute yourself.

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Mr. Sanjay

Yeah, thanks for giving me the opportunity. I have one question. This Globalbees, now, is there any strategy for increasing, like how customers are coming to know that there exists a platform, Globalbees and there are so many wonderful brands . Because I have asked at least 10 -15 persons in my group and nobody has heard about this platform.

Mr. Anuj Jain Sure, okay. So Sanjay, firstly , we're not a platform in the typical sense as you would think about it. We have a host of brands in some key categories that we play in. And these brands are sold on marketplaces. So, if you go on Amazon, for example, or a Flipkart , you will see all our brands selling over there, and you will see them amongst the best sellers on these marketplaces. So it's really, these channels where you will find our brands .

Mr. Sanjay

But I was going through this even today. Products are being sold on Amazon or Flipkart?

Mr. Anuj Jain

That's right, that's right. So we have some fantastic categories that we operate in, and we've got a huge range of products that we sell on Amazon, Flipkart, Quick Commerce, across marketplaces.

Mr. Supam Maheshwari

Sanjay, think of us as a house of brands. Where our identity is brands, not Globalbees as a company. As you know, consumers will know, a lot of Hindus take Unilever brands, but may not know Hindustan Unilever, just think of that as an illustration.

Mr. Sanjay Because just before this, there was a question from, I think, Sheela, so you mentioned that you'd like to have your own platform or your own channel for distribution or delivering goods?

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Mr. Supam Maheshwari No, no, that was for India multi-channel, Sanjay. That question was for India multi-channel, not for Globalbees. Over a period of time, we will expand on channels, even in Globalbees, but right now, we remain focused

used as a preferred online sort of a channel, is what our playbook is. But yeah, over time, we will build more channels into that. While, we have many, many platforms to partner with.

Mr. Sanjay And what is a business value from this platform? Approximately in terms of percentage, if you can tell?

Mr. Supam Maheshwari 95% plus.

Mr. Sanjay

95% plus?

Mr. Supam Maheshwari From all these platforms, all online platforms.

Mr. Sanjay

Online. Okay, that's all from my side. Thank you.

Mr. Supam Maheshwari

Alright. Thank you

Mr. Anish Arora Thank you, Sanjay. That was the last question. Thank you, everyone. I hand it back to Supam for concluding remarks.

Mr. Supam Maheshwari

No, no, nothing. Thank you, everyone, for attending our Quarter 2 result presentation on a Friday late evening. And once again, Happy Children's Day. Thank you once again, and see you next quarter.

Mr. Gautam Sharma Thank you, everyone.

Mr. Vivek Goel Thank you.

Call: Feb 2026

Brainbees Solutions Limited CIN: L51100PN2010PLC136340

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FC/SE/2025 -26/89

February 20, 2026

National Stock Exchange of India Limited
Exchange Plaza, C – 1, Block G,
Bandra- Kurla Complex, Bandra (E),
Mumbai -400051
Symbol: FIRSTCRY BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001
Scrip Code: 544226

Sub: Transcript of the Earnings Call on the unaudited financial results for quarter and nine months ended December 31, 2025

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated February 10, 2026 bearing reference no. FC/SE/2025 -26/83

Dear Sir/Ma'am,

In terms of Regulation 30 and Regulation 46 read with Part A of Schedule III of the Listing Regulations, please see enclosed herewith transcript of the Earnings Call with the Analysts/Investors held on Friday, February 13, 2026 post announcement of Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2025 .

The audio -video recording of the Earnings Call along with the Transcript has been uploaded on the Company's website and the same can be accessed from the link provided below:
<https://www.firstcry.com/investor-relations/quarterly-results>

We request you to kindly take the aforesaid information on record.

Thanking you,

Yours sincerely,

For Brainbees Solutions Limited

Mandar Joshi

Company Secretary & Compliance Officer

Encl: As above

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"Brainbees Solutions Limited (FirstCry) - Earnings Call
Q3 and 9M'FY26 Results"
February 13, 2026, 6.00 p.m. IST

Management:

Mr. Supam Maheshwari
Managing Director & CEO

Mr. Gautam Sharma
Group Chief Financial Officer

Mr. Vivek Goel
Chief Business Officer

Mr. Abhinav Sharma
Country Head, Middle East Business

Mr. Anuj Jain
CEO, Globalbees

Mr. Anish Arora
Investor Relations

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Mr. Anish Arora Good evening, everyone.

Welcome to Brainbees Solutions Limited Q 3 and 9M'FY26 earnings call. This is Anish Arora, and I have with me, Mr. Supam Maheshwari, Managing Director and CEO of the Company, Mr. Gautam Sharma , Group Chief Financial Officer , Mr. Vivek Goel, Chief Business Officer of the Company , Mr. Abhinav Sharma, Country Head of Middle East Business Operations and Mr. Anuj Jain, CEO of Globalbees.

Kindly note that this call is meant for analysts and investors of the Company. We wish to highlight that the call is being recorded and by participating in this event, you consent to such recording, distribution and publication. All participants have been muted as per the default mode and participants will be unmuted once we open the Q&A forum for the members to ask questions after the presentation from the management concludes.

We will be covering the presentation in the beginning of the call and we will thereafter open for the Q&A forum. We would like to point out that some of the statements made in today's call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you.

With this, I request Mr. Supam Maheshwari to take it over .

Mr. Supam Maheshwari Good evening, everyone.

Once again, welcome to our Q3 and nine month performance for FY26. We will be covering both Q3 and nine months as well as the segmental performance of all our four business segments. Financial summary, business overview, and some other supplementary information is attached in the presentation uploaded.

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Straight diving into the Q3 and nine months performance. Happy to share that we have been PAT positive on a consolidated level for the Q3 FY26 adjusted for ESOP cost. Also, for the nine months, adjusted EBITDA has increased by 25% year-on-year basis and we continue to remain cash flow positive for nine months FY26. On segmental updates, India multichannel business witnessed sequential improvement , as we had promised in our earlier calls , as well, despite relatively muted consumer sentiment.

If you look at the right-hand side, you will notice that we had

on Q1 , 7.5% year -on-year growth, Q2 7.9%, and Q3 has been 8.9% growth. And we face d certain challenges around supply chain volatility, otherwise our growth would have been around 11% for Q3 year -on-year basis. We have undertaken a lot of initiatives that we have spoken about in the past. We will speak more during the course of the presentation. We strongly believe that with those initiatives, structurally our growth rate for both online and offline channels will remain much superior in FY27, as those initiatives would have taken certain scale and size. We continue to remain PAT and free cash flow positive in India multichannel for the nine months FY26.

For the International business, we witnessed elevated promotional activities led by the two horizontal e-commerce players that we have spoken about a few quarters back as well. However, we have continued to remain laser focused on sustainable growth and not participating in those events. And maintaining our focus towards reducing adjusted EBITDA losses, which has reduced by 25% year -on-year basis for Q3 FY26 and 36% for the nine months FY26.

Global businesses delivered another strong quarter of organic and profitable growth. Core categories delivered 30% year -on-

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year growth in nine months FY26. And adjusted EBITDA of close to 70 crores post corporate expenses.

Moving further, you will see, these are snapshots for our consol business. AUTC grew by 10% and GMV for online, offline and international business grew by 10% and revenue from operation grew by 12%. And Adjusted EBITDA of consol business stands at 6.3% and India multichannel at 10%. Cash profit after tax grew year -on-year for Q3 by 23%. For the nine month performance, on the consol basis, AUTC again grew by 10%, revenue from operations grew by 11% over nine months compared to last year nine months. And our consol adjusted EBITDA grew by 25% on year -on-year basis. India multichannel adjusted EBITDA was at 9.3% and cash profit after tax grew by 72% on an equivalent 9-month basis.

With that, I would like to move to the segmental performance and hand over to Vivek for talking about our India multichannel segmental performance. Vivek.

Mr. Vivek Goel Hi. Good evening, everyone. I will share some key updates about the India multichannel business.

So, as Supam also mentioned that we saw sequential improvement in year -on-year growth rate for the revenue. And this was despite, a bit of muted consumer sentiments in Q3, that we witnessed. We also saw (voice break)

which contributes to 85% and continues to perform well. We also witnessed, as Supam was mentioning, some supply chain volatilities in a few select categories.

Mr. Anish Arora

Vivek, we missed last 15 -20 seconds.

If you don't mind, can you please speak from the point 2 again?

Mr. Vivek Goel Sure, sure. Am I audible?

Mr. Gautam Sharma

Yeah

Mr. Vivek Goel

So, as I was mentioning that we witnessed some heightened competitive intensity in the diapering category during the quarter, which led to pressure on growth and margins. Our non-diapering portfolio, which contributes to 85%, about 85% of our GMV, remains robust and continues to perform well. We also w

itnessed, as Supam had mentioned, some supply chain volatilities in a few select categories, which impacted overall growth by 200 bps in Q3' FY26.

Anish, if you can move to the next slide. We saw about 9% growth in Q3 FY26. At a nine month s level, we saw about 8% growth. And if I talk about adjusted EBITDA, at a nine month s level, we saw growth of about 6% to 395 crores.

Supam, do you want to take this slide?

Mr. Supam Maheshwari Yeah. So, I think I just wanted to give you the new initiative updates that we had been talking about, a few of them and a few new ones, one significant new one that we'll speak about.

As in the last few quarters, we have mentioned that we had some customer experience issues through third -party logistics service providers, a nd we had taken our own logistics initiative to serve our customers. And the last time when we had talked about, we had expanded our logistics service, we branded it as RocketBees, that's our own internal in-house logistics initiative. And this is a totally asset -light model we have spoken about in the past. We maintain the entire tech stack here. These are third -party, dedicated service providers who are working on that tech stack. Regional, local ones to be able to work with us directl y, and directly work for FirstCry shipments. This, Rocket Bees initiative has expanded in less than 9 to 10 months from the time we started from the scratch. Last time when we spoke about, we had expanded to

13 cities, now we have expande d by December end to 22 cities. And happy to share that with this increased volume and increased number of cities, we have witnessed 20% improvement in delivery TATs , resulting in much superior growth and customer experience than what we had , when we start ed this initiat ive. We continue to expand this, w e believe we should be able to cross close to around 45 to 50% of our total volumes by the middle of this year. So this is an initiative on Rocket Bees which has given us tremendous boost and will continue to give us superior customer experience in times to come.

While we bu ilt this architecture of Rocket Bees and our own delivery initiative, we had also been cognizant of the fact that customers in Indi a, overall have been experiencing a desire to get the products much faster than has been traditionally been served a few years back. And over the next few years, that desire to get products much faster will continue to only increase and improve. With that in mind , to cater to those expectations of the customers, we starte d a new initiative called First cry Q wik. We are currently underway on a pilot in three cities , in Pune, Bangalore and Hyderabad, where we not

only serve our diapering category, but service all other full range of products, including baby gear, nursery, fashion, toys, everything that we normally serve across all categories. And we are leveraging our COCO stores in these three cities as a pilot, in few pin codes, to begin with and few of our stockist network and also we'll be extending it to the dark stores. With that, we believe over a period of time, we'll be able to leverage our 1,200 stores over a period of time once we streamline the entire tech product as well as the supply chain, ops for the entire FC Qwik, to be able to deliver all products. Currently, we are promising three hours, as a promised delivery. We intend to reduce promised delivery over a period of time. The objective here is to ensure that we remain future proof, foolproof, in terms of being able to meet customer expectation, while Rocket Bees will continue to serve across,

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over a period of time, a large number of cities, not just only a few hours, but SDD, NDD and, across states deliveries as well. FC Qwik is, as a pure few hours delivery is what we are endeavoring to deliver to cater to the future requirements of our young mothers and young fathers.

Third initiative, that we have spoken in the past is going to take shape in SS '26, which will help us address more footfalls, more conversions through realigning product portfolio by getting into a width to a depth strategy. Part of our product portfolio will move to a depth strategy, releasing the COGS benefit to the MRP reduction, getting to a wider audience and enabling us to have better conversions.

So with all these three initiatives, we remain super, super confident about structurally delivering superior growth in FY27, once these policy initiatives are fully rolled out.

Yeah, I'll hand over to Abhinav for International business update.

Mr. Abhinav Sharma Hi. Good evening, everyone. One second, I think I have a tech glitch. Can you hear me, guys?

Mr. Supam Maheshwari

Yes.

Mr. Abhinav Sharma

Alright. Good evening, everyone.

So our story for Q3, looking back at Q3 this year, we witnessed, as Supam had mentioned in his first slide, we witnessed very elevated promotional activities, led by the two horizontal s that we've spoken about in the previous quarters as well. However, we on our part stayed relentless with a razor sharp focus on not participating in that kind of a frenzy or negative spiral, as we call it, and wanted to ensure that we are on a path to sustainable growth with improvement in our gross margins. Anish, next slide, please.

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So, having said that, we expanded our gross margins in like-for-like quarters by 150 bps and over a nine month comparative period by 180 bps. We also saw a reduction in our EBITDA losses from 15% to 11% in percentage terms and in absolute value about 25% reduction, like-for-like quarters. The same in the nine month comparative period, we reduced

our losses from 17% to 10% and in absolute value, by about 36%. So, if you look at the trend, the path that we've sort of sustained over the last few quarters. As we've discussed previously, we've seen reductions or improvements rather in our EBITDA losses. Right from FY23 to FY25, we've reduced our losses by 831bps. And if you compare FY25 over the nine month period of FY26, we've reduced it by 705 bps. So, a very sustained focus on both, a very sustained healthy top line sort of a growth. When I say healthy, I mean looking at, ensuring that EBITDA losses quarter on quarter and year on year are reducing as we speak.

Over to you, Anuj.

Mr. Anuj Jain Thanks Abhinav. Good Evening, everyone.

Here's the update on Globalbees. As you're aware, over the last few quarters, we've been speaking about rationalizing certain brands because they were delivering a relatively lower revenue growth as well as incurring losses. And we believe that we should be able to complete this rationalization in the first quarter of FY27. Therefore, we'll first focus on the core categories performance for nine months FY26. We did a revenue of 1,417.4 crores, which was a 30% year on year growth. If I were to compare this to H1 as well as quarter one of this year, we were at very similar levels of growth of 30%. So as of now, we're delivering pretty consistent 30% growth. Adjusted EBITDA was 69.8 crores, which is 4.9%. If you look at the consolidated view, it's been a good quarter and it's been a good nine months. In the last quarter, we delivered a 22% growth from 422.3 crores to 515 crores. And even on a nine

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month basis, the growth has been 22%. So again, the overall story of growth is consistent across the year. All of this growth has been organic, the last acquisition that we made was in September 2022.

Moving on to the adjusted EBITDA. The adjusted EBITDA for the last quarter grew by 147% year on year and moved from 1.4% in the previous year to 2.9% this year. If I look at it on a nine month basis, we grew by 54% and from 1.6% in the previous year to 2% this year. We just look at the overall t

rend

of adjusted EBITDA that we've seen over the last few years. In FY23, we were at minus 5%. In FY24 and 25, we moved to a zero and 1%. And in this year's nine months, we're at 2%. However, again, looking at if I were to remove the brands that we're rationalizing, and if I was to focus only on the core categories, the adjusted EBITDA becomes 4.9%.

So that sums up the Globalbees update. Thanks

Mr. Gautam Sharma So this is the consol performance of all the segments put together. So while three segments were just explained by Vivek, Abhinav and Anuj, the fourth segment, which primarily represents our school business, it continues to perform very well. In terms of percentage of EBITDA to the revenue, for the Q3, the EBITDA was roughly around 31% and for the nine months, it stands around 27%. So that continues to perform very well. So if we add all the four segments, what we get is a 12% year-on-year growth in Q3. Rs.2172 crore increasing to Rs.2423 crore. Similarly, if we talk about the nine months performance, a growth of 11%. There is some dip in the gross margins, as presented and talked about in the previous slides.

Largely because of some decline in our India multichannel business gross margins, which is largely because of heightened competitive intensity, especially in the diapering category that we have seen in Q3. And the second one is a drop in gross margins in Global bees business. While it continues to improve EBITDA, the gross margins have reduced

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because of two reasons, one is a drag on gross margin because of the other categories, which is non-core, other than the core categories. And the second one is some change in the revenue recognition policy of Flipkart that has reduced the margin. However, on our EBITDA level, Global bees continues to perform very well. With this gross margins and the revenue growth, what we achieve in terms of EBITDA is a 25% year-on-year growth for the nine months FY26 over FY25, which is from 5.1%, we have reached to 5.8% of EBITDA.

All the business segments continue to see EBITDA growth on a nine-month basis. India multichannel increasing by 6%, Globalbees increasing by 47%, school increasing by 27% and international business, the losses have come down by almost 36% on nine months. So all the four business segments have contributed to the improvement in EBITDA.

Mr. Supam Maheshwari

Yeah, happy to take questions.

Mr. Anish Arora Thank you, team. We will now move on to Q&A. I now request participants to raise the hand for asking questions. We will unmute you one by one, and you will have access to the mic. Please introduce yourself and the name of the organization you represent. The participants are also requested to limit their questions to a maximum of 2. For any follow-up questions, you may join the queue again.

First question is from Mr. Sachin Dixit. Sachin, please unmute yourself.

Mr. Sachin Dixit

Hi, Supam and Gautam. I have three questions. The first one was on our brand partnership. So while yes, we are struggling with growth for sure, but I also noticed that in the nine-month FY26 period, the number of brand partners we have is actually lower than what we had last year. What is happening there? Is it also driving some of the headwinds that we are facing?

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Mr. Supam Maheshwari

Yeah. So you want to complete the questions? Okay, we can address this particular point. You're talking about from some 8,000 number to some ...

Mr. Sachin Dixit

7,800. Yeah.

Mr. Supam Maheshwari

That point absolutely needs to be ignored because those brands don't even contribute, less than 0.5% of our revenue. So you can continue to ignore that. That's, we are rationalizing at our end to be able to manage our own curation in a much smarter way.

Mr. Sachin Dixit Understood. I mean, largely for most marketplaces, one would

d be anticipating that the number of brands goes up rather than goes down .

Mr. Supam Maheshwari No, Sachin, that's not a metric that really impacts us. So nothing to worry. It's completely to be ignored because that's not the brands that are contributing much. There are a lot of mompreneu r brands and there are a lot of new brands that come and go, they completely get wiped out over a period of time in their own jour ney. A lot of entrepreneurs, young mompreneur as well. So we can't continue with th em once they can't give us the sort of customer experience of the products that we are requiring for. So we take those calls as well in terms of curation of the brands t hat we are catering to, for our customers. So, but these are long tail, I would say the far end of the long tail. So nothing to worry about at all.

Mr. Gautam Sharma
No impact on revenue, Sachin
Mr. Supam Maheshwari
Yeah, no impact. Zero.

Mr. Sachin Dixit Okay. On the second question , on our own supply chain initiative, right. I mean, obviously I think this question has come up earlier as well. You had XpressBees, which as far as media reports suggest is faltering. And now you are again

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doing a RocketBees. Do you, I mean, how certain are you that you really need to build this, right? I mean, as far as the broader e-commerce goes , one large layer, which is shipping like 2 billion shipments is probably doing insourcing, which makes sense probably a t that volume. But for your volume, how certain do you feel it is needed? And especially in the light that we have highlighted supply chain issues now for two quarters in a row. So we'll love some color there.

Mr. Supam Maheshwari So Sachin, if you look back, last two quarters that we have talked about, third -party logistics is hugely dominated b y, their demand is dominated by players like Meesho and others. And the customer sensitivity of , and I wish to mention that there is no distinguished service for a player like us versus someone else. So , while we are very, very particular, the kind of customers that we are catering to is far more particular in metro , Tier I, Tier II or Tier III, wher eas players who are dominating the demand of some of these LSPs are Tier III plus. So the consistency of service doesn't exist there and our customers are suffering. So we have to take things , we waited for quite some time and I think I acknowledged in the last call as well that we were late. But I think we had to take things in our own control , in terms of being able to provide that kind of a service, which customers will love. And these are young moms, young parents who canno t wait beyond the promise that you are p romising. And on top of it , with I would say , the feature of quick commerce and general commerce being so pervasive in today's world and today's Gen Z audience and so on, so forth, i t is very important from our futur e perspective as well , to build o ur supply chain, which you can tailor to your requirements rather than being dependent on the third party. It's not like in US where you have a FedEx being same day delivery or a one day deliv ery versus a three day delivery, you can decide as a customer , for a shipper like FedEx. In India, we don't have that kind of models. So we had to take things in control. And for any large e-commerce player like us, I would say logistics is a very, ver y integral part of our jour ney.

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Initially, Xpress bees was built like that. But I think they moved in their own direction , in terms of managing their own P&L and their own sort of a story. And likewise for Delhivery , likewise Shadowfax and so on and so forth. We believe we are in much better shape. We track metric s of performance of third party, we work with all of them still a nd we are scaling our own RocketBees as well. We are far superior in terms of customer experience. As I told in

my presentation a few minutes back, we have a 20% superior delivery TAT compared to the third party logistics. That itself is critical for us to be able to provide that experience and it helps in reducing RTOs and so on and so forth, which I can talk a lot about it, but I will reserve my comment saying that it is important to build that architecture and it's an asset light model. It is at the same cost. Initially, there is a little bit of a bump up, but as you scale and you build your own network in cities, you are able to have the similar cost as a third party logistics. So it doesn't come at an incremental cost in a medium to long run. And on top of it, if you have your architecture, you can actually build an FC Qwik kind of a mo del, which otherwise you cannot. You can only dream and wait for the performa nce to be done by somebody else, whereas the core, if you look at any large player, everyone has their own fleet, everyone has their own mode l, to be able to deliver that kind of a service. And it had to happen, p robably it happened now.

We wish , we had anticipated it a couple of years back, but I think it was imminent that it happened. And now we feel more confident , having taken RocketBees to 28 cities and it will continue to grow week on week, fortnight on fortnight basis. And as I said, 45 to 50% of our shipment will be done by middle of the year, which will mean a lot improved customer experience, help us in growth of the same customer , who we are serving through RocketBees and on the same architecture be able to scale up our FC Qwik as well, which otherwise would have not been possible.

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Mr. Gautam Sharma

Just to clarify Sachin, you talked about the supply chain issues. So what we talked about as a supply chain issue is no t anywhere related to logistics, I am just clarifying that.

Mr. Supam Maheshwari Yeah, those supply chain were related to sourcing led supply chain, not the forward looking supply chain, which is from our warehouse to end consumer.

Mr. Vivek Goel So Sachin, just wanted to add on to what Supam was mentioning that we continue to work with all third party logistics and they are critical for our business. But while RocketBees also continue to give us more flexibility towards making sure that the consumer sentiment improves and solve for micro nuan ces of the consumers.

Mr. Sachin Dixit Understood. Just my final question on the ma rgin outlook for India business, if I can. So w e have been generally trending, I mean, earlier we were doing 80 -90 basis point expansion, then we dropped to 50 -60. This quarter, it looks like we have dropped margin. Is there any new outlook on how margin should look like on the India business? That's my last question.

Thank you.

Mr. Supam Maheshwari So Sachin, on a medium to long run, nothing changes. I think this correction that has happened is largely because of a certain heightened competition that we saw in one of our categories, which is diapering. We have seen this kind of events even in earlier years. These are irrational events that has happened. Obviously, we don't control these because it's been done by large players. I think once it improves, that improvement will come back sharply. But we can't anticipate the time. However, our structural improvement in gross margin across our 85% of the portfolio will continue to happen quarter on quarter, year on year basis. When we improve our category mix and improve our home brands mix. So that doesn't change at all. Hope that answers.

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Mr. Sachin Dixit
Yeah, that does. Thank you.

Mr. Anish Arora Thank you, Sachin. The next question is from Ajay Agarwal.
Ajay, please unmute yourself.

Mr. Ajay Agarwal
Thanks. Hi, Supam, Gautam and team. Good set of results. I have three questions. I will take the first one on the India business. So how are you viewing the new players that have emerged in the baby and kids vertical, with one-hour delivery being a proposition? There are a couple of the players, I think, in the market, especially in the metro cities that have emerged in this segment.

So this is my first question. Should I repeat all three and then you will take them or you want to take one by one?

Mr. Supam Maheshwari
No, no, we can go one by one. It helps to remain focused.

So Ajay, I think, look, your point is fair, but I can just say that we have heard about two small venture funded companies. Look, these are early days. There is a frenzy of quick commerce and I think people are just riding on that bandwagon. They're operating out of a single dark store in a few catchment areas of a city like NCR and Bangalore. And scaling this model to a level, where they attain scale, build an acquisition engine, ecosystem of a certain competitive game, or a unit economics, and on top of it, being able to build home brands, it will take them many, many number of years. And currently their unit economics is at a CM -2 level is so terrible that it will take, in our estimate, hundreds of millions of dollars for anyone to really take certain shape and size. So in our opinion, in our assessment, it's very, very hard to replicate what has been built for players like us, by the new players that you are mentioning, especially in the quick commerce, baby and kid space. So good luck to them and good luck to being able to generate hundreds of millions of dollars in investment

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to be able to fund their growth and fixing their unit economics.

Mr. Ajay Agarwal Thanks Supam, it makes sense.

The other question is on International business. So when we

will be able to turn EBITDA break even in the International business and by when can we expect the growth to bounce back to higher level?

Mr. Abhinav Sharma

Hi Ajay. So Ajay, good question, slightly longer answer. Stay with me. So Ajay, early days and if you've seen the last few quarter results, especially the expansion of gross margins and a certain sort of a top line growth as well as reduction in losses, I think the path that we've chosen for ourselves here for the International business is ensuring that we grow, and while we grow, we are very, very focused on reducing our losses. First, that's the top most priority because we believe fundamentally that while the competition intensity is very high. We saw that last quarter also. We must remain very absolutely focused on ensuring that we are not joining that bandwagon because retaining customers, acquiring the quality customers is the top most priority. Especially in the ecosystem, which are inducing your CACs to be on the higher side or even the CPCs and CPMs to be very high, just because of the intensity, we have to remain focused. We are ensuring that our home brand mix in the business, what we are selling, the mix of home brands is improving, the mix of brands that are higher gross margin or higher repeat categories for us is improving. While we do that, our profitability path is very clear that we are not going to achieve a certain step function growth in top line or we are not going to commit to a step function growth in top line, while having a steep drop in gross margin or steep drop in EBITDA. So the first priority is obviously improving or reducing our losses.

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Having said that, I think three and a half years into KSA and about just over five and a half in UAE, still early days. We've seen the same frenzy in India, if you go back 10 years or 15 years in India, we've seen the horizontals play similar sort of a business game plan. While they expand the ecosystem for e-commerce in the baby and kids category for us and for the larger ecosystem, we ride the wave once we have our unit economics in a zone where we're very comfortable to press on the pedal

to grow faster and also break even. So very early days to commit anything. But definitely India, I think, and Supam, you can correct me if I'm wrong, but India, I think, took about 10 years to achieve that sort of a profitability or break even mark. One thing we know is we'll get there faster. It'll not take us 10 years.

Mr. Ajay Agarwal

Thanks Abhinav. Thanks for the detailed response.

My last question will be on Globalbees. Anuj, good set of results in GB. I heard there was a mention of Flipkart impact of some growth in Q3. Can you help us understand how much did Flipkart impact growth in Q3? And again on Globalbees, any plans on listing of Globalbees? Can you share the tentative timelines or any sense on the same?

Mr. Anuj Jain Yeah, Sure. So I would say that overall, with the readjusted model that Flipkart has, there has been an impact on the revenue level itself. And that has got depressed. Overall, our gross margin profile remains pretty, pretty consistent. And at a fundamental level, there's no material change in the margins of the core business. So really the impact of Flipkart

we've seen over the last couple of quarters has stabilized and in the coming year, I think we should be able to simply grow from there.

Mr. Gautam Sharma

Ajay, the right way of looking at the Globalbees business is you look at the EBITDA growth rate. Which is around 150%

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increase year on year in Q3 and roughly 50% increase year on year in nine months. I think that's a metric that we should see.

Mr. Ajay Agarwal

Sure. Thanks for patiently answering all the questions. Wish you all, best of luck. Thank you.

Mr. Gautam Sharma

Thank you, Ajay.

Mr. Anish Arora Thank you, Ajay. The next question is from Mr. Ranjit. Ranjit, please unmute yourself.

Mr. Tejas Shah

Hi. Am I audible?

Mr. Supam Maheshwari Yes

Mr. Tejas Shah

Yeah. Hi, this is Tejas from Avendus Spark.

Hi Supam, Gautam. Supam, if you can just elaborate a bit our plan with Rocket Bees and Qwik, what exactly are we trying to solve here and what it will entail in terms of capital commitment and bandwidth commitment in coming period?

Mr. Supam Maheshwari

So, look, Ranjit, we have spoken about Rocket Bees initiative. Rocket Bees is a nomenclature that we have expressed first time on this call. But I think this initiative is almost a nine-month-old. We started somewhere around February, March, it's almost like 11, 12 months old now. So we've been speaking about a couple of quarters in our earnings call. We faced a lot of challenges in late 2024 and in CY25, where customer experiences because of our delivery delays and painful experiences because of disruption in the last mile service provider sort of ecosystem, gave our customers a lot of pain. And we waited, we tried all kind of all players, but we could not really get the kind of output, the kind of experience that we would really desire to give to our customers. And with that sort of a landscape that this will not get fixed, because as I said, Indian logistics do not provide differentiated service as

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what you will find probably in developed nations like US, where you can have a shipper ship your order for a priority delivery versus a regular delivery. India doesn't have as sophisticated nuance at scale and at a cost that you would like it to be. And therefore, we had no choice left but to take this last mile service sort of a game in our hand. We built totally an asset light model. Total tech stack is being built by Firstcry. And on that, we have third party logistics, regional local players who are providing dedicated manpower, who are attached to fulfilling those shipments or delivering those shipments to the last mile. Dedicatedly only our shipment, not mixing shipment with some other shipper. So with that, we

have not only improved, I would say the

delivery TAT by

around 20% compared to the third party logistics provider for our end customer, but also improve a lot of other metrics in terms of RTOs, in terms of, other metrics that come around damages and so on and so forth, which essentially means superior sort of a customer retention, superior customer cohort.

As more and more customers come under the area, under the curve of RB, we will be able to improve our growth with higher retention and higher LTV from those sort of customers. So it will pan out very beautifully for us. Also, I must say in the same breath, that it doesn't cost much extra compared to the third party LSPs cost. Initially for a few months, it is a bump up, but after that, once the city stabilizes onto a higher network of RB deliveries, the cost really comes down to the same third party logistics sort of service provider cost. So it is something that I wish we would have not faced this issue in the first place, but since we faced it, we had to build it.

And having built it, there was also a strategic sort of an understanding with the undercurrent of last couple of years, that couple of quarters, we are seeing how quick commerce has been rapidly changing the consumer behavior of getting products much faster. With RocketBee's sort of architecture,

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we are able to now control our destiny or control our customer experience for FC Qwik as a model as well. Otherwise, it becomes super difficult to just keep waiting for third party LSPs to really build a model for you and being able to scale up as quickly as you would wish to. That would have not happened. So it's just taking things in our control the way we did it in 2013. When we started Xpressbees, we had to take that in because at that time, there were no LSPs other than DTDC and BlueDart and so on and so forth. Historically, I don't want to go there and tell you the whole sort of a story. You may already know that. So we had to build what we built at that point in time. But we had to do another innovation again, once again, because of the disruption in the LSP ecosystem in the last couple of years, and therefore ended up building our own Rocket Bees, dedicatedly only working for Firstcry. So I hope I have answered this question unless you have any specific question on this particular point.

Mr. Tejas Shah Yeah. Thanks, Supam. This was quite comprehensive.

Just one follow up there, so when we look at a player like Nykaa. Now, two years back, they also called out that because of logistic issues and other challenges, they are not able to give, the customer experience was getting compromised, and especially they were getting into Nykaa Luxe also, so they wanted it to be much more premium. Now they addressed it by investing in fulfillment centers closer to larger markets. And as the result shows now, they seem to have solved the problem and in a very good way. So just wanted to know this stencil that we are trying to use, or we are using now we are committed to, has it been used and hence it gives us confidence or we are the first to try it? Because to our naked eyes, Nykaa model also seems to be doing fine, which also had similar challenges as we had.

Mr. Supam Maheshwari So I'll just tell you the broad difference between us and some other players that you are mentioning. Look, we are a mini -

horizontal in some sense. We are shipping from a 10 gram diaper pin to a 30 kilogram toy car. So our supply chain, our logistics model is far, far different than half a kg of a shipment of a typical sort of a fashion or a beauty, BPC as a product category. So the supply chain is far, far different right from storage to a line-haul, mid-mile, first-mile and last-mile perspective. So I think it is very, very complex. So it cannot be compared with what you are mentioning in real terms. Therefore, while things may work out with other

things in a different way, same paintbrush cannot be applied onto our kind of a mini-horizontal, product mix, where the spectrum of the product in physical form or a volumetric form is far different than what the others are providing. So we had to build, what we therefore built. And as you will remember, we already have 85 warehouses, somewhere around 83 or 85 warehouses, from a proximity standpoint. That network, we built it a fairly long period of time back. In fact, we were the pioneers of building a sort of dark store, when the dark store model as a name, nomenclature did not exist. We built our first so-called, today's dark store, in 2013, or 2014, somewhere around that. So we have been fairly innovative in those terms. We enjoyed the fruits of that journey fairly early in our overall 15-year journey. But I think things change, environment changes, service models change, consumer expectations change, and we had to re-innovate, reinvent ourselves. And that is where it led to building what we have built now. This will be long lasting. This will be very strong pillar of our growth going forward.

In fact, in the cities that we are already delivering through RB, we see a very significantly higher growth than the cities that we do not have RB today. I hope that really gives you, and it's significantly different. So therefore, that gives us internal sort of a boost as well, that what we're doing is right, not just vanity metric, in terms of customer satisfaction, but also in terms of real growth, that we'll be able to demonstrate once more and more customer experience RB and the RB network

increases to many more cities. And we'll be able to demonstrate our India multichannel growth or online growth into a very different curve in FY27. We mentioned that in our presentation, and hopefully we'll continue to demonstrate sequentially, not just FY27, but sequentially a superior growth in our India multichannel.

We are super confident on that, on back of these initiatives, in fact.

Mr. Vivek Goel

In a way, this is a long term investment. It is a long term benefit that we are building for the consumers. So it is important from that window as well for us.

Mr. Tejas Shah

And just for last, if I may squeeze in a follow up there. What percentage of our revenue or client pool or customer pool will we be able to service with this initiative, by let's say in next two quarters and by the end of FY27? And you have said that witnessing 20% improvement in TAT, wherever we have implemented this. So other than TAT, this customer

experience shows up in which KPI? And how we should think of it translating into financials going ahead.

That's all from my side.

Mr. Supam Maheshwari

So as I alluded, we are witnessing significant superior growth.

So if you're talking about 8.9 or maybe 11, if you want to iron out the supply chain deficiencies, that we witnessed in quarter three, you can apply definitely a much superior growth than that. We have in cities where we have R B, we're talking about mid-teens plus growth. So as we expand our Rocket Bees network to more and more cities, we should be able to expand that mid to late teens growth model in those cities as more and more customers really get area under the curve. So as I said, Rocketbees, by middle of the current

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calendar year, we should be able to touch 45 to 50% of our overall shipments.

Mr. Tejas Shah Thanks and all the best for coming quarters.

Mr. Supam Maheshwari

Thank you, Tejas.

Mr. Anish Arora Thank you, Tejas. Next question is from Vineet. Vineet, please unmute yourself.

Mr. Vineet

Hi. Thanks for the opportunity.

So just a follow up on FC Qwik, I get your point around the third party logistics, but how would you view Q-commerce players as our competition who are delivering within say like 10 to 15 minutes, and

what will be our value proposition if we are, if our delivery promise is two to three hours? So is it going to be the assortment depth or it will be largely pricing led?

Mr. Supam Maheshwari

So Vineet, if you think, let us go back into the shoes of a mom. Typically, our A UPT is fairly high compared to a quick commerce. A mother typically will put multiple number of units in a typical order. Number one. Number two, our assortment itself, we are talking about not just diapering or consumables, we are talking about entire fashion, footwear, and baby gear, nursery, toys, the entire product categories that we serve in a regular business, is also being served in the FC Qwik. So it's a very different experience. And today we are leveraging, on a pilot basis, in these three cities, on few pin codes, through our COCO stores and through our current sort of warehouse. Over a period of time, we will be leveraging close to around 1,200 of our COCO stores as we progress further. That will give us an extremely high operating leverage, and as well as in certain pin codes, we will also be able to increase coverage of dark stores as well.

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So over a period of time, we believe that while 10 minutes is what we are not solving for. The young mother who is

probably looking for a single item, we are not catering to that. And we have talked about there's not so much of an overlap between what quick commerce assortment is and what our assortment is. We're talking about a full assortment. Just to give you an example, in non-fashion assortment itself, we have 300,000 SKUs, just in non-fashion assortment. So it's a very large assortment that we are talking about. And with that, we believe, the objective here is not to solve for 10 minutes or half an hour. It is to solve for that customer experience where they have a certainty that will come in a few hours with the full basket that they have ordered for. That is what we want to give assurance rather than and to catch on to that customer experience is what we want to solve for. And that will remain the bulk of the customer experience that young mothers or young fathers would want to solve for.

Look, majority of the products that we sell are our home brands, that we have already acknowledged in the past. So that is not available anywhere. And in particular, babies and kids space, there is a challenge on size and scale of brands, third party brands that are available. That essentially means that customer would come back, would shop with us, and will shop more and more with us, provided he gets a certainty on a quality of delivery experience, and through FC Qwik, we'll raise the bar. That's the objective that we have. We have already had a few weeks of FC Qwik already live. Of course, you can try it in few, these three cities and some pin codes. And the experience or the pilot, our results have been very superb for us. We just are ironing out the tech product and the overall supply chain, overall efficiency, and we'll continue to scale this up.

Like we are giving you RB update, we hope to give you the FC Qwik update over next few quarters as we go along. So we

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remain super excited on these three initiatives that we've talked about today.

Mr. Vineet Perfect. So I have a slightly structural question over our growth.

While I appreciate our focus on profitability, but over say like last four to six quarters, our India multichannel growth has moderated significantly versus our own historical growth, say like pre listing. And we've also alluded to say sort of weaker consumer sentiments. But other multichannel platforms, say Nykaa, has grown significantly faster while expanding margins. So structurally beyond FC Qwik, what are the other levers that we are working on to reaccelerate growth back to say like mid teens or higher?

Mr. Supam Maheshwari
I think

with these initiatives itself. Look, there are always many projects and many initiatives that we undertake in our regular day to day and which we have not spoken about. But these were three large worth mentioning initiatives that we spoke about, which will really move the needle. We remain super confident about our mid to long term story of being able to deliver mid to late teens growth for our India multichannel.

So we remain committed to that. In last three quarters itself, in my first slide itself I think we talked about the growth increasing, quarter on quarter, year on year basis and

sequentially for last three quarters. And you will continuously see that happening over next few quarters. And I think structurally, with these three initiatives, we are destined to be able to see that and deliver that without any compromise. We don't see any challenge. We have to just execute on these initiatives hard, day in day out and ensure that we are retaining and delivering those results that you're all anticipating. So I think it should happen sooner than later.

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FY27 will be far superior than FY26. And I didn't mean to say back ended. I mean, sequentially quarter on quarter, you should be able to see a continuous increasing growth year on year.

Mr. Vineet Perfect. That's it from my side. Wish the team, all the best. Thank you.

Mr. Supam Maheshwari Thank you

Mr. Anish Arora Thank you, Vineet. In the interest of time, we'll just take one last question.

Arvind, please unmute yourself.

Mr. Arvind

Hey, Hi. Thank you for the opportunity.

So Supam, like given the unique lifestyle of baby and kids product, how we are working to extend our customer engagement beyond early childhood and maximize lifetime value?

Mr. Supam Maheshwari So, Arvind, we have a couple of initiatives, a couple of things that we have talked about a few times and maybe ...

Mr. Gautam Sharma

Mr. Supam Maheshwari It's in the supplementary slides.

It is in the supplementary slides as well. We cater to products from minus nine months, when the mother is pregnant, even prior to that, we engage with the mother through our parenting platform, which is part of our First Cry app. From there, from that time, once before the mother conceives a child from that time itself, we have the product range up to 12 years of the age of the child. So, many years back, we had started the journey from minus nine months to three years, then we extended it to six years, then later extended from six years to 12 years. We have compartmentalized our app. If you look at our front end, a three-year-old mother or a six-month-

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old, I mean, three-year-old young one mother or a six-month young one's mother or a six-year-old kid's mother, will see a very different homepage as they progress, as the kids progress over age, over time.

Mr. Gautam Sharma

Even based on the gender also, it's very personalized.

Mr. Supam Maheshwari So it's hyper-personalized from both gender and age and being able to show the relevancy of the products and being able to therefore retain the lifetime value of the customer

from almost up to a 15 -16 year s. Because there are almost 1.5 kids a family and therefore two , a couple of years of gap, two or three years of gap in between first and second child. Between almost 15 to 16 year s of a lifetime value is what we are able to sort of map with driving engagement through the product journey that we have been able to build.

Initially, the engagement is from parenting platform, which is a far superior engagement but over a period of time, it is more, I would say, through the products and the superiority of products and our home brand play and the curated play through partne rship with our thousands of brands is how we are able to retain those customers and superior customer experience. So that's how we have been a

ble to manage and intend to grow the lifetime value and the cohort and frequency of customers.

Mr. Gautam Sharma In fact , in the supplementary slide, there's a slide on the revenue cohorts as well. You can refer to that slide in the presentation we have shared with the stock exchange.

Mr. Anish Arora
Thank you, Arvind. That was the last question.

I'll just hand it over back to the management for any concluding remarks.

Mr. Supam Maheshwari
Nothing Anish. Thank you ever yone. Thank you for your time.

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We promise , we continue to deliver on what we have mentioned here. So you'll continue to see improvement in our India multichannel growth and overall growth of the consolidated business.

Looking forward to seeing you in the next quarterly update.
Thank you once again.

Mr. Gautam Sharma Thank you , everyon e.

Mr. Anuj Jain Thank you . Thank you so much everyone.

Mr. Abhinav Sharma
Thank you

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio video recordings uploaded on the stock exchange s on 13th February 2026 will prevail.

Call: Jun 2026

Brainbees Solutions Limited CIN: L51100PN2010PLC136340

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FC/SE/2026 -27/20

June 02 , 2026

National Stock Exchange of India Limited
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Symbol: FIRSTCRY BSE Limited
Phiroze Jeejeebhoy Towers,
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Scrip Code: 544226

Sub: Transcript of the Earnings Call on the Audited financial results for the quarter and financial year ended March 31, 2026

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated May 20, 2026 bearing reference no. FC/SE/2 026-27/14

Dear Sir/Ma'am,

In terms of Regulation 30 and Regulation 46 read with Part A of Schedule III of the Listing Regulations, please see enclosed herewith transcript of the Earnings Call with the Analysts/Investors held on Tuesday, May 26, 2026 post announcement of Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended March 31, 2026.

The audio -video recording of the Earnings Call along with the Transcript has been uploaded on the Company's website and the same can be accessed from the link provided below:
<https://www.firstcry.com/investor-relations/quarterly-results>

We request you to kindly take the aforesaid information on record.

Thanking you,
Yours sincerely,
For Brainbees Solutions Limited

Mandar Joshi
Company Secretary & Compliance Officer

Encl: As above

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"Brainbees Solutions Limited (FirstCry) - Earnings Call
Q4 and FY26 Results"
May 26, 2026, 6.00 p.m. (IST)

Management:

Mr. Supam Maheshwari
Managing Director & CEO

Mr. Gautam Sharma
Group Chief Financial Officer

Mr. Vivek Goel

Chief Business Officer

Mr. Abhinav Sharma
Country Head, Middle East Business

Mr. Anuj Jain
CEO, Globalbees

Mr. Harsh Kabra
Investor Relations

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Mr. Harsh Kabra Good evening, everyone.

Welcome to Brainbees Solutions Limited Q4 and Financial Year 2026 earnings call. This is Harsh Kabra, and I have with me, Mr. Supam Maheshwari, Managing Director and CEO of the Company, Mr. Gautam Sharma, Group Chief Financial Officer, Mr. Vivek Goel, Chief Business Officer of the Company, Mr. Abhinav Sharma, Country Head of Middle East Business Operations and Mr. Anuj Jain, CEO of Globalbees.

Kindly note that this call is meant for analysts and investors of the Company. We wish to highlight that the call is being recorded and by participating in this event, you consent to such recording, distribution and publication. All participants have been muted as per the default mode and participants will be unmuted once we open the Q&A forum for the members to ask questions after the presentation from the management concludes.

We will be covering the presentation in the beginning of the call and we will thereafter open for the Q&A forum. We would like to point out that some of the statements made in today's call may be forward-looking in nature and the disclaimer to this effect has been included in the investor presentation shared with you.

With this, I request Mr. Supam Maheshwari to take it over.

Mr. Supam Maheshwari Good evening, everyone.

Thanks for joining our quarterly earnings presentation for Q4 as well as Fiscal Year ended March 31, 2026. So, we will start with key highlights for Q4 and FY26. On the consolidated business, we are free cash flow positive for the full year. Revenue for FY26 has gr

own by 12% year-on-year and adjusted EBITDA has increased by 24% year-on-year for the full year. We are happy to mention that net losses for Q4 has reduced by 57% and for full year FY26, it has reduced by 23%. Now, on segmental updates, revenue for India multi-channel

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business, we are at 11.4% in Q4 growth and despite competitive intensity, which continues to remain in the quarter and our initiative specifically in offline channel that we had talked about in the last 2 quarters that was expected to go live in Q4 in the SH26, has gone live and has also yielded and resulted in a mid-teens growth in the GMV for our offline channel in India multi-channel. So, that's a very good outcome

of our initiative and overall, we believe that with the current initiatives that we have taken across in the India multi-channel, we believe that this trajectory of sequential quarterly better growth will continue in FY27. So, FY27, we continue to believe that because of our initiatives that we will have a better growth overall for FY27 than compared to the entire FY26. We are happy to state that we continue to remain PAT and cash flow positive for an India multi-channel business for the entire FY26.

In the international business, we continue to remain seeing the elevated promotional pressures from the horizontal commerce players that we had talked about which entered the market in late Q3 of FY25. But, we continue to remain super laser sharp focused on sustainable growth and has been able to reduce our adjusted EBITDA losses by 33% for the Q4 year-on-year basis and 35% for the entire FY26. So, its been a very good progress on the international side as well, because our goalpost is to build the business in a sustainable way and reduce our losses to zero as early as possible with a certain structural math, both in terms of gross margin improvement as well as through obviously home brand expansion and sales mix expansion.

On the GlobalBees front, we had a very strong quarter on both organic side as well as profitable growth. We delivered 28% of core category year-on-year growth in FY26 with roughly around 92 Crores of adjusted EBITDA post corporate expenses and we'll talk about in a little more detail as we go along. But, these were the highlights that we wanted to talk about.

Moving further, you'll see performance for the consol business at a GMV level, we increased by 10% over FY25

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revenue, overall grew by 12% to 8,547 Crores and adjusted EBITDA has increased by 24% on a consol basis year-on-year to around 486 Crores and Cash Profit for the entire year on a consol basis has roughly reached around 312 Crores, which is a 49% increase over the last fiscal year. Obviously, happy to report that we continue to PAT and cash flow positive in India multi-channel business and also on a free cash flow positive on a consol basis.

Business segment-wise detailed performance in India multi-channel are, for the full year revenue grew by 9%. International revenue grew by 10%, GlobalBees around 20%, and other segments, largely preschool grew by 11%. Gross margin in India multi-channel, as you remember in our Q3 presentation as well, because of the heightened competitive intensity, we had close to 140 bps of gross margin. Margin pressure that we saw in Q3 which has continued and a bit of other gross margin loss that we saw was largely because in our manufacturing part of our business, which is again very transitional because of the two factors which is rupee depreciation as well as crude-linked raw material prices, which has gone up. The good news would be that these are very transitional in nature. These will be passed on to the customers and the impact of the incremental gross margin loss apart from the Q3 will be regained back in quarter two as they are being passed to the customer in a regular BAU. And, in International, we saw a

significant improvement in the gross margin expansion, 250 bps leading to 22% increase in gross margin and GlobalBees 9% and Others 11%, leading to

adjusted EBITDA for India multi-channel around 505 Crores. International improvement of 670 bps with overall reduction of 35% year-on-year basis. GlobalBees 160 bps improvement and 153 percentage improvement over FY25, and our preschool segment also saw 21% improvement overall from FY25 on the adjusted EBITDA.

Moving further, Q4 snapshot, our GMV grew by 10% for our consol business. Revenue from operation grew by 12%. Consolidated adjusted EBITDA grew by 18% to 118.7 Crores, and cash profits grew by 4% around 72.3 Crores. Moving

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further, now we can go into our segment-wise performance. India multi-channel, which is our largest segment, we will talk about the key initiative updates that I'm sure all of you are eagerly waiting to hear on. Very happy to state that we have really worked hard on building and strengthening our key initiatives. RocketBees, which was 13 cities in Q2 and 22 cities by the end of Q3 and now by end of Q4, we have moved up to 62 cities and overall percentage of our online delivery volumes, we're able to deliver 40% plus by end of Q4 through our RocketBees initiative, which is obviously having a far improved, better TAT than some of our other shipping partners and resulting into incremental growth as well as customer experiences in the PIN codes and the cities and the PIN codes that we are delivering for under the RocketBees. We will continue to expand this. We had promised that we will deliver to around close to 50 plus cities and more than almost 45 to 50% of our volumes in our online sort of business by middle of the year. We have been able to deliver it ahead of the curve and we comfortably should cross that number by the next quarter end. On Qwik again, happy to report that we had started a pilot phase. Now we have expanded the pilot phase. We are very clear that we will be going ahead with this strategy no longer a pilot anymore now. It is doing extremely well and we have expanded to 5 cities over last few months. This initiative was started from 1st of December 25 and just been a few months by end of March, we had crossed 5 cities and here we are doing select catchments in the cities and in the catchments that we are doing. We are already crossing 20% of our overall online orders under our Qwik initiative and where we are able to deliver the customer in less than 3 hours and we expect over the full year of FY27, our Qwik deliveries over entire B2C shipments should cross roughly around 10% of our overall online business. So, this we will continue to expand on recurring basis nonstop as we have been able to leverage our COCO stores, our warehouses, our stockist network and few of the dark stores as well. So, this has been a very good experience, customer experience has been superb here and we continue to believe in the strategy and we believe that as we increase more cities, more catchments within the existing cities where we have opened, we will

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continue to get the love of our customers and be able to defend some of the categories that we had impact from some of our competitors, especially around Diapering. So, we will continue to double down on our expansion of Qwik and we are extremely happy that we really have executed well on our Qwik initiative. On the third initiative that we talked about was addressing both footfall as well as the growth in the offline channel. We wanted to fix the product mix and we have launched in SH26 somewhere around March and an

impact has been fairly solid. As you can see in the year-on-year GMV growth for Q4 in the offline business has been around 15% which has grown substantially from Q1 to Q2 and Q3 and Q4. So, All our 3 initiatives have been delivering well. I have only one point to make that while most of these initiatives are fairly n

ew, if you look at RocketBees, it's just hardly a few quarters and it takes time to build a mature city under RocketBees. The area under the curve or the number of shipments within a city that we can serve through a RocketBees, it takes time to build that network. So, the real impact of RocketBees you will see, as more and more customers get impacted and build their repeat cohorts and build their frequency while having great customer experience and likewise for the Qwik and the offline initiative has just started. So, you can be sure of that in FY27, the growth for the offline channel should continue to be as strong as what you have seen in the mid-teens, in what you have seen in Q4. So, with all these three initiatives, we remain fairly, I would say, confident of the FY27 growth will be much superior than the FY26 and this gives us the confidence and clarity of how we are actually being able to execute and we'll be able to deliver that.

Moving further, I would request Vivek to take India multi-channel progress. Vivek, over to you.

Mr. Vivek Goel Thank you, Supam. So, I'll take you through the progress of India multi-channel in this quarter as well as financial year 26. So, happy to report that in financial year 26, we grew by 11% in terms of GMV in India multi-channel and for the first time, we crossed \$1 billion in GMV for the India multi-channel

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business. So, moving to some of the key updates, as Supam has already shared on some of these things. We witnessed sequential improvement in year-on-year growth rate for revenue despite heightened competitive intensity during the last two quarters. Our diapering category continued to witness heightened competitive intensity during the quarter which led to pressure on both on growth as well as margins. Whereas, our non-diapering portfolio which contributes to over 85% of our GMV, remains very robust and continues to perform well. Our annual unique transacting customers stand tall at 11 million. Our orders for Quarter 4 FY26 grew by 10% and GMV grew by 12%. At GMV for FY26 as I already mentioned, grew by 11% year-on-year.

Can we move to the next slide?

So, as Supam has mentioned, even in India multi-channel business, we have continued to see sequential improvement in revenue growth. For Quarter 4 FY26, we grew by 11%, in terms of our revenue. For FY26 over FY25, we grew by 9%. However, as Supam has mentioned that a gross margin has seen some further dip largely in our manufacturing operations which is because of rupee depreciation and increase in crude-linked raw material prices because of geopolitical situation. If not for these volatilities, our gross margin in Q4 would have seen a similar drop, which was because of the competitive intensity in diapering which we saw in Q3 year-on-year. Further, if I would say, we have recovered almost 80 basis points of this loss in our EBITDA for Q4, owing to our operating leverage benefits. Now, I'll pass it on to Abhinav for international updates.

Mr. Gautam Sharma
Abhinav, you are on mute.
Mr. Supam Maheshwari Abhinav, you are on mute.

Mr. Abhinav Sharma
I'm sorry, I had to unmute myself, I forgot about that. So,
Good Evening, everyone. Thanks for joining the call. So, we'll
go over the first few slides, for our international business. For
those of you who joined for the first time this call, we'll just

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go over certain metrics here. So, very favorable sort of
demographic and a market opportunity lies ahead of us in the
international market. As you can see, the birth rates are
slightly higher in KSA as compared to India. The spins, as you
can see, are substantially higher in both the markets, KSA as
well as in UAE versus India. So, that's a large opportunity there
and obviously the childcare market size forecasted is also
significantly high, not as high as India but significantly high for
the international market.

So, that's the market opportunity
we have in front of us and we'll speak more about it as we
move along.

Can you go to the next slide, please?

So, in UAE, we've been live since October of 2019 and in KSA,
we've been live since August of 2022. So, in both the markets,
we are offering our customers the flexibility to choose the
language of their choice, English or Arabic, So, we have our
app in both English and Arabic. Largely operating as an online
platform in both the markets, UAE and KSA and our AOVs as
compared to the international segment as compared to the
India business, is about 4 times as high.

Next slide, please.

Now, this is an important slide. This shows you the evolution
of our progression of gross margins. For our international
business segment versus in comparison to the India
multi-channel and the reason is because we, as a business in
the international segment are about 5 years old and as you
can see, we've clocked the same gross margins as India had
clocked, where it was 8 years old. So, we are well on track in
terms of gross margins improving year-on-year, quarter-on-
quarter and you will see it in subsequent slides as well. A key
important points here, the playbook that is being used and
refined also for the international business has been played
out in India as well. The levers, some of the levers, not all, but
some of the levers that I want to highlight here for gross
margin expansion are increase in the home brand share of top
line and within home brands, also the fashion business share,

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fashion share to the business. Also, improving our gross
margins in both home brands as well as third-party margins,
because third-party brands also are equally important
because it's a consumer-facing business, so obviously, it is
what the mom likes. If they like our home brand, which they
do, plus, if they want to choose anything from the non-home
brand or the third-party brands, we offer that as well but
ensuring that the margins make sense on the third-party side
as well with the economies of scale that we see going forward.

Also, obviously, as we grow, we will see as in any business, operational efficiency is kicking in. So, gross margin improvement levers, couple of them I've just spoken about and these were the same levers in play in India as well, in the progressive years that India saw in its business. So, very comfortably stacked here in terms of the way forward, what we need to do to grow the business sustainably.

Next slide, please.

So, some of the key highlights for FY26. We continue to witness promotional activities and heightened promotional activities by the horizontals that we spoke about, Supam spoke about in his first two slides. However, we continued on the path of sustainable growth, as we have been over the last four quarters progressively. We've seen a reduction in EBITDA losses by 33% year-on-year for the FY26 and 35% on a full-year basis, FY26 versus FY25. AUTC increased by 7% in this quarter, Q4 FY26 versus same quarter last year. Orders grew by 6%, year-on-year FY26 versus FY25.

Next slide, please.

So, \$100 million plus in revenue in FY26 and we should see this growing progressively as we move along. The key highlights here, this quarter, we grew 9% over the same quarter last year. More importantly, 470 bps margin expansion on the back of a 9% growth and for the full year, we had a 240 bps margin expansion with a 10% growth. So, while we are growing sustainably, we also ensure that our gross margin expands and that you can see on the right-hand

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side, where our EBITDA losses for the same quarter last year, we are lower by 33% on absolute terms and as a percent of revenue, we went from 15% to 9%. For the full year, we reduced our losses from 140 Crores to 90 Crores, a reduction of 35% and our losses now stem at 10% versus 16% in FY25.

Next slide.

Again, as we've spoken earlier

on multiple quarterly calls, our prime focus has been to not just grow the business but grow it sustainably, not chasing top line at any cost but growing top line ensuring that we reduce our losses substantially, so you can see the progression here from FY23 to FY25. There has been a 830 bps reduction in losses and again in FY26 over FY25, was a 674 bps reduction which, like mentioned in the previous slide, which is 10% of our revenue versus 16% last year.

Anuj, over to you, please.

Mr. Gautam Sharma Anuj, you're on mute. We can't hear you.

Mr. Anuj Jain Ok.

Mr. Supam Maheshwari Yeah. We can hear you now.

Mr. Anuj Jain

Now, you can hear me? Ok. Alright, So, I'll just give you an update on GlobalBees. Hi. So, we look at first, let me just quickly take you through, our GlobalBees is structured. So, we have essentially four broad categories that we look at, which

is home utilities, home appliances, fashion and lifestyle, and beauty personal care / health and personal care. So, these are the four broad segments in which we operate. As you know, over the last year, it's been a very important point for GlobalBees, where we've been rationalizing our portfolio of brands to focus on the ones that will continue to drive growth as well as profitability.

We can move to the next slide.

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So, if I look at the overall performance for the year, and I look at specifically the four categories, we did a revenue of 1876.8 Crores, which was a 28% year-on-year growth and a 91.9 Crore adjusted EBITDA post-corporate expenses, which translates to a 4.9% of revenue. Now, these four categories are the ones that we will continue to focus on in the long term. The rationalization of other brands are the ones that are witnessing lower revenue growth and had been incurring losses. We're almost at the trail end of rationalization of these brands and our endeavor is to complete this rationalization by this quarter end, so that we're able to then move on to sustainable top line growth and bottom line growth as outlined in FY26.

Okay, we can move to the next slide.

So, if I compare our performance in terms of revenue and adjusted EBITDA, we'll look at revenue first. So, in the last quarter, we had a 15% growth quarter-on-quarter, this quarter to last FY25 quarter four and on a full year basis, we grew by 20% on a consolidated basis. The 20% is lower than the 27% of core brands, purely because of the rationalization of brands, as I've mentioned earlier. All of this growth that I'm mentioning is organic because the last acquisition that we made at GlobalBees was in September 2022.

In terms of adjusted EBITDA, we have moved in quarter four FY26. We did an adjusted EBITDA post-corporate expenses of 26.5 Crores which is 5.8% of revenue, 9X increase from the quarter four FY25 adjusted EBITDA post-corporate expenses, which was at 0.7%. We had a significantly healthy growth in our EBITDA. If I look at it on a full year basis also from FY25 to FY26, we've moved from 1.4% to about 3% of 56 odd Crores of adjusted EBITDA post-corporate expenses, which is a 2.5X increase.

Okay, we can move to the next slide.

Overall, as you will observe, there has been a continuous trend of improvement in our bottom line over the years from

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FY23, where we were negative to even in FY24 where we were EBITDA neutral. Now at FY26, we stand at a healthy 3% adjusted EBITDA post-corporate expenses. This is also adjusted for ESOP cost. So, this 3% includes the rationalization of brands, but it's improving as we move along. That's the update that I had on GlobalBees.

We can move to the next slide. Now, Gautam will take to the other slide.

Mr. Gautam Sharma Thanks Anuj. So, this is our last segment, fourth segment, which is called as others, represent the preschool business, continuously growing from 208 preschools, end of FY24 to more than double, end of FY26 and in te

rms of number of students enrolled, its almost 3X in 2 years.

Next slide, please.

A healthy growth in revenue, 11% growth in revenue in FY26 over FY25 and around 220 bps improvement in the EBITDA from 24% in FY25 to 27% in FY26. Now we talked about the consol performance. So, while these numbers have been previously covered by Supam, Abhinav and Vivek. So, India multi-channel business, it's a 9% growth in 26 over 25. 8.8% adjusted EBITDA for FY26. This was 9.5% in FY25, this is largely because of, as Supam and Vivek mentioned, some pressure in gross margins which is on account of heightened competition in our diapering category, which represents 15% of our business and the second one is basically a dip in Q4 because largely in our manufacturing business, because of rupee depreciation and the increase in the crude-linked raw material prices. This dip, there is a lag in terms of recovery from the customers, lag of around 1 to 2 quarters. So, from Q2 onwards, the gross margin loss because of crude-linked raw metal prices and rupee depreciation should be covered. So, we will be recovering the gross margin.

International business, Abhinav talked about, despite of a 10% YOY growth in FY26, we managed to reduce our losses by almost 50 Crore rupees from a 140 Crore rupees loss in FY25.

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We reduced our losses to 90 Crore rupees in FY26. So, from 16% it has come down to 10%. GlobalBees business continue to grow very well while on a consol level, it's a 20% growth. However, if we talk about a clean slate that is the growth in the core category, that is 28% and has delivered an EBITDA of 4.9% and as Anuj mentioned, the rationalization of the other brands should be over by Q1 FY27. So, we should see a continuous, a complete organic growth of the core business starting Q2 and also by EBITDA which is 4.9% in FY26. Others which is preschool business, 27% EBITDA and 11% growth.

Next slide.

So, all those, the results of those four business segments, it basically gives us a 12% growth in Q4 on a YOY basis and a similar growth in FY26 over FY25. Gross margin dip, we can see a gross margin dip, again this is because of 2 reasons. One is the dip in the gross margin of India multi-channel business which Supam, Vivek explained. I also explained the previous slide and the second reason is a slight dip in the gross margin in the GlobalBees business. However, we maintained or we increase our EBITDA in Q4 for the full year in GlobalBees business. Consol adjusted EBITDA, despite of a dip in gross margin from 37.4, we have come down to 36.2%. We still managed to increase our adjusted EBITDA on a consol basis, both at a Q4 level and also at the full year level. So, Q4 adjusted EBITDA has increased by 18% and the full year adjusted EBITDA has increased by 24%. That's it. So, this ends our presentation.

Mr. Supam Maheshwari We're happy to take questions.

Mr. Harsh Kabra Thank you, team. We will now move on to Q&A. I now request participants to raise the hands for asking questions. We will unmute you one by one, and you will have access to the mic. Please introduce yourself and name of the organization you represent. The participants are also requested to limit their questions to a maximum of two. For any follow-up questions, you may join the queue again.

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First question is from Jinesh Modi. Jinesh, please unmute yourself.

Mr. Jinesh Modi

Hi, Jinesh Modi, this side. So, you have taken various initiatives to improve the delivery performance for your online business, like delivering to your own logistic network. So, what percentage of orders are delivered through these networks? and, what is the logistic cost increase in the Q4 and what is the expected increase in FY27?

Mr. Supam Maheshwari

So, Jinesh, I think, the percentage of orders that we were delivering by roughly around Q3 end were some 28%. Now we have crossed 40% plus end o

f March 26 and we will continue to increase it. Our goalpost was to reach close to 45 to 50% by middle of the year. I think we remain, we believe we are ahead of the curve and we should be able to deliver it before the next quarter ends and in terms of cost, there is a marginal front loading of the cost that actually happens both for RocketBees as well as for the Qwik, because it takes certain time to reach to a little maturity within a city in terms of the number of shipments that we can do under RocketBees. So, till then, you have to front-load, so, we will have some impact of 40 to 60 bps from few quarters, but in a medium term as the network matures, our cost will normalize to a regular sort of a cost structure that we had, and that cost will be, excess will be nullified. So, that's how I hope I've answered both your question in terms of for percentage of shipment, as well as on the cost front.

Mr. Jinesh Modi Okay, yeah, thanks.

Mr. Harsh Kabra Thank you, Jinesh. The next question is from Vishal Doshi. Vishal, please unmute yourself.

Mr. Vishal Doshi Hi sir. Hello.

Mr. Supam Maheshwari Yes, Vishal.

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Mr. Vishal Doshi Sir, my question is, how is the store business in ME doing? and you have only added 10 COCO store in FY26. What is the plan for the store opening in financial year 27?

Mr. Gautam Sharma

So in fact, you know we have mentioned in our previous calls as well, that because of the macros, we wanted to maintain capital efficiency, and that's the reason we are kind of paused opening of company owned stores in FY26. Given the initiatives that we have taken to improve the offline growth, Q4 numbers are a testimony to the improvement in growth,

which is the growth is best in last seven quarters. So, we will double down on our approach to open company-owned stores in FY27 and hopefully with a mix of COCO as well as FOFO stores, we should be opening roughly 100 stores in this year.

Mr. Harsh Kabra Thank you, thank you, Vishal. The next question is from Tejas Shah. Tejas, please unmute yourself.

Mr. Tejas Shah Hello, am I Audible?

Mr. Supam Maheshwari Yes, it is.

Mr. Gautam Sharma Yeah. Yeah, Tejas.

Mr. Tejas Shah Yeah, hi, hi. Hi, Supam. Hi. Thanks for the opportunity. Just first question, the interventions that we have made on India multi-channel business, the areas or the PIN codes that we are actually now fully deployed in terms of whatever interventions we had to make, what are the key operational and financial parameters that you are seeing, which gives us a lot of confidence that, once we roll it out fully, it will actually kind of bring back what the momentum that you're missing for last one year?

Mr. Supam Maheshwari Sure. So, Tejas, while I and Vivek both can answer this question, but Vivek, you can add, I'm going to maybe start. So look, Tejas, this is a fair question and both for RocketBees initiatives as well as for the Qwik initiatives, we felt that there is a clear superior customer experience that we are able to

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deliver which is what we had originally planned with these initiatives and when I say its a very tangible incremental outcome and with that we are also experiencing incremental growth in those catchments for Qwik as well as in those cities where we have RocketBees has reached to a certain maturity in terms of the total number of shipments in that city. So, with that, we believe, as we increase area under the curve both for RocketBees as well as for the Qwik and as it improves, this will give us with a lag effect, because it takes time to reach to a certain volume or a network to a point where we have a certain volume in the city, and as we reach there, we will have a benefit of incremental growth being accrued to our overall online business. Vivek, you want to add anything?

Mr. Vivek Goel Yeah. So, Supam, as you rightly mentioned that, we are seeing a lot of positive movement on the con

sumer experience

matrices. So, from that window, very confident that as the network matures of RocketBees as well as Qwik expands, we should see a good positive impact on our FY27 growth and so, I think that's it.

Mr. Gautam Sharma And this is the key operating metrics that we see is basically reduction in delivery TAT, actual delivery TAT, on-time delivery which is probably the best in the industry. Its more than 92%. All these factors put together as Supam mentioned, there could be a lag in terms of seeing a tangible growth in the online business. But yes, we have already started seeing good results in terms of service metrics and we strongly believe that FY27 online route should be much superior compared to the growth that we have given in FY26.

Mr. Tejas Shah Sure, and Gautam, this intervention that you spoke about on KPI, it will largely reflect in better AOV frequency or recruiting

more users on the platform?

Mr. Gautam Sharma It will be both, it will be, improving the retentions as well as, acquiring more number of customers.

Mr. Tejas Shah Perfect. Second, just if you can elaborate a bit what exactly is the source of this gross margin pressure you touched upon a bit on certain categories, but is it more of a competitive

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pressure which is hurting us or inflation or mix of everything playing out together?

Mr. Supam Maheshwari So, we talked about there are on the India multi-channel, there were two parts to it. We saw 140 bps that we saw in Q3 that we explained, that has continued. It will take us couple of quarters for the irrational discounts or irrational intensity to go away. We had seen this pressure in 2016-2017 as well, but everything normalized and lately, few more players in the Quick-com who have joined sort of and again there has been the same intensity has been carried forward in the larger horizontal commerce players as well. So, we believe that its probably a 4-6 quarters sort of a phenomena. It'll go away. So, that's on the 140 bps that we are talking about, that we spoke in Q3, that has continued for this quarter. The remainder part of the gross margin loss in Q4 in the India multi-channel, it's very transitory as especially coming from our manufacturing and which is crude-linked inputs cost as well as rupee depreciation and as it gets passed to the customer, you will see a bumping back fully recovered in Q2. So, it's just transitory in nature. In past, it has happened, but such a steep depreciation and such a steep increase in crude prices not happened in the past. At least we haven't seen it. But, since it will get recovered from the customer, so, from Q2 onwards, as Gautam mentioned, we'll be back on track. This part of the loss will be recovered in our Q2 numbers.

Mr. Gautam Sharma Just to add, what will improve the gross margins going forward, the gross margin expansion levers, which is increase in home brand mix. There is a separate slide in additional disclosures which basically talks about the GMV mix of our home brands. Fashion mix increase, again, there is a separate slide which basically clearly shows the increase in the fashion mix, continuous negotiation of third party landmarks. So, these factors will continue to play on, which will increase the gross margin going forward. The second factor Supam talked about that the manufacturing business loss in gross margin will be recovered starting Q2. So, that will again add to the improvement in gross margin. Third one is the deep discounts, especially in the diapering category, which led to a 140 bps reduction by gross margin in Q3, that will also we believe that

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should be probably next four to six quarter, that should also come back in the business. So, all of these three factors will help us, regain the gross margin in, probably starting from Q2, probably next four to five quarters.

Mr. Tejas Shah Perfect. Just one follow-up, if I may. This, pressure on diapers

from Quick Commerce in terms of margins, is it coming from largely the unlisted players, or is it... are you seeing any behavioral change once you get listed and you start chasing profitability, or the behavior is across the same in terms of losing money or being aggressive on this category?

Mr. Supam Maheshwari No, it is not specific to any low cost or it is across the board. It's more of a platform phenomenon than a brand phenomena.

Mr. Vivek Goel So, Tejas to answer that question, we have seen it both in listed and unlisted platforms and that has led to a further price competition from the horizontals which are unlisted as well. So, It is across from Q-Commerce and Horizontal, where there's a price competition which is resulting into this loss as of now. Which we, as Supam and Gautam mentioned, which seems to be quite irrational and typically this cycle takes a few quarters to subside and that's what we expect as well.

Mr. Tejas Shah Thanks, that's all from my side.

Mr. Harsh Kabra Thanks, Tejas. The next question is from Jayant Parasramka. Jayant, please unmute yourself.

Mr. Supam Maheshwari Jayant, we can't hear you.

Mr. Harsh Kabra Okay, so, I think there's some issue.

Mr. Gautam Sharma We can come back to Jayant.

Mr. Harsh Kabra Yeah, right, right. So, Abhinava Kashap, next question we'll take from you, can you please unmute yourself?

Mr. Abhinav Kashyap Hi Supam. I have a couple of questions. So, how is AI benefiting us? So, I wanted to understand that.

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Mr. Supam Maheshwari Okay, is that the only question, or I thought there was.. okay.

Mr. Abhinava Kashyap Yeah. So, another is..

Mr. Supam Maheshwari Okay, I think, look, AI has sort of multifaceted ways of improving, both from a revenue optimization, a gross margin optimization as well as improvement in productivity, efficiencies. So, it has I mean, I would say multiple facets of improvement that one would see in the from a usage of AI. So, I can give examples because otherwise it'll take a little longer for me to be able to explain every point across different facets. It is very fascinating to be able to come up with answers and able to get information processed, whether it is benefits that we can drive to save cost like, for example, you can save your supply chain cost in terms of making a product live much faster than what you had otherwise were taking. That leads to an improvement in working capital to improvement in how you will build URLs for your SEO, AEO or GEO kind of models to be able to be more relevant, more effective, to improve conversions. So, there are a number of opportunities that we are utilizing within the company across different facets of running a business, to not just use it only in typical sort of a call center savings or automated voice bot, chatbots, email bots but across the board in different facets to be able to optimize our costs as well as efficiencies, productivities, as well as revenue optimization and even to the extent of discounts or maybe the gross margin optimization. So, these are at various stages of evolution over a period of time, some of you have already got the benefit, some of the benefits will accrue over a period of time. So, maybe we can take this question a little more offline if you have more interest, but that's a broad gist of it. There is too much excitement and talent, the entire organization, what we

all can do with with the AI.

Mr. Vivek Goel So, to sum up, we are working on cost efficiencies, we are working towards revenue expansion and margin expansion, as well as people efficiency. So every single aspect, I think AI has already entered in the organization.

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Mr. Abhinava Kashyap Cool. What kind of... what percentage of bps or something we can expect as a benefit in the long run? Is it... if you have any number, or like?

Mr. Supam Maheshwari It's too early to comment on that but I think

that this is going to be a meaningful outcome as we go along, it should definitely be a meaningful outcome. We'll be able to speak more in the subsequent quarters because this initiative has just been, just started a couple of months back, so its premature for us to talk about the overall improvement that it'll do but we remain very focused on the benefits that it will accrue. It's not small. It's going to be meaningful. Therefore, we'll reserve our comment on that. But, maybe in the next quarterly update, we can probably share that number as well.

Mr. Abhinava Kashyap One more question I had. So, we are trading at a pretty low valuation compared to our revenues. Is there any risk of someone trying to acquire us? And Is there any chance of we are doing buybacks or something?

Mr. Supam Maheshwari Look, we haven't discussed this. I think we are focused right now on what we can execute to be able to deliver a far superior growth in FY27 with expansion in our registered EBITDA, that's what we are focused at. Rest of the stuff that you talked about, we haven't experienced that in the past, maybe, but we haven't really thought through it yet as well. Yes, we have sufficient cash on the company, but we haven't discussed any of these buybacks and stuff like that so far, in our internal discussions or even board discussions.

Mr. Abhinava Kashyap Okay, thank you.

Mr. Harsh Kabra Thank you, Abhinava. In the interest of time, we'll just take one last question. The next question is from Percy Panthaki. Percy, please unmute yourself.

Mr. Percy Panthaki Yeah. Hi. Sir, just wanted to understand this, offline channel, I think, this quarter the growth is higher than the overall India multi-channel growth, right? So, just two questions from this.

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One is what really has changed or what initiatives have you taken to revive the growth in the offline channel? and secondly, if that channel has really grown faster than 11%, which is your overall growth, that means the online channel has done a single-digit growth. So, what is the reason why the online channel growth is so low? given that the overall category itself might be growing at 10% and organized share within that is increasing. Just wanted to understand the reason for this low growth.

Mr. Gautam Sharma Okay, sure. So, Percy. Supam talked about the initiative that we have taken in the offline business and we are talking about this initiative since our last presentation that's basically

changing the product assortment from a width to a depth strategy that has really played out very well for our offline business especially the COCO business and that has resulted in a significantly higher growth in our offline business, which is around 15% in Q4 on a YOY basis. In terms of online growth, Percy, it's not single digits. So online GMV growth is roughly 10.5% in Q4 and it's around the same range for all the four quarters between hovering around 11 to 12. However, given the initiatives that we have taken around faster deliveries, both in terms of delivery through our RocketBees network and FirstCry Qwik, which we believe should be delivering at least 10% of our online orders by end of this year, we believe we should be able to deliver a much superior growth even for the online business in FY27 compared to the FY26 online growth. So, both the channels online.. offline, Supam talked about that the growth that we have delivered in Q4 should continue even for the rest of the part of FY27 and online should also deliver a much better growth while the cost is front loaded, the cost of logistics is front loaded. The results, the actual tangible results comes with a lag and hopefully in coming quarters, we should see a much superior growth in online business also.

Mr. Percy Panthaki Got it.

Mr. Supam Maheshwari Percy, a mix hasn't changed for both offline, online GMV mix hasn't changed what you see in FY26 over FY25. So

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no material change in that. So, believe with the lag effect, I

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think you should see a growth bumping back in online as well. So, compounding effect of that you should be able to see, that's why we are very confident FY27 India multi-channel GMV growth will be much superior than the FY26.

Mr. Percy Panthaki Understood. Next question I had, again, India multi-channel business only. Given that, there are the margin pressures which you said can continue for few quarters more, on a full year to full year basis. FY27 versus FY26, do you think that the EBITDA rupees crore EBITDA can have a double-digit growth?

Mr. Supam Maheshwari Yes, if you look at it, you're talking about India multi-channel only, right?

Mr. Percy Panthaki Yes.

Mr. Supam Maheshwari Yes, you will have it, Percy, it should. Effectively, we are saying the EBITDA, I would say the drop that we have seen because of manufacturing should be recovered fully by Q2. So we'll have three quarters of that benefit. So, I don't think, that effect will be there and yes, the diapering effect will continue, may continue for the full year, but, margin expansion from the 85% of our category should continue as well and the overall growth that we are anticipating will be superior and also you'll get a operating leverage also coming out, so we still believe that we should be able to do a much superior sort of a growth, to answer your question.

Mr. Gautam Sharma Both, in terms of top line as well as bottom line.

Mr. Percy Panthaki Right. And one last question, if I can squeeze in. Just wanted to sort of understand on a benchmark basis what you are doing on delivery versus how the competition is doing the delivery? So, with RocketBees, I mean, own delivery, how would that compare to the structure of players like, let's say,

Amazon, Nykaa, Flipkart etc.? Do they also do their own delivery or are they completely outsourced the same way that you were, let's say, a year ago, Just wanted to understand, I mean, within the industry practice, where do you fall on the spectrum?

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Mr. Supam Maheshwari So, Percy, I'll just answer in two points. One, I think you have to understand the baby and kids business is fairly complex from a supply chain perspective, both from an warehousing perspective as well as from a first mile, mid mile, last mile delivery standpoint, because we are dealing with a category where you have almost 10 gram diaper pin to a 30 kilogram toy car that has to be delivered and it's fairly complex to have that size of spectrum in terms of managing your supply chain from availability and very fragile products as well on top. So, given that nothing that... what we do, how we do, can be really compared with some third-party either shipping companies or third-party commerce players, whether it is the names that you have mentioned. So, I won't really directly compare, but what we have built in RocketBees is a fairly asset-light model and they use the technology is completely in-house. So, the entire technology stack that we have built is being used by dedicated partners that we have regional, local and we manage the first mile and the mid mile, although on a totally asset-light Capex light basis and the last mile partners are actually delivering and giving us a superior way of delivering and giving the better customer experience than otherwise that we were being managed through third party in our prior context. I hope I've been able to answer the landscape, fully can't be compared, but at the same time, it was totally asset-light. We're utilizing first mile, mid-mile on our own, again asset-light, but fully dedicated partners who are only delivering our shipment, not mixed shipments of third party and not other brands than us. That's not the case. It's only dedicated FirstCry deliveries at the last mile partners make.

Mr. Percy Panthaki So this last mile partner, would it be dedicated for all the other players also? I mean, or is it something unique to our business model?

Mr. Supam Maheshwari Well, different players have different sort of models, Percy. I won't be able to say that. In few cities, people may have different models, in few cities, they may have a third-party model. Like, if you utilize their third-party player, they may

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aggregate Shipments of different companies or different brands or different platforms. So, there are different models for different companies. There is no one model that every company follows.

Mr. Percy Panthaki Understood. Understood. So, are we planning at some point of time to go 100% RocketBees or we will sort of stabilize at a certain percentage and keep doing business of the certain percentage as per the old methodology?

Mr. Supam Maheshwari We will continue to improve the coverage of RocketBees. It will be very difficult to go to 100%.

Mr. Percy Panthaki Got it, got it. Okay, that's all from me, thank you and all the

best.

Mr. Gautam Sharma Thanks, Percy.

Mr. Supam Maheshwari Thank you, Percy.

Mr. Harsh Kabra Thanks, Percy. We still have some time in hand. So, we'll take the next last question from Jayant Parasramka. Jayant, if you can unmute yourself?

Mr. Jayant Parasramka Hi, am I audible?

Mr. Supam Maheshwari Yes

Mr. Gautam Sharma Yeah, Jayant.

Mr. Jayant Parasramka Hi, sir. Thanks for taking my question. So, just a couple of questions, on India multi-channel. I know the basic thought process behind RocketBees and Qwik was to, let's say, increase both customer satisfaction and from an ordering perspective, get back, let's say, some of So, pains which customers had of delayed delivery. So, just from your initial takeaways over the past two quarters, if you could share on places where you've implemented both Qwik and RocketBees, are you seeing higher transaction of orders versus places where RocketBees is not there. Is that giving you

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confidence, heading into FY27? And the second part, second question is on international business. Has there been some part of the international business also impacted by the Middle East, which has led to this low single-digit revenue growth, and is that also leading, I mean, I know on the cost side, you have been working on, getting the margins down to at least a break-even. But, just if you could impact is, has that also impacted some movement towards break-even on the international business?

Mr. Supam Maheshwari Jayant, I will let Abhinav take the second question, but the first question answer is, the same question was asked by Tejas. So, answer is that we are seeing incremental growth. In the cities as well as in the catchment that where we are serving both RocketBees and Qwik. Therefore, we'll continue. We have clarity of what we are executing, we are watchful of the metrics, service metrics that Gautam also spoke about. We'll continue to improve on that and bring more area under the curve and build that incremental growth as we go along. So, that's an answer to your first question. Second question, I'll let Abhinav speak on the Middle East.

Mr. Abhinav Sharma Hi Jayant. So, your second question is related to the current evolving situation and how it impacts the business. Is that correct?

Mr. Jayant Parasramka Right, right.

Mr. Abhinav Sharma So, Jayant, the situation, we all know what is happening. However, it has been a little bit of a moderation in consumer sentiment. I'm not going to say anything else about that, but, yes, there has been and there is some import complexities also is happening as we speak. However, I think, fundamentally for our business and our goalpost as we've shown in the last so many quarters now, has been our sort of a path is towards sustainable growth. So, we are continuously focusing on our top-line optimization and gross margin

expansion. Our home brands are the most important, one of the most important levers to improve gross margins. This situation is beyond anyone's control, so to speak, but this is

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also an opportunity, as the way I look at it, or the way we look at it internally is also an opportunity, when we can optimize further on our processes within our discounting strategies, our marketing costs and reaching out to the right consumer who will potentially give us a longer sort of a LTV that we desire and while we do all of this, also improve our home brand mix in the top line that we generate. So, this is a unique opportunity, but our focus is the same. Growing and not chasing a top line at the expense of obviously reduced cost or very high marketing expense. While, we hope that the situation ends sooner than later, but, I think there are a lot of learnings for us in terms of how we optimize and how we continue to on our path to sustainable growth.

Mr. Jayant Parasramka Sure.

Mr. Gautam Sharma So, Jayant, just to conclude, we will continue to reduce our losses. What we did in FY26, we will continue to do the same thing in FY27 also.

Mr. Jayant Parasramka Sure, fair enough, sir. if I just may squeeze in one last question. Just on the relevance of the 6 to 12 years age which you've extended your category. If you could just give us, in terms of how that is doing well in the past couple of quarters, just that's more I'm just trying to understand from a retention of customer point of view. How is that shaping up, if you could just give some thoughts on that.

Mr. Vivek Goel So, Jayant, I'll probably take up that question. So, we are seeing a positive traction and we continue to see a positive traction in 6 to 12 that remains the fastest growing part of our business when it comes to age group of children. As we continue and basis that, we continue to build our assortment, which is more conducive. So, overall, it is good news on that front and at the same time, there's a slide in the supplementary slides which shows a long-term cohorts being very strong for like a consumer who's been acquired 10 years back continues to transact with us. There's a good segment of that consumer. So, all of that indicates towards a good positive future on the 6 to 12 segment for us.

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Mr. Jayant Parasramka Sure. Thanks, thanks, and all the best, sir.

Mr. Harsh Kabra Thank you, Jayant. That was the last question. I'll just hand it over back to the management for any concluding remarks.

Mr. Supam Maheshwari No, thank you, everyone. Thank you for your time and really appreciate. Thank you.

Mr. Gautam Sharma Thank you so much, everyone, for joining. Thank you.